European Capital Goods

Q3 2026 Preview Pack - V2

Equities

Europe including UK

Industrial

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Bottom line

We expect a strong quarter ahead with virtually all channel checks continuing to point to strong trends in Electrification and Data Centres, continuing gradual recovery in short cycle and discrete industrial automation and largely stable Buildings-related end markets. We see scope for some upgrades to full-year growth outlooks across Electrification space, and we continue to highlight that current 2027 consensus expectations in this area overall look conservative in the light of strong H1 announced order intake combined with our expectations for Q3.

In terms of stock-picking, we continue focus on the following four areas: **1/** Seek attractive ways to play Electrification and Data Centres secular growth theme, where our top conviction Buy ideas are Siemens Energy, Schneider, Prysmian and Halma; **2/** Look for ways to play the mining capex upcycle, we prefer FLSmidth and Metso, with Weir our top pick into Q3 **3/** Increasingly favour short-cycle recovery exposure with focus on value and self-help, where our top conviction Buy ideas are Siemens, Volvo, KION and Renishaw; **4/** Idiosyncratic ideas across the sector, where our top conviction Buy ideas are Kone, Andritz and GEA.

Across the entire coverage our top picks are (in order of preference): Prysmian, Schneider, Siemens Energy, Weir, Andritz.

Key trends - Thematics remain intact

- **Short-cycle:** We expect a slight sequential improvement in Q3 vs Q2, consistent with 1/ the gradual improvement thesis we gathered at our Quo Vadis conference and 2/ our UBS Short-Cycle Indicator remaining in growth territory. We continue to prefer Discrete Industrial Automation within this segment
- **Construction:** We expect a continuation of challenging trends in new construction globally, albeit with further moderating rates of decline, while renovation demand is expected to remain buoyant, growing MSD-HSD. We picked up some indications of green shoots in European construction at Quo Vadis but this has not been supported by the latest data points such as European Construction PMIs.
- **Data Centres:** Channel checks point to another quarter of very strong orders growth - although the space is now entering rising comps of improvement seen in H2 2025, we are encouraged by several mentions of 'accelerating' demand activity at DC World in Singapore. Revenue ramp-up is naturally more gradual but we note companies also poin to clear near-term customer urgency and see scope for 30-50% growth rates to continue. Furthermore, the orders growth YTD coupled with the above point to another very strong revenue growth year in 2027.
- **Electrification/MV:** Continuation of positive demand trends with double-digit growth across Generation, Transmission and Distribution. Capacity additions remain key to watch, with so far no evidence of demand saturation and if anything some mentions of bottlenecks.

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- **Marine:** Orders were very strong ytd, driven by tankers, LNG carriers and bulkers and we expect strength to continue as long as geopolitical disruption lasts.
- **Mining:** We expect continued momentum driven by high copper and gold prices. There have already been a number of large order announcements and we expect continued strong aftermarket trends.
- **Rail:** End market remains healthy, backed by large orders announcements during the quarter, but margin and cash generation questions remain.
- **Truck:**We expect North American orders dynamics to dominate the debate, with 2027 in focus as certain OEMs should announce their truck markets forecasts next year.

Valuation: Sector valuation is around its 15y avg at c14x EV/EBIT. Relative to the market, the sector is trading broadly in line with the 5y avg.

Stock Recommendations

Figure 1: Stock Recommendations

BUY					NEUTRAL					SELL				
Company	**Rating**	**CCY**	**TP**	**Analyst**	**Company**	**Rating**	**CCY**	**TP**	**Analyst**	**Company**	**Rating**	**CCY**	**TP**	**Analyst**
ELECTRICALS & AUTOMATION														
Munters	Buy	SEK	245.0	Jingyi Zheng	ABB	Neutral	CHF	88.0	Andre Kukhnin	NKT A/S	Sell	DKK	495.0	Christopher Leonard
Nexans	Buy	EUR	155.0	Christopher Leonard	Hexagon	Neutral	SEK	111.0	Andre Kukhnin					
Prysmian	Buy	EUR	175.0	Christopher Leonard	Legrand	Neutral	EUR	160.0	Andre Kukhnin					
Schneider	Buy	EUR	335.0	Andre Kukhnin	Rexel	Neutral	EUR	35.0	Andre Kukhnin					
Siemens	Buy	EUR	330.0	Andre Kukhnin	Signify	Neutral (CBE)	EUR	17.0	Sven Weier					
ELEVATORS & BUILDINGS														
Assa Abloy	Buy	SEK	450.0	Andre Kukhnin										
Fluidra	Buy	EUR	31.0	Jingyi Zheng										
Halma	Buy	GBX	5000.0	Andre Kukhnin										
KONE	Buy	EUR	67.0	Andre Kukhnin										
Schindler	Buy	CHF	345.0	Andre Kukhnin										
MINING EQUIPMENT														
FLSmidth	Buy	DKK	680.0	Ed Hussey						Epiroc	Sell	SEK	230.0	Ed Hussey
Metso	Buy	EUR	21.5	Ed Hussey						Sandvik	Sell	SEK	300.0	Ed Hussey
Weir	Buy	GBX	3250.0	Ed Hussey										
MECHANICALS & INDUSTRIALS														
KION	Buy	EUR	59.0	Sven Weier	Atlas Copco	Neutral	SEK	195.0	Andre Kukhnin					
Krones	Buy	EUR	145.0	Sven Weier	Duerr	Neutral	EUR	22.5	Sven Weier					
Renishaw	Buy	GBX	6750.0	Andre Kukhnin	Jungheinrich	Neutral	EUR	24.0	Sven Weier					
SKF	Buy	SEK	280.0	Andre Kukhnin										
PROCESS ENGINEERING														
GEA	Buy	EUR	74.0	Sven Weier	Alfa Laval	Neutral	SEK	570.0	Sven Weier					
Spirax Group	Buy	GBX	8400.0	Ed Hussey	IMI	Neutral	GBX	2925.0	Ed Hussey					
					Valmet	Neutral	EUR	30.0	Sven Weier					
TRUCKS														
Volvo	Buy	SEK	398.0	Hemal Bhundia, CFA	Daimler Truck	Neutral	EUR	44.0	Hemal Bhundia, CFA					
					Traton	Neutral	EUR	41.0	Hemal Bhundia, CFA					
POWER GENERATION														
Andritz	Buy	EUR	100.0	Sven Weier	Wartsila	Neutral	EUR	40.0	Sven Weier					
Ceres	Buy (CBE)	GBX	970.0	Christopher Leonard										
Siemens Energy	Buy (CBE)	EUR	210.0	Christopher Leonard										
RAIL														
Knorr-Bremse	Buy	EUR	123.0	Sven Weier	Alstom	Neutral (CBE)	EUR	18.0	Andre Kukhnin					
DEFENCE														
Rheinmetall	Buy	EUR	1600.0	Sven Weier										

Source: Company data, UBS Research

Reporting Calendar

Figure 2: Europe Capital Goods

Europe Capital Goods	Reporting Date
ABB Ltd	20-Oct-26
SKF B	21-Oct-26
Atlas Copco A	22-Oct-26
Schindler	22-Oct-26
Sandvik	22-Oct-26
Metso	22-Oct-26
Rexel	22-Oct-26
Renishaw	22-Oct-26
Volvo B	23-Oct-26
Signify	23-Oct-26
Hexagon AB	23-Oct-26
Munters Group	23-Oct-26
Assa Abloy	27-Oct-26
Wartsila	27-Oct-26
Alfa Laval	27-Oct-26
Kone	28-Oct-26
Epiroc AB	28-Oct-26
Valmet	28-Oct-26
Traton SE	28-Oct-26

Source: Eikon, Company data

Figure 3: Europe Capital Goods

Europe Capital Goods	Reporting Date
Andritz	29-Oct-26
Fluidra	29-Oct-26
IMI Plc	29-Oct-26
KION	29-Oct-26
Schneider Electric	29-Oct-26
Knorr-Bremse AG	29-Oct-26
Weir	4-Nov-26
Legrand	5-Nov-26
Rheinmetall	5-Nov-26
Krones	6-Nov-26
Daimler Truck	6-Nov-26
GEA Group	9-Nov-26
Spirax Group	11-Nov-26
FLSmidth & Co. A/S	11-Nov-26
Duerr	12-Nov-26
Siemens	12-Nov-26
Alstom	17-Nov-26
Rotork	18-Nov-26
Halma Plc	19-Nov-26

Source: Eikon, company data

Figure 4: Key US Peers

Key US Peers	Reporting Date	Read-X
Fastenal	14-Oct-26	RXL, SKF, SAND, SIE, SU, ASSA
3M	19-Oct-26	SIE, ABB, LR, ATCO
Otis	27-Oct-26	KNEBV, SCHP
GE Vernova	28-Oct-26	ENR, VWS
Honeywell	22-Oct-26	SIE, ABB, SU
Carrier	26-Oct-26	ASSA, SU, LR
Johnson Controls	27-Oct-26	SIE, SU, LR
Vertiv	20-Oct-26	SU, LR, ABB, SIE
Ingersoll Rand	28-Oct-26	ATCO, SIE, GEA
Caterpillar	27-Oct-26	VOLV, SAND, EPIR
Eaton	2-Nov-26	SU, SIE, ABB, LR
Emerson	3-Nov-26	SIE, ABB, SU
Rockwell	4-Nov-26	SIE, ABB, SU, RXL
W.W. Grainger	4-Nov-26	RXL

Source: Eikon, Company data,

UBSe vs. Cons - Revenue

Figure 5: UBSe vs. Cons - Revenue

Company		3Q 26			2026			2027			2028		
		UBSe	Cons	Δ	UBSe	Cons	Δ	UBSe	Cons	Δ	UBSe	Cons	Δ
ABB	US$m	9,844	9,673	1.8%	38,562	37,958	1.6%	42,495	42,285	0.5%	44,917	46,175	(2.7%)
Alfa Laval	SEKm	17,680	18,547	(4.7%)	74,081	73,453	0.9%	78,707	81,842	(3.8%)	80,938	88,027	(8.1%)
Alstom***	€m	4,766	4,853	(1.8%)	20,283	20,259	0.1%	21,092	21,345	(1.2%)	21,775	22,516	(3.3%)
Andritz	€m	1,980	2,052	(3.5%)	8,300	8,305	(0.1%)	9,000	9,061	(0.7%)	9,785	9,724	0.6%
Assa Abloy	SEKm	40,841	40,644	0.5%	157,455	157,617	(0.1%)	168,651	170,658	(1.2%)	180,678	180,432	0.1%
Daimler Truck	€m	12,529	12,529	(0.0%)	49,820	49,339	1.0%	54,379	54,437	(0.1%)	56,882	57,067	(0.3%)
Epiroc	SEKm	16,629	17,286	(3.8%)	65,281	66,867	(2.4%)	74,067	75,894	(2.4%)	83,007	81,899	1.4%
FLSmidth	DKKm	3,691	3,709	(0.5%)	14,905	15,030	(0.8%)	16,272	16,264	0.0%	17,799	17,495	1.7%
GEA Group	€m	1,455	1,482	(1.8%)	5,840	5,866	(0.4%)	6,080	6,171	(1.5%)	6,315	6,456	(2.2%)
IMI*	GBPm	1,218	1,237	(1.5%)	2,377	2,392	(0.6%)	2,439	2,480	(1.6%)	2,504	2,596	(3.5%)
KION	€m	2,800	2,840	(1.4%)	11,605	11,703	(0.8%)	12,080	12,242	(1.3%)	12,679	12,889	(1.6%)
Knorr-Bremse	€m	2,074	2,095	(1.0%)	8,333	8,335	(0.0%)	8,833	8,757	0.9%	9,196	9,271	(0.8%)
Krones	€m	1,400	1,433	(2.3%)	5,760	5,797	(0.6%)	6,048	6,093	(0.7%)	6,410	6,447	(0.6%)
Metso	€m	1,465	1,449	1.1%	5,631	5,602	0.5%	6,378	6,159	3.6%	7,032	6,630	6.1%
Prysmian	€m	6,012	5,985	0.5%	22,740	22,814	(0.3%)	25,201	25,624	(1.7%)	27,369	27,650	(1.0%)
Rheinmetall	€m	3,130	3,273	(4.4%)	13,850	13,891	(0.3%)	18,000	18,722	(3.9%)	22,750	24,499	(7.1%)
Sandvik	SEKm	37,207	36,862	0.9%	147,057	144,693	1.6%	171,524	165,757	3.5%	162,242	172,336	(5.9%)
Schneider Electric	€m	11,277	11,141	1.2%	44,716	44,984	(0.6%)	48,383	49,843	(2.9%)	52,208	54,743	(4.6%)
Siemens**	€m	23,602	23,507	0.4%	83,291	83,142	0.2%	90,688	90,286	0.4%	96,270	96,740	(0.5%)
Siemens Energy**	€m	12,712	12,642	0.6%	43,926	44,145	(0.5%)	50,619	50,392	0.5%	57,231	56,772	0.8%
Signify	€m	1,376	1,369	0.5%	5,452	5,461	(0.2%)	5,537	5,432	1.9%	5,636	5,431	3.8%
Valmet	€m	1,349	1,305	3.4%	5,260	5,274	(0.3%)	5,613	5,368	4.6%	6,128	5,487	11.7%
Volvo	€m	128,719	125,621	2.5%	514,183	502,741	2.3%	579,803	552,651	4.9%	607,397	581,450	4.5%
Wartsila	€m	1,440	1,487	(3.2%)	6,468	6,342	2.0%	7,199	6,820	5.6%	7,640	7,611	0.4%
Weir*	GBPm	1,522	1,495	1.8%	2,791	2,766	0.9%	2,970	2,947	0.8%	3,160	3,137	0.7%
Average				**(0.6%)**			**0.1%**			**0.2%**			**(0.4%)**
Median				**(0.0%)**			**(0.1%)**			**(0.1%)**			**(0.5%)**

Source: UBS estimates, Vara, Visible Alpha, **HY numbers, **4Q26 numbers, ***2Q27*

UBSe vs. Cons - Adj EBIT/A/DA

Figure 6: UBSe Vs Cons - Adj EBIT/A/DA

		3Q 26			2026			2027			2028		
Company		**UBSe**	**Cons**	**Δ**	**UBSe**	**Cons**	**Δ**	**UBSe**	**Cons**	**Δ**	**UBSe**	**Cons**	**Δ**
ABB	US$m	2,010	1,992	0.9%	8,061	7,898	2.1%	8,876	8,926	(0.6%)	9,677	10,029	(3.5%)
Alfa Laval	SEKm	3,224	3,356	(4.0%)	12,958	13,084	(1.0%)	13,976	15,016	(6.9%)	14,757	16,269	(9.3%)
Alstom*	€m	580	583	(0.6%)	1,278	1,265	1.1%	1,371	1,381	(0.7%)	1,524	1,631	(6.5%)
Andritz	€m	178	178	--	752	741	1.5%	842	818	2.9%	951	899	5.8%
Assa Abloy	SEKm	6,939	6,948	(0.1%)	26,254	26,296	(0.2%)	28,887	29,103	(0.7%)	31,575	31,361	0.7%
Daimler Truck	€m	1,102	1,092	1.0%	3,928	3,886	1.1%	5,017	5,142	(2.4%)	5,607	5,655	(0.9%)
Epiroc	SEKm	3,282	3,494	(6.1%)	13,012	13,567	(4.1%)	15,288	16,298	(6.2%)	17,484	18,059	(3.2%)
FLSmidth	DKKm	610	605	0.7%	2,501	2,500	0.0%	2,773	2,837	(2.3%)	3,101	3,145	(1.4%)
GEA Group	€m	262	264	(0.6%)	999	1,017	(1.8%)	1,062	1,095	(3.0%)	1,133	1,168	(3.0%)
IMI*	GBPm	261	265	(1.8%)	478	479	(0.4%)	497	505	(1.6%)	515	538	(4.4%)
KION	€m	205	211	(2.9%)	866	891	(2.8%)	984	1,021	(3.6%)	1,129	1,135	(0.5%)
Knorr-Bremse	€m	301	306	(1.8%)	1,190	1,199	(0.7%)	1,325	1,338	(1.0%)	1,422	1,468	(3.1%)
Krones	€m	150	154	(2.5%)	634	629	0.8%	692	678	2.0%	756	737	2.6%
Metso	€m	253	251	1.1%	949	945	0.4%	1,152	1,097	5.0%	1,323	1,228	7.8%
Prysmian	€m	824	800	3.0%	3,002	2,902	3.4%	3,809	3,560	7.0%	4,374	4,065	7.6%
Rheinmetall	€m	476	545	(12.6%)	2,637	2,661	(0.9%)	3,790	3,780	0.3%	4,890	5,070	(3.6%)
Sandvik	SEKm	8,120	7,820	3.8%	30,718	30,055	2.2%	31,912	33,704	(5.3%)	32,176	35,411	(9.1%)
Schneider Electric*	€m	4,672	4,794	(2.6%)	8,765	8,865	(1.1%)	9,764	10,174	(4.0%)	10,841	11,555	(6.2%)
Siemens**	€m	3,749	3,788	(1.0%)	13,391	13,425	(0.3%)	15,538	14,995	3.6%	17,013	17,130	(0.7%)
Siemens Energy**	€m	1,496	1,474	1.5%	5,543	5,416	2.4%	7,664	7,458	2.8%	9,976	9,675	3.1%
Signify	€m	118	112	5.6%	368	415	(11.4%)	399	436	(8.6%)	430	454	(5.4%)
Valmet	€m	169	166	1.7%	636	630	1.0%	718	611	17.6%	792	663	19.4%
Volvo	€m	15,277	14,508	5.3%	60,221	58,233	3.4%	74,314	70,595	5.3%	79,615	76,598	3.9%
Wartsila	€m	201	210	(4.4%)	898	887	1.2%	1,063	1,026	3.7%	1,184	1,193	(0.7%)
Weir*	GBPm	336	325	3.4%	575	564	1.8%	647	611	5.8%	702	663	6.0%
Average				**(0.5%)**			**(0.1%)**			**0.4%**			**(0.2%)**
Median				**(0.1%)**			**0.4%**			**(0.7%)**			**(0.9%)**

Source: UBS estimates, Vara, Visible Alpha, **HY numbers, **4Q26 numbers*

Company Index

1. **ABB** - Neutral, PT: CHF 88
2. **Alfa Laval** - Neutral, PT: SEK 570
3. **Alstom** - Neutral, PT: €18
4. **Andritz** – Buy, PT: €100
5. **Assa Abloy** - Buy, PT: SEK 450
6. **Daimler Truck** - Neutral, PT: €44
7. **Epiroc** - Sell, PT: SEK 230
8. **FLSmidth** - Buy, PT: DKK 680
9. **GEA** - Buy, PT: €74
10. **IMI** - Neutral, PT:GBp 2,925
11. **KION** – Buy, PT: €59
12. **Knorr-Bremse** – Buy, PT: €123
13. **Krones** - Buy, PT: €145
14. **Metso** – Buy, PT: €21.50
15. **Prysmian**– Buy, PT: €175
16. **Rheinmetall** – Buy, PT: €1600
17. **Sandvik** - Sell, PT: SEK 300
18. **Schneider** – Buy, PT: €335
19. **Siemens** – Buy, PT: €330
20. **Siemens Energy**– Buy, PT: €210
21. **Signify** – Neutral, PT: €17
22. **Valmet** – Neutral, PT: €30
23. **Volvo** – Buy, PT: SEK 398
24. **Wartsila** – Neutral, PT: €40
25. **Weir** - Buy, PT: GBp 3,250

ABB- Neutral, PT: CHF 88

Q3 26 Preview: Expect another very healthy quarter for Electrification orders, solid elsewhere

Bottom line - Electrification strength will continue to drive order growth
We expect another solid quarter for ABB, with consensus estimates for key Electrification division well underpinned. Based on our channel checks, we believe market environment in Electrification has remained rather buoyant and we forecast 60% organic growth for Orders (Cons: 45%). Across the board we see no signs of demand slowing down and forecast 36% organic order growth at Group level for Q3 (Cons: 28%). For sales and underlying EBITA, we come in 2% / 1% ahead of VA consensus. **Guidance:** at this stage, we do not anticipate changes to the 'low double-digit to mid-teens' topline guidance (UBSe: 13.5%, VA consensus: 12.6%) or the language for margin to improve YoY (ex-real estate gain in Q1). We interpret the margin guidance as a c50bps improvement on an underlying basis (UBSe: +190bps, VA consensus: +180bps including $190m real estate gain, equivalent to c50bps of sales). We leave our PT unchanged at CHF 88 as our increase in estimates is offset by a slightly higher WACC in our DCF in light of outlook for higher central banks' rates. With the stock trading on c27x P/E and c20x EV/EBITA 2027, at the upper end of the European Electrification peer set, we remain Neutral rated.

Inside this report, we include a summary review of ABB's recent Infinitus 800VDC product suite launch as well as a 101 on Rotork, ABB's most recent large acquisition.

Key points for Q3
Group: ABB guided towards low to mid teens organic growth with margins improving sequentially. We expect organic growth to land towards the higher end of the range at 14.9%, with margin of 20.4% (up 10bps QoQ).

Electrification
- **Orders:** We believe the overall market environment remains strong, with Data Centre and Utilities driving the growth and sustained momentum in both project business and short-cycle. Process is still relatively weak. We forecast 60% organic order growth for Electrification in Q3'26 vs cons at 45%
- **Sales:** ABB guide for organic sales growth at least similar to Q2 (19% delivered). According to our channel checks, the market remains buoyant. ABB noted that execution of the backlog as well as short-cycle orders has been strong. All things considered, we forecast organic sales growth of 23% (VA cons: 19%)
- **Margin:** We expect price-cost to improve sequentially as pricing actions taken in Q2 start to have an effect, hence we forecast the margin to improve QoQ.

Motion
- **Orders:** We expect that the underlying market has remained relatively stable and forecast orders flat sequentially, ex-large order in the base (UBSe: 10%, VA cons: 9%).
- **Sales:** ABB guide for organic sales growth of mid-to-high single digit. We anticipate that short-cycle continues to track reasonably well and forecast 6% organic sales growth (VA cons: 7%).
- **Margin:** Guidance is for operational EBITA margin at a similar level QoQ. We expect the margin to be flat QoQ at 18.6% (VA cons: 19%).

Automation
- **Orders:** We suspect the underlying market environment has been relatively unchanged sequentially, with Marine, Power Generation and O&G continuing to track well while Process remains weak (most notably Chems and P&P) and Mining is yet to see a pick up. We forecast organic growth of 9% (VA cons: 10%).
- **Sales:** ABB guide for organic sales growth in the mid-single-digit range. We anticipate 5% organic growth (VA cons: 6%).
- **Margin:** Guidance is for operational EBITA margin to improve YoY. We anticipate margin expansion of +70bps YoY at 14.5% (VA cons: 14.8%).
- **Price-cost:** ABB implemented price increases at the beginning of Q2 which will have full impact from Q3, hence we expect price to accelerate sequentially from the c2% seen in Q2.

Figure 7: UBSe vs Cons

VA - 12 Oct 2026 ABB (in $m)	Q2 2025 Actual	Q3 2025 Actual	Q2 2026 Actual	Q3 2026E UBS F'cast	Q3 2026E Cons'us	*UBSe vs Cons'us*	*Change Yoy*
Electrification Products	4,518	4,522	7,231	7,253	6,562	*10.5%*	*60.4%*
Change yoy, %	*10.9%*	*11.7%*	*60.0%*	*60.4%*	*45.1%*		
Organic Growth %	*9.0%*	*10.0%*	*58.0%*	*60.0%*	*44.8%*		
Automation	2,814	2,100	2,454	2,303	2,323	*(0.8)%*	*9.7%*
Change yoy, %	*49.0%*	*11.2%*	*(12.8%)*	*9.7%*	*11.3%*		
Organic Growth %	*44.0%*	*8.0%*	*(14.0%)*	*9.0%*	*10.3%*		
Motion	2,112	2,162	2,592	2,437	2,384	*2.2%*	*12.7%*
Change yoy, %	*4.9%*	*19.7%*	*22.7%*	*12.7%*	*10.3%*		
Organic Growth %	*3.0%*	*17.0%*	*20.0%*	*10.0%*	*8.9%*		
Corporate & Other	(190)	(178)	(235)	(144)	(177)		
GROUP ORDERS	**9,254**	**8,606**	**12,042**	**11,850**	**11,112**	***6.6%***	***37.7%***
Change yoy, %	*18.1%*	*12.4%*	*30.1%*	*37.7%*	*29.2%*		
Organic Growth, %	*16.0%*	*10.0%*	*28.0%*	*35.9%*	*28.2%*		
Acquired Growth, %	*0.0%*	*4.4%*	*0.0%*	*1.3%*	*0.5%*		
FX %	*(2.0)%*	*(2.0)%*	*2.0%*	*0.5%*	*(0.4)%*		
Electrification Products	4,331	4,499	5,200	5,552	5,369	*3.4%*	*23.4%*
Change yoy, %	*13.7%*	*15.0%*	*20.1%*	*23.4%*	*19.9%*		
Organic Growth %	*11.0%*	*13.0%*	*19.0%*	*23.0%*	*19.0%*		
Automation	2,010	2,013	2,193	2,127	2,125	*0.1%*	*5.7%*
Change yoy, %	*1.9%*	*10.1%*	*9.1%*	*5.7%*	*7.0%*		
Organic Growth %	*(1.0)%*	*7.0%*	*7.0%*	*5.0%*	*6.2%*		
Motion	2,065	2,082	2,217	2,264	2,265	*(0.1)%*	*8.7%*
Change yoy, %	*5.8%*	*5.7%*	*7.4%*	*8.7%*	*9.0%*		
Organic Growth %	*4.0%*	*3.0%*	*4.0%*	*6.0%*	*7.1%*		
Corporate & Other total	(111)	(103)	(135)	(99)	(122)		
GROUP REVENUE	**8,295**	**8,491**	**9,475**	**9,844**	**9,668**	***1.8%***	***15.9%***
Change yoy, %	*8.2%*	*11.9%*	*14.2%*	*15.9%*	*13.8%*		
Organic growth %	*6.0%*	*10.0%*	*12.0%*	*14.9%*	*13.7%*		
Acquired Growth, %	-	*4.9%*	-	*0.5%*	*0.3%*		
FX, %	*(2.0%)*	*(3.0%)*	*2.0%*	*0.5%*	*0.0%*		
DIVISIONAL UNDERLYING EBITA							
Electrification Products	1,033	1,100	1,301	1,416	1,358	*4.2%*	*28.7%*
Margin, %	*23.9%*	*24.4%*	*25.0%*	*25.5%*	*25.3%*		
Automation	288	278	338	308	315	*(2.0)%*	*11.0%*
Margin, %	*14.2%*	*13.8%*	*15.4%*	*14.5%*	*14.8%*		
Motion	407	421	413	421	429	*(1.9)%*	*0.0%*
Margin, %	*19.7%*	*20.2%*	*18.6%*	*18.6%*	*19.0%*		
Corporate & Other - Underlying	(130)	(166)	(127)	(135)	(124)		
Underlying EBITA	**1,598**	**1,633**	**1,925**	**2,010**	**1,992**	***0.9%***	***23.1%***
Margin, %	*19.3%*	*19.2%*	*20.3%*	*20.4%*	*20.6%*		

Source: Company data, UBS Research, VisibleAlpha

Alfa Laval - Neutral, PT: SEK 570

We expect solid order intake at the midpoint of Alfa's record Q2 which stood at SKr22.2bn and the CEO's comment that Q3 should be above SKr20bn. Alfa had guided for somewhat lower sequential demand in Q3. We expect Q3 orders in the Ocean division to be ahead of the demand on the same level guidance and Food & Pharma as well as Energy consistent with the 'lower' guidance although we see scope for both to be only 'somewhat' lower. We see revenues down only slightly sequentially and margins at 18.2%, ie, materially higher than Q2 at 17.0% but slightly below Q3 25 at 18.4%. We expect Alfa to guide for demand on the same level in Q4 as in Q3 but if Q3 beats materially again it could also guide for somewhat lower demand. All in all we expect a strong Q3 report and the company to be cheerful on the near term demand outlook. However, we think that following the Q3 results and as we approach year end we think that the market might start to be more concerned about peak marine orders.

Figure 8: UBSe vs Cons

Orders	Q3 25 Actuals	Q3 26E UBSe	Q3 26E Cons	Δ
Energy	5,415	7,000	6,931	1.0%
- Change YoY%		*29.3%*	*28.0%*	
Food & Pharma	5,796	6,635	6,539	1.5%
- Change YoY%		*14.5%*	*12.8%*	
Ocean	5,344	6,765	6,589	2.7%
- Change YoY%		*26.6%*	*23.3%*	
Group	**16,555**	**20,530**	**20,133**	**2.0%**
- Change YoY%		*24.0%*	*21.6%*	
Revenues				
Energy	5,026	5,900	6,182	-4.6%
- Change YoY%	*9.0%*	*17.4%*	*23.0%*	
- Organic Growth %	*1.7%*		*21.6%*	
Food & Pharma	6,483	5,900	6,375	-7.5%
- Change YoY%	*2.2%*	*-9.0%*	*-1.7%*	
- Organic Growth %	*8.1%*		*-2.0%*	
Ocean	5,735	5,750	5,879	-2.2%
- Change YoY%	*9.1%*	*0.3%*	*2.5%*	
- Organic Growth %	*14.0%*		*2.2%*	
Group	**17,244**	**17,680**	**18,563**	**-4.8%**
- Change YoY%	*6.4%*	*2.5%*	*7.6%*	
- Organic Growth %	*8.2%*	*2.5%*	*6.7%*	
Adj. EBITA				
Energy	832	1,000	1,054	-5.1%
- margin%	*16.6%*	*16.9%*	*17.0%*	*-10 bps*
Food & Pharma	1,043	870	985	-11.7%
- margin%	*16.1%*	*14.7%*	*15.5%*	*-71 bps*
Ocean	1,349	1,454	1,423	2.1%
- margin%	*23.5%*	*25.3%*	*24.2%*	*107 bps*
Group	**3,180**	**3,224**	**3,365**	**-4.2%**
- margin%	*18.4%*	*18.2%*	*18.1%*	*11 bps*

Source: Company data, UBS Research, VisibleAlpha

Alstom – Neutral, PT: €18

Bottom line

We lower our PT to €18 and maintain a Neutral rating as although we see a potential valuation opportunity in Alstom, we are held back by concerns over near-term margin and cash generation development. We reduce our Adj EBITA estimates for FY27-29 by c15% on average to reflect the near-term guidance of 6.5% (which we view as not without risk) that replaced the prior 8-10% margin target. Our FCF estimates fall further (c-40% on average), reflecting FY26 performance and FY27 guidance for only 'positive' FCF. We believe successful homologation of Coradia Max double-decker train in Germany (UBSe >€3bn total contracts value) would be the key catalyst for an earnings and cash flow as well as investment case turnaround for the stock.

Investment thesis drivers

We are encouraged by continuing strong commercial momentum (heading for nearly €9bn order intake in Q2 FY27) and by attainment of further operational milestones (especially TGV-M marketing authorisation by EU Agency for Railways) in H1 FY2027. However, the Coradia Max double decker train in Germany ran into issues with a safety subsystem in Q1 FY27 and production had to be stopped. The issue has been subsequently resolved and production resumed but Alstom is are still working on the homologation process and hence are building the trains on own balance sheet. This can result in a quick revenue recognition and cash inflow once attained but it carries cashflow and potential for rework risks near-term.

H1 FY27 preview

For Q2 we expect orders of €8.8bn given large orders announced and typical average base orders of c.€2bn; this sits 20% ahead of a Consensus that we believe is not yet reflecting large orders. We expect sales to come 2% below consensus with organic growth of 4.1% (Cons: 6.6%). We expect H1'27 margin to come in line with Consensus at 6.1% and we forecast H1'27 free cash outflow of €1.5bn vs Cons modelling free cash outflow of €1.4bn (and guide of -€1.5bn FCF).

Valuation

Alstom is trading on CY2027 P/E of 10x and EV/EBITA 5.6x, which we view as clearly cheap. Our new PT is based on a DCF discounting 7% mid-cycle margin and 3% growth, overlaid by 65% cash conversion, all consistent with our new outer years forecasts. We believe these assumptions are undemanding but need to see evidence of operational progress to assume a more progressive stance.

H1 FY27 preview

- **Q2 orders:** We see orders of €8.8bn given large orders announced during the quarter in combination with typical average base orders in Q2 of c.€2bn. This is split by €4.8bn in Rolling Stock (+6% vs Cons), €2.2bn in Services (+45% vs Cons), €875m (+132% vs Cons), €1bn in Signalling (+4% vs Cons). Taking this together we land 20% ahead of Consensus however we believe this consensus is not reflecting the large orders already announced.
- **Q2 sales:** We forecast sales of €4.8bn with organic growth of +4.1% (Cons: +6.6%). This is split by €2.2bn in Rolling Stock (-8% vs Cons), €1.3bn in Services (-2% vs Cons), c.€500m (+21% vs Cons), c.€780m in Signalling (+5% vs Cons).
- **H1 margin:** We forecast H1 margin to be 6.1% (cons: 6.1%), -30bps YoY but inline with FY'26 margin. Our FY estimate of 6.3% implies a +40bps HoH step up in H2 which we view as achievable given the project execution headwind should lower in the second half.
- **H1 FCF:** Alstom continue to guide for -€1.5bn in H1 with a recovery in H2 to make 'positive' FCF for the FY. We forecast -€1.5bn, lower than consensus expectations at -€1.4bn.

Figure 9: UBSe vs Cons

ALSTOM €m	Q1 26 Actual	Q2 26 Actual	Q1 27 Actual	Q2 27 F'cast	Q2 27 Cons'us	UBSe vs Cons'us	Change YoY	1H 27E F'cast	1H 27E Cons'us	UBS vs Cons'us	YoY
Orders											
Rolling Stock	2,365	4,284	1,159	4,750	4,472	6.2%	10.9%	6,600	5,778	14.2%	(0.7)%
Change yoy%	*67.7%*	*42.6%*	*(51.0)%*	*10.9%*	*4.5%*			*(0.7)%*	*(13.1)%*		
Services	751	899	782	2,150	1,483	45.0%	139.2%	3,400	2,280	49.2%	106.1%
Change yoy%	*(37.4)%*	*(69.1)%*	*4.1%*	*139.2%*	*65.9%*			*106.1%*	*38.2%*		
Systems	128	86	68	875	377	131.9%	917.4%	1,750	451	287.7%	717.8%
Change yoy%	*7.6%*	*(73.5)%*	*(46.9)%*	*917.4%*	*395.3%*			*717.8%*	*136.9%*		
Signalling	831	1,126	551	1,000	958	4.4%	(11.2)%	1,800	1,560	15.4%	(8.0)%
Change yoy%	*(9.4)%*	*5.8%*	*(33.7)%*	*(11.2)%*	*(15.4)%*			*(8.0)%*	*(20.3)%*		
Group Orders	**4,075**	**6,395**	**2,560**	**8,775**	**7,290**	**20.4%**	**37.2%**	**13,550**	**11,196**	**21.0%**	29.4%
Change yoy%	*11.8%*	*(12.5)%*	*(37.2)%*	*37.2%*	*14.3%*			*29.4%*	*(3.8)%*		
Organic yoy%	*13.6%*	*(11.3)%*	*(37.0)%*	*36.3%*	*9.1%*			*28.9%*	*(6.4)%*		
Sales											
Rolling Stock	2,416	2,249	2,538	2,234	2,435	(8.3)%	(0.7)%	4,772	4,949	(3.6)%	2.3%
Change yoy%	*3.3%*	*2.6%*	*5.0%*	*(0.7)%*	*8.3%*			*2.3%*	*6.1%*		
Organic yoy%	*5.0%*	*7.1%*	*6.0%*	*(2.3)%*	*5.0%*			*2.0%*	*7.3%*		
Services	1,070	1,196	1,178	1,260	1,287	(2.0)%	5.4%	2,438	2,456	(0.7)%	7.6%
Change yoy%	*(0.3)%*	*6.4%*	*10.1%*	*5.4%*	*7.6%*			*7.6%*	*8.4%*		
Organic yoy%	*2.0%*	*9.8%*	*9.0%*	*5.2%*	*7.7%*			*7.0%*	*8.0%*		
Systems	425	398	393	493	406	21.3%	23.8%	886	807	9.7%	7.6%
Change yoy%	*24.6%*	*(13.3)%*	*(7.5)%*	*23.8%*	*2.0%*			*7.6%*	*(1.9)%*		
Organic yoy%	*36.0%*	*(9.3)%*	*(10.0)%*	*25.2%*	*4.2%*			*7.0%*	*(2.3)%*		
Signalling	603	702	625	779	740	5.3%	11.0%	1,404	1,368	2.7%	7.6%
Change yoy%	*(5.3)%*	*15.1%*	*3.6%*	*11.0%*	*5.4%*			*7.6%*	*4.8%*		
Organic yoy%	*9.0%*	*25.4%*	*4.0%*	*9.6%*	*4.7%*			*7.0%*	*4.1%*		
Group Sales	**4,514**	**4,545**	**4,734**	**4,766**	**4,868**	**(2.1)%**	**4.9%**	**9,500**	**9,571**	**(0.7)%**	**4.9%**
Change yoy%	*2.8%*	*3.6%*	*4.9%*	*4.9%*	*7.1%*			*4.9%*	*5.7%*		
Organic yoy%	*7.2%*	*8.6%*	*4.8%*	*4.1%*	*6.6%*			*4.4%*	*5.9%*		
Acquired yoy%	*(1.5)%*	*(0.9)%*	*0.0%*	*0.0%*	*0.2%*			*0.0%*	*0.2%*		
FX yoy%	*(2.7)%*	*(3.9)%*	*0.1%*	*1.1%*	*0.6%*			*0.6%*	*0.1%*		
Adjusted EBITA								**580**	**583**	**(0.6)%**	**(0.1)%**
Margin %								*6.1%*	*6.1%*		
Net Profit								233	202	15.2%	
Adj. Net Profit											
UBS operating EPS								**0.00**			
Change yoy%											
Reported EPS								0.50	0.39	**28.1%**	
Change yoy%											
DPS									0.22		
Free Cash flow								**(1,534)**	**(1,437)**	6.7%	**107.2%**

Source: Company data, UBS Research, VisibleAlpha

Andritz - Buy, PT: €100

Andritz provided a Q3 trading update at its capital markets day (link) and guided Q3 orders again above €2bn. Orders have come in consistently above the €2bn mark since Q4 2024. Hydro orders should again stand out positively based on a mid triple digit million contract from Slovakia. However, management also sounded upbeat on business activity in the other divisions. We think the capital markets day has been important to further help change Andritz perception away from a cyclical pulp & paper story towards a rather defensively growing energy transition play with a high service share. We continue to see the shares being best summarised by three 'U's: underowned (no long crowding), undervalued (9.6x EV/EBIT) and undercovered (by the sell side).

Figure 10: UBSe vs Cons

Orders	Q3 25 Actuals	Q3 26E UBSe	Q3 26E Cons	Δ
Pulp & paper	936	800	850	-5.9%
- Change YoY%		*-14.5%*	*-9.2%*	
Metals	296	400	375	6.7%
- Change YoY%		*35.2%*	*26.8%*	
Environment & Energy	424	302	353	-14.3%
- Change YoY%		*-28.8%*	*-16.9%*	
Hydropower	525	600	700	-14.3%
- Change YoY%		*14.4%*	*33.5%*	
Total	**2,180**	**2,105**	**2,278**	**-7.6%**
- Change YoY%		*-3.4%*	*4.5%*	
Revenues				
Pulp & paper	705	800	839	-4.7%
- Change YoY%		*13.4%*	*19.0%*	
Metals	424	360	379	-4.9%
- Change YoY%		*-15.1%*	*-10.7%*	
Environment & Energy	358	358	383	-6.5%
- Change YoY%		*0.0%*	*6.9%*	
Hydropower	400	460	485	-5.1%
- Change YoY%		*15.1%*	*21.3%*	
Total	**1,887**	**1,980**	**2,052**	**-3.5%**
- Change YoY%		*4.9%*	*8.7%*	
Adj. EBITA				
Pulp & paper	76	82	82	0.0%
- margin%	*10.8%*	*10.3%*	*9.8%*	*48 bps*
Metals	27	25	25	0.0%
- margin%	*6.4%*	*6.9%*	*6.6%*	*34 bps*
Environment & Energy	37	35	36	-1.4%
- margin%	*10.3%*	*9.8%*	*9.3%*	*50 bps*
Hydropower	28	35	35	0.0%
- margin%	*7.0%*	*7.6%*	*7.2%*	*39 bps*
Total	**168**	**178**	**178**	**0.0%**
- margin%	*8.9%*	*9.0%*	*8.7%*	*31 bps*

Source: Company data, UBS Research, VisibleAlpha

Assa Abloy - Buy, PT: SEK 450

Q3 2026 Preview: Sequentially stable. Double-digit EPS CAGR thesis intact

Bottom Line:
On the back of our channel checks and conversations with corporates, we update our Q3 2026 expectations for Assa Abloy to 3.8% organic growth and 17.0% margin, which land about 1% above our previous forecast and in-line with consensus. Compared with our prior expectations, we lower our organic growth estimate by c1.5%, which is more than offset by lowered FX headwind (+3.1%) while our margin estimate remains unchanged. We see the current consensus as broadly consistent with our estimates and company messaging across the board. The organic growth cut to our estimates is driven by a broader lack of a sequential demand recovery across the divisions rather than a single geography or business line, and we now assume essentially a flat qoq development. We tweak our full-year 2026-2028 estimates to reflect the quarterly run-rates as well as FX, leading to overall unchanged group Adj EBIT estimates (which are also broadly in-line with consensus). Despite this potentially perceived lack of earnings momentum, we highlight that Assa is on track to deliver double-digit EPS CAGR across 2026-28 while trading on <20x 2027 P/E. Maintain Buy.

Key points

- **EMEIA:** Tougher comps in Q3 (+4% vs -2% comp in Q2). No change to market conditions - Nordics & Germany strong. Margins - typical seasonality is +50bps QoQ however the QoQ step up could be higher if we assume FX and M&A dilution and operating leverage is flat QoQ (excluding the reversal of the earn out).
- **Americas:** Comps are similar versus Q2 and similar underlying market dynamics. In North America, non-resi continues to be strong while resi saw flat/slight growth in Q2 and there has been no change in the market since. Latam progressing well. Margins - no obvious QoQ seasonality impact, expect slightly less FX dilution.
- **APAC:** Similar market dynamics - S. East Asia strong, Pacific stable (driven by non-resi), S. Korea weak, China still depressed. Margin - typical seasonality +70bps OoQ. Expect small FX impact, positive mix and no M&A impact however Assa note it has moved HHI's APAC operation into APAC.
- **Global Tech:** Easier comps in Q3. Expect acceleration of growth in hospitality due to good order intake and some return of growth in European project business in H2. Margins - CEO sees 17-18% for FY and notes it is investing more in R&D.
- **Entrance System:** Tougher comps (4% vs 1% comp in Q2). Industrial weaker QoQ due to weaker set up in loading dock business with large distributors not ordering. Pedestrian/perimeter - no obvious changes (but no improvement). Margins - typical seasonality +30bps QoQ however FX likely to be slightly dilutive, larger M&A dilution and no material mix impact.
- **Other:** Financial net - SEK 3.1-3.2bn. Tax - 25% for FY.

Figure 11: UBSe vs Cons

SEK M	Q3 25 Actual	Q2 26 Actual	Q3 26E Forecast	Q3 26E Cons'us	*UBS vs Cons'us*	*Change Yoy*
EMEIA	6,367	6,681	6,578	6,569	*0.1%*	*3.3%*
Change yoy, %	*5.0%*	*4.9%*	*4.0%*	*3.2%*		
Organic growth, %	*4.0%*	*5.0%*	*3.5%*	*3.6%*		
Americas	10,840	11,471	11,620	11,595	*0.2%*	*7.2%*
Change yoy, %	*(3.0%)*	*2.7%*	*7.2%*	*7.0%*		
Organic growth, %	*3.0%*	*4.0%*	*4.2%*	*4.1%*		
Asia Pacific	2,119	2,084	2,225	2,153	*3.4%*	*5.0%*
Change yoy, %	*(13.0%)*	*(5.1%)*	*5.0%*	*1.6%*		
Organic growth, %	*(4.0%)*	*(4.0%)*	*1.0%*	*(0.7%)*		
Global Technologies	6,729	6,590	7,402	7,304	*1.3%*	*10.0%*
Change yoy, %	*7.0%*	*4.2%*	*10.0%*	*8.6%*		
Organic growth, %	*3.0%*	*4.0%*	*6.5%*	*5.9%*		
Entrance Systems	12,595	12,988	13,477	13,406	*0.5%*	*7.0%*
Change yoy, %	*5.0%*	*4.7%*	*7.0%*	*6.4%*		
Organic growth, %	*4.0%*	*4.0%*	*2.5%*	*2.9%*		
Intersegment Sales	(461)	(554)	(461)	(506)	*(8.9%)*	-
Total Revenue	**38,147**	**39,259**	**40,841**	**40,602**	***0.6%***	***7.1%***
Change yoy, %	*1.9%*	*3.3%*	*7.1%*	*6.4%*		
Organic growth, %	*3.0%*	*3.7%*	*3.8%*	*3.8%*		
Acquired growth, %	*5.0%*	*2.0%*	*2.6%*	*2.2%*		
Currency impact, %	*(6.0%)*	*(3.0%)*	*0.6%*	*0.5%*		
Operating profit						
EMEIA	951	1,002	1,020	1,028	*(0.8%)*	*7.2%*
Margin, %	*15.0%*	*15.0%*	*15.5%*	*15.7%*		
AMERICAS	2,004	2,150	2,185	2,186	*(0.1%)*	*9.0%*
Margin, %	*18.5%*	*18.7%*	*18.8%*	*18.9%*		
ASIA PACIFIC	217	191	227	223	*1.6%*	*4.6%*
Margin, %	*10.2%*	*9.2%*	*10.2%*	*10.4%*		
GLOBAL TECHNOLOGIES	1,330	1,299	1,421	1,430	*(0.6%)*	*6.9%*
Margin, %	*19.8%*	*19.7%*	*19.2%*	*19.6%*		
ENTRANCE SYSTEMS	2,187	2,175	2,331	2,332	*(0.0%)*	*6.6%*
Margin, %	*17.4%*	*16.7%*	*17.3%*	*17.4%*		
Eliminations (underlying)	(272)	(236)	(245)	(243)	*0.7%*	*(10.0%)*
Clean EBIT	**6,417**	**6,581**	**6,939**	**6,965**	***(0.4%)***	***8.1%***
Operating margin, %	*16.8%*	*16.8%*	*17.0%*	*17.2%*		
Clean EBITA	**6,816**	**6,930**	**7,345**			
Clean EBITA margin, %	*17.9%*	*17.7%*	*18.0%*			
EBITDA	**6,417**	**8,053**	**8,442**	**8,526**		*31.6%*
EBITDA margin, %	*16.8%*	*20.5%*	*20.7%*	*21.0%*		
Net interest	(853)	(745)	(190)	(767)		*(77.7%)*
Operating PBT	**5,564**	**5,836**	**6,749**	**6,200**		*21.3%*
Tax rate, %	*25.5%*	*25.5%*	*25.0%*	*25.2%*		

Source: Company data, UBS Research, VisibleAlpha

Daimler Truck – Neutral, PT: €44

3Q26 Preview: In line print, with focus on DTNA orders for Sep & October

Summary

Key focus: Sep & Oct DTNA orders, Q4 production ramp & price-cost dynamics

We believe Daimler will report an overall broadly in line 3Q26 print, with our group orders, unit sales and revenue forecasts marginally behind consensus, while we are in line on absolute adj. EBIT. While our orders forecasts are broadly in line on an overall group basis, we believe much of the focus will be on DTNA's order intake for September & October. We expect a DTNA order miss of c.8% in 3Q26, following the softer Cl. 8 orders print for Sep, and we believe DTG achieved a lower Cl.8 orders market share in Sep than in Jul & Aug, given a peer's order slots for 2026 were still available during September. We also expect an update on 4Q26 price-cost dynamics to confirm pricing is being passed on to offset higher costs as previously communicated, as well as how the 4Q production ramp is faring vs company expectations. We expect FY26 guidance to remain unchanged.

Daimler Truck North America (DTNA): Despite our DTNA orders, revenues and adj. EBIT forecasts being largely c. 3-6% below consensus for FY27E, given the share derating (c.17% decline from the Aug-26 peak) and based on our conversations with investors, we believe buy-side expectations are lower than VA consensus (Figure 1) and also less optimistic on DTNA's growth for FY27E. For these reasons, we would avoid being overwhelmingly negative going into the print at this point in time. We see October's DTNA Class 8 orders/market share being a key data point, which we believe should be available at the time of the 3Q26 results (6 Nov). 2027 order books for NA have opened, but per our channel checks, not all customers/dealers appear to have received the pricing increases as we believe OEMs are still gauging the optimal price list for both EPA27 and existing engines. In our view, OEMs may be conscious of overestimating demand strength and their pricing power; therefore, we believe this is leading to a more careful approach to 2027 truck pricing in NA.

Mercedes Benz (MB): We remain positive on the European truck market, where we expect 3Q26 truck deliveries to be driven by markets outside Germany. We believe FY27E could be the year when the impact of the German stimulus becomes more meaningful in terms of unit sales, with any stimulus-related orders potentially beginning to appear towards the tail end of 2026E. We see the Move Brazil initiative delivering on its backlog, but expect the macro environment to weigh on order intake going forward. We forecast MB to deliver c.6k units in the Indian truck market in 3Q26.

Upcoming Catalysts: DTG 3Q26 unit sales (UBSe: this week), Traton 3Q26 unit sales print (12 Oct), Volvo 3Q26 print with 2027 truck forecasts (23 Oct), Oct NA Orders print (UBSe: 3 Nov).

Expect unchg. FY26 guidance, with cons implying a 9.9% 4Q26 adj, EBIT margin

We **expect FY26 guidance to remain unchanged.** We expect the following 4Q26 margin guidance:

- **DTNA:** Above the 9-11% FY26 guidance corridor (vs VA cons: 12.4% & UBSe: 11.4%).
- **MB:** Above the upper end of 6-8% FY26 guidance corridor (vs VA cons: 8.5% & UBSe: 8.5%).
- **Buses:** Above the upper end of 8-10% FY26 guidance corridor (vs VA cons: 10.2%, UBSe: 10.3%)

Per our channel checks, we believe 4Q26 will benefit from greater pricing support than 3Q26 in both DTNA and MB. At an initial glance, the c.54k step-up in 4Q DTNA orders required to reach FY26E consensus appears ambitious, although we believe buy side expectations are below this based on our conversations.

Headline 3Q26 estimates vs Visible Alpha consensus:

Expect unchg. FY26 guidance, with cons implying a 9.9% 4Q26 adj, EBIT margin

- **Group Revenue: €12.5bn (-c1% vs cons at €12.6bn)**
- **Group adj op. profit & margin: €1,102m (in-line with cons at €1,102m) with a margin of 8.8% (+c6bps vs cons at 8.7%)**
- **DTNA Orders: 36.1k units (-c8% vs cons at 39.3k units)**
- DTNA Revenue: €6.1bn (+c4% vs cons at €5.9bn)
- DTNA adj EBIT & margins: €726mn (+c3% vs cons at €704mn) with a margin of 11.9% (-c.8bps vs cons at 12.0%)
- MB Orders: 38.9k units (+3% vs cons at 37.6k units)
- MB Revenue: €4.9bn (-c6% vs cons at €5.2bn)
- MB adj EBIT & margins: €307mn (-c6% vs cons at €327mn) with a margin of 6.2% (-c.4bps vs cons at 6.3%)

Valuation: We lower our PT to €44 (from €47), maintain Neutral

We lower our group FY26-28E forecasts by up to c.3% which are most meaningfully driven by our lower DTNA and MB forecasts. We expect FY27E unit sales growth of +4% y/y for DTNA (vs UBSe NA build growth of +5% y/y), driven by our channel checks, which suggest that the preference for 2027E is for existing engines, while we slightly moderate our FY26-28E unit sales forecasts for MB. We slightly moderate our margin assumptions by c.10-30bps as a result for these divisions over FY26-28E. We are broadly in line with consensus on FY26E group figures, and while we are c.1-4% below consensus group figures in FY27E and FY28E, we believe buy-side expectations are below current VA consensus. We also increase our FY26E tax rate to 33% and moderate our mid-cycle NOPAT to FCF conversion ratio assumption from 65% to 60% in our DCF.

Figure 12: UBSe vs Cons

	UBSe				Consensus				Vs Consensus			
	3Q26	2026E	2027E	2028E	3Q26	2026E	2027E	2028E	3Q26	2026E	2027E	2028E
Orders												
North America	36,112	171,800	178,672	187,605	39,313	184,816	190,405	199,226	-8.1%	-7.0%	-6.2%	-5.8%
Mercedes Benz	38,931	168,918	177,364	180,911	37,643	166,515	176,699	185,029	3.4%	1.4%	0.4%	-2.2%
Buses	5,560	23,056	23,748	24,698	5,108	21,861	23,562	24,711	8.8%	5.5%	0.8%	-0.1%
Total Orders	**80,542**	**363,501**	**379,498**	**392,919**	**81,043**	**367,388**	**390,409**	**408,707**	**-0.6%**	**-1.1%**	**-2.8%**	**-3.9%**
Unit Sales												
North America	45,338	170,177	176,984	185,833	45,655	170,276	194,108	201,441	-0.7%	-0.1%	-8.8%	-7.7%
Mercedes Benz	38,897	163,868	175,339	178,845	39,565	162,211	173,180	177,934	-1.7%	1.0%	1.2%	0.5%
Buses	5,477	22,942	23,631	24,576	5,519	22,785	23,424	24,343	-0.8%	0.7%	0.9%	1.0%
Total Unit Sales	**89,644**	**356,719**	**375,671**	**388,962**	**90,704**	**355,088**	**390,503**	**403,506**	**-1.2%**	**0.5%**	**-3.8%**	**-3.6%**
Revenues												
North America	6,113	22,412	24,573	26,047	5,888	21,680	25,364	26,753	3.8%	3.4%	-3.1%	-2.6%
Mercedes Benz	4,925	21,032	23,302	24,001	5,220	21,226	22,923	23,863	-5.6%	-0.9%	1.7%	0.6%
Buses	1,385	5,842	6,211	6,522	1,347	5,741	6,025	6,349	2.8%	1.8%	3.1%	2.7%
Industrial Revenues	**11,677**	**46,329**	**50,841**	**53,176**	**11,698**	**46,017**	**51,562**	**54,046**	**-0.2%**	**0.7%**	**-1.4%**	**-1.6%**
Financial Services	851	3,491	3,538	3,706	869	3,447	3,666	3,827	-2.0%	1.3%	-3.5%	-3.2%
Group Revenues	**12,529**	**49,820**	**54,379**	**56,882**	**12,614**	**49,319**	**54,554**	**57,187**	**-0.7%**	**1.0%**	**-0.3%**	**-0.5%**
Adj. EBIT												
North America	726	2,198	2,793	3,105	704	2,141	2,950	3,195	3.2%	2.7%	-5.3%	-2.8%
Mercedes Benz	307	1,382	1,907	2,167	327	1,412	1,850	2,059	-6.3%	-2.1%	3.1%	5.2%
Buses	131	559	600	629	128	544	573	614	2.4%	2.8%	4.7%	2.5%
Industrial adj. EBIT	**1,043**	**3,705**	**4,770**	**5,311**	**1,042**	**3,709**	**5,016**	**5,511**	**0.0%**	**-0.1%**	**-4.9%**	**-3.6%**
Financial Services	60	223	248	296	53	207	260	300	12.3%	7.7%	-4.6%	-1.1%
Group adj. EBIT	**1,102**	**3,928**	**5,017**	**5,607**	**1,102**	**3,895**	**5,186**	**5,696**	**0.0%**	**0.8%**	**-3.3%**	**-1.6%**
Adj. EBIT margins (%)												
North America	11.9%	9.8%	11.4%	11.9%	12.0%	9.9%	11.6%	12.0%	-8bps	-6bps	-28bps	-4bps
Mercedes Benz	6.2%	6.6%	8.2%	9.0%	6.3%	6.7%	8.1%	8.6%	-4bps	-8bps	10bps	39bps
Buses	9.5%	9.6%	9.7%	9.6%	9.5%	9.5%	9.5%	9.6%	-5bps	9bps	15bps	0bps
Industrial adj. EBIT (%)	**8.9%**	**8.0%**	**9.4%**	**10.0%**	**8.9%**	**8.1%**	**9.7%**	**10.2%**	**0bps**	**-6bps**	**-36bps**	**-22bps**
Financial Services	7.0%	6.4%	7.0%	8.0%	6.1%	6.0%	7.0%	7.7%	94bps	39bps	-4bps	30bps
Group adj. EBIT (%)	**8.8%**	**7.9%**	**9.2%**	**9.9%**	**8.7%**	**7.9%**	**9.6%**	**10.0%**	**6bps**	**0bps**	**-35bps**	**-18bps**

Source: Company data, UBS Research, VisibleAlpha

Epiroc – Sell, PT: SEK 230

Q326 Preview: Is manufacturing output running too hot?

Summary

Bottom line

Epiroc will report Q3 results on 28th October. Overall, we forecast Q3 outcomes of +3%/-3%/-5% versus consensus and expect the release to be a mildly negative catalyst. In addition, our analysis points to potential downside risk to either our margin or cash flow forecasts, as we believe Epiroc's manufacturing output remains too high relative to the current scale of the business. We outline our rationale below.

Thoughts on Q326

We provide a more detailed breakdown of our estimates in this note. On orders, we are above consensus, primarily driven by stronger Equipment order growth expectations. However, we are below consensus on revenues, reflecting weaker Equipment revenue growth in Q3 following the exceptionally strong delivery quarter in Q2. We also forecast adjusted EBIT 5% below consensus, due to operating leverage.

Our chief concern

Over the past two quarters, Epiroc has delivered positive organic drop-through in the E&S margin bridge, providing welcome relief to investors after three years of margin deterioration in the division. However, we also note that manufacturing activity accelerated sharply in Q1 and Q2. In our view, this has likely supported margins through improved absorption of fixed overheads. Our primary concern is that the increase in production has been accompanied by a significant build-up in inventories over the last two quarters, with inventories rising to a record 36.3% of TTM sales and a near-record 56.5% of TTM COGS. If demand strengthens meaningfully, this is unlikely to be a major issue, as Epiroc should be able to work down excess inventory. However, without significantly above-consensus sales growth, the company may face an unfavourable trade-off: either reducing manufacturing activity, which would likely pressure margins, or continuing to accumulate inventory, which would weigh on cash conversion. We estimate that Epiroc would require annual sales of approximately SEK 83bn to prevent inventories from increasing further at the current production rate. To put this into context, this is above consensus 2028E revenue forecasts of SEK 81bn, suggesting that the current manufacturing run-rate may prove difficult to sustain without further inventory build. This coupled with a high valuation is why we remain cautious on the name.

Positioning and valuation

Positioning in Epiroc appears broadly neutral, although short interest has been building. Short interest first increased following the Q1 results and has risen further in recent months, reaching approximately 12 days to cover. Despite this, the shares continue to trade at around 20x forward EV/EBIT, compared with a historical average of 19x.

Figure 13: UBSe vs Cons

Epiroc (SEK M)	Q325 Actual	Q425 Actual	Q126 Actual	Q226 Actual	Q3 26E UBS F'cast	Q3 26E Cons'us	Change Yoy	UBS vs Cons'us
ORDERS								
Equipment & Service	**11,439**	**12,313**	**14,230**	**13,432**	**13,933**	**13,447**	***17.4%***	***3.6%***
Change %	*-3.3%*	*1.1%*	*15.0%*	*16.7%*	*21.8%*	*17.7%*		
Organic %	*5.5%*	*7.7%*	*26.8%*	*16.4%*	*18.0%*	*15.1%*		
Equipment	**5,217**	**5,605**	**7,410**	**6,467**	**6,979**	**6,526**	***24.0%***	***6.9%***
Change %	*0.9%*	*-3.0%*	*29.5%*	*29.1%*	*33.8%*	*25.1%*		
Organic %	*10.0%*	*10.0%*	*44.0%*	*30.0%*	*30.0%*	*22.6%*		
Service	**6,222**	**6,708**	**6,820**	**6,965**	**6,954**	**6,924**	***11.9%***	***0.4%***
Change %	*-6.6%*	*-5.0%*	*2.5%*	*7.2%*	*11.8%*	*11.3%*		
Organic %	*2.0%*	*6.0%*	*12.0%*	*6.0%*	*8.0%*	*8.5%*		
Tools & Attachment	**3,677**	**3,645**	**4,099**	**3,864**	**4,036**	**3,968**	***5.1%***	***1.7%***
Change %	*0.6%*	*-7.0%*	*-2.1%*	*3.2%*	*9.8%*	*7.9%*		
Organic %	*8.0%*	*4.0%*	*9.0%*	*4.0%*	*6.0%*	*5.6%*		
Orders received	**15,142**	**15,970**	**18,340**	**17,305**	**17,978**	**17,541**	***14.3%***	***2.5%***
Change %	*-2.4%*	*-1.3%*	*10.6%*	*13.3%*	*18.7%*	*15.8%*		
Organic %	*6.1%*	*6.8%*	*22.3%*	*13.4%*	*15.1%*	*12.7%*		
REVENUE								
Equipment & Service	**11,513**	**12,469**	**10,776**	**12,839**	**12,554**	**13,144**	***11.5%***	***-4.5%***
Change %	*-3.0%*	*-6.3%*	*-7.9%*	*12.3%*	*9.0%*	*14.2%*		
Organic %	*6.1%*	*4.0%*	*1.3%*	*13.5%*	*5.3%*	*11.6%*		
Equipment	**5,225**	**5,920**	**4,512**	**5,938**	**5,526**	**6,199**	***13.6%***	***-10.8%***
Change %	*0.9%*	*-5.9%*	*-11.0%*	*18.5%*	*5.8%*	*18.6%*		
Organic %	*10.0%*	*4.0%*	*-1.0%*	*21.0%*	*2.0%*	*16.4%*		
Service	**6,288**	**6,549**	**6,264**	**6,901**	**7,028**	**6,948**	***9.7%***	***1.2%***
Change %	*-6.1%*	*-6.7%*	*-5.5%*	*7.4%*	*11.8%*	*10.5%*		
Organic %	*3.0%*	*4.0%*	*3.0%*	*7.0%*	*8.0%*	*7.7%*		
Tools & Attachment	**3,704**	**3,608**	**3,564**	**3,854**	**4,066**	**4,016**	***4.0%***	***1.2%***
Change %	*-2.8%*	*-7.3%*	*-6.5%*	*5.2%*	*9.8%*	*8.4%*		
Organic %	*4.0%*	*4.0%*	*5.0%*	*7.0%*	*6.0%*	*6.1%*		
Structural %						*0.0%*		
FX %								
Group Revenue	**15,242**	**16,090**	**14,351**	**16,702**	**16,629**	**17,201**	***9.6%***	***-3.3%***
Change %	*-2.9%*	*-6.7%*	*-7.6%*	*10.4%*	*9.1%*	*12.7%*		
Organic %	*5.5%*	*4.0%*	*2.2%*	*11.9%*	*5.4%*	10.1%		
OPERATING PROFIT								
Equipment & Service	**2,527**	**2,761**	**2,584**	**2,967**	**2,850**	**3,039**	***17.4%***	***-6.2%***
Operating margin, %	*21.9%*	*22.1%*	*24.0%*	*23.1%*	*22.7%*	23.1%		
Tools & Attachment	**430**	**445**	**404**	**488**	**515**	**511**	***13.5%***	***0.7%***
Operating margin, %	*11.6%*	*12.3%*	*11.3%*	*12.7%*	*12.7%*	12.7%		
Corporate group functions	**(61)**	**(60)**	**(120)**	**(106)**	**(83)**	**(83)**		
One-off gains/charges	(94)	58	(22)	(33)	-	24		
Group operating EBIT	**2,896**	**3,146**	**2,868**	**3,349**	**3,282**	**3,469**	***15.6%***	***-5.4%***
Operating margin, %	*19.0%*	*19.6%*	*20.0%*	*20.1%*	*19.7%*	20.2%		
Underlying PBT	**2,660**	**3,031**	**2,784**	**3,219**	**3,150**	**3,314**	*21.0%*	*-4.9%*
Operating net income	2,027	2,305	2,121	2,456	2,412	2,585	*21.2%*	*-6.7%*
UBS operating EPS, SEK	**1.68**	**1.91**	**1.75**	**2.03**	**1.99**	**2.14**	***21.1%***	
Change yoy, %	*-6.6%*	*-1.8%*	*-4.0%*	*10.7%*	*18.9%*			
Reported EPS, SEK	1.6	1.9	1.7	2.0	2.0	2.1	*24.2%*	*-4.7%*

Source: Company data, UBS Research, VisibleAlpha

FLSmidth – Buy, PT: DKK 680

Q326 Preview: No large orders announced (yet). Will we see any Q4?

Since publishing our preview, we have updated our estmates to reflect large orders received in the quarter. We now sit +17%/-1%/+1% vs consensus on orders/revenue/adj. EBITA. Overall, we see the print as a positive catalyst. FLS report Q3 results on 11 November.

Products: Overall, we are **+100%** / -3% / -48% versus consensus on orders, revenue and adj. EBITA. We forecast +175% organic order growth (vs. consensus at +38%), -20% organic revenue decline (vs. consensus at -16%) and a -2.6% margin (vs. consensus at -4.0%). On orders, we expect FLSmidth to a significant DKK 1.3bn, which reflects underlying orders of 550 MDKK (usual run rate of 400-700m DKK), of which there could be upside given we could see a rebound from weak underlying order intake in Q2 (excluding the large order booked during the quarter), combined with the three large orders announced in the quarter. On revenue, we forecast results around the mid-point of the DKK 400-700m run-rate, which drives our negative margin expectations given we forecast revenues below the estimated DKK 700-750m required breakeven level.

Service: Overall, we are +1% / -1% / -2% versus consensus on orders, revenue and adj. EBITA. We forecast +4% organic order growth (vs. +4.5% consensus), +11% organic revenue growth (vs. +12%) and a 19.3% margin (vs. 19.7%). Following a strong Q2, we expect a modest sequential decline in orders and revenue. However, our revenue estimates remain within the normal DKK 2.2-2.3bn quarterly run-rate, which should support a margin within the normalised range of 19-20%.

PC&V: Overall, we are -1% / +3% / +2% vs consensus on orders, revenue and adj. EBITA. We forecast +8% organic order growth (vs +11% consensus), +10% organic revenue growth (vs +8%) and a 23.7% margin (vs 23.7%). After a stellar Q2, we expect a modest sequential decline in orders, while revenue should benefit from strong book-to-bill in H1. We expect margins to remain slightly below the normal 24-25% range, reflecting a more equipment-heavy mix and heightened mix sensitivity within PC&V.

Positioning (and valuation): FLS is increasingly short crowded with short interest sitting at 15 DTC with a UBS crowding score of c.-5 (UBS crowding score runs from -30 to +30). FLS is currently trading on a fwd EV/EBIT of 13.4x vs a 5Y average of 11.5x.

Figure 14: UBSe vs Cons

FLSmidth (DKKm)	Q225 Actual	Q325 Actual	Q425 Actual	Q126 Actual	Q226 Actual	Q326E UBS F'cast	Q326E Cons'us	Act. vs Cons'us	UBS vs Cons'us
Orders									
Service	2,068	2,141	2,511	2,451	2,409	2,291	2,277	7.6%	0.6%
Change yoy, %	*-7.5%*	*2.7%*	*6.8%*	*14.1%*	*16.5%*	*7.0%*	*6.0%*		*1.0%*
Organic yoy, %	*-1.0%*	*10.0%*	*14.0%*	*19.0%*	*14.0%*	*4.0%*	*4.5%*		*(0.5%)*
FX and inorganic yoy, %	*-6.5%*	*-7.3%*	*-7.2%*	*-4.9%*	*2.5%*	*3.0%*	*1.5%*		*1.5%*
Book:bill	*1.00*	*1.11*	*1.06*	*1.21*	*1.04*	*1.04*			
Products	681	472	1,120	594	702	1,312	660	(9.9%)	*99.0%*
Change yoy, %	*44.3%*	*-43.1%*	*20.7%*	*-31.3%*	*3.1%*	*178.0%*	*40.0%*		*138.0%*
Organic change yoy, %	*53.0%*	*-38.0%*	*28.0%*	*-28.0%*	*5.0%*	*175.0%*	*37.8%*		*137.2%*
FX and inorganic yoy, %	*-8.7%*	*-5.1%*	*-7.3%*	*-3.3%*	*-1.9%*	*3.0%*	*2.2%*		*0.8%*
Book:bill	*1.12*	*0.61*	*1.21*	*1.07*	*0.88*	*2.06*		*0.60*	
PC&V	768	735	772	853	915	816	825	3.4%	*(1.1%)*
Change yoy, %	*7.4%*	*-9.4%*	*14.9%*	*11.8%*	*19.1%*	*11.0%*	*12.5%*		*(1.5%)*
Organic change yoy, %	*13.0%*	*-4.0%*	*21.0%*	*16.0%*	*18.0%*	*8.0%*	*10.5%*		*(2.5%)*
FX and inorganic yoy, %	*-5.6%*	*-5.4%*	*-6.1%*	*-4.2%*	*1.1%*	*3.0%*	*1.9%*		*1.1%*
Book:bill	*1.08*	*0.98*	*0.99*	*1.22*	*1.12*	*0.96*			
Orders received	**3,517**	**3,348**	**4,403**	**3,898**	**4,026**	**4,419**	**3,762**	**3.6%**	***17%***
Change yoy, %	*2.5%*	*-10.6%*	*11.5%*	*3.2%*	*14.5%*	*32.0%*	*12.4%*		*19.6%*
Organic change yoy, %	*9.4%*	*-3.7%*	*18.5%*	*7.6%*	*13.1%*	*29.0%*	*10.7%*		*18.3%*
FX and inorganic yoy, %	*-6.8%*	*-6.9%*	*-7.0%*	*-4.4%*	*1.3%*	*3.0%*	*1.7%*		*1.3%*
Book:bill	*1.04*	*0.97*	*1.08*	*1.19*	*1.02*	*1.20*			
Revenue									
Service	2,063	1,933	2,370	2,021	2,324	2,204	2,214	(8.7%)	*(0.5%)*
Change yoy, %	*-2.5%*	*-3.1%*	*7.1%*	*-7.4%*	*12.7%*	*14.0%*	*14.5%*		*(0.5%)*
Organic change yoy, %	*-1.0%*	*4.0%*	*15.0%*	*-3.0%*	*11.0%*	*11.0%*	*11.8%*		*(0.8%)*
FX and inorganic yoy, %	*-1.5%*	*-7.1%*	*-7.9%*	*-4.4%*	*1.7%*	*3.0%*	*2.7%*		*0.3%*
Products	607	769	927	557	802	638	668	(16.6%)	*(4.5%)*
Change yoy, %	*-42.8%*	*-40.0%*	*-21.0%*	*-30.5%*	*32.1%*	*-17.0%*	*-13.1%*		*(3.9%)*
Organic change yoy, %	*-39.0%*	*-36.0%*	*-15.0%*	*-25.0%*	*34.0%*	*-20.0%*	*-16.0%*		*(4.0%)*
FX and inorganic yoy, %	*-3.8%*	*-4.0%*	*-6.0%*	*-5.5%*	*-1.9%*	*3.0%*	*2.9%*		*0.1%*
PC&V	708	751	776	701	818	849	827	(15.3%)	*2.6%*
Change yoy, %	*17.0%*	*1.8%*	*-2.0%*	*-3.3%*	*15.5%*	*13.0%*	*10.1%*		*2.9%*
Organic change yoy, %	*24.0%*	*7.0%*	*4.0%*	*1.0%*	*14.0%*	*10.0%*	*8.1%*		*1.9%*
FX and inorganic yoy, %	*-7.0%*	*-5.2%*	*-6.0%*	*-4.3%*	*1.5%*	*3.0%*	*2.1%*		*0.9%*
Group Revenue	**3,378**	**3,453**	**4,073**	**3,279**	**3,944**	**3,691**	**3,709**	***(11.6%)***	***(0.5%)***
Change yoy, %	*-11.7%*	*-14.6%*	*-3.9%*	*-11.6%*	*16.8%*	*6.9%*	*7.4%*		*(0.5%)*
Organic change yoy, %	*-7.6%*	*-8.1%*	*4.4%*	*-7.0%*	*15.8%*	*3.9%*	*4.1%*		*(0.2%)*
FX and inorganic yoy, %	*-4.2%*	*-6.5%*	*-8.4%*	*-4.6%*	*1.0%*	*3.0%*	*3.3%*		*(0.3%)*
OPERATING PROFIT									
Service	404	372	502	336	477	426	436	(23.0%)	*(2.4%)*
Operating margin, %	*19.6%*	*19.2%*	*21.2%*	*16.6%*	*20.5%*	*19.3%*	*19.7%*		*(0.4%)*
Products	(59)	(26)	39	(4)	15	(17)	(27)	(85.2%)	*(38.2%)*
Operating margin, %	*-9.7%*	*-3.4%*	*4.2%*	*-0.7%*	*1.9%*	*-2.6%*	*-4.0%*		*1.4%*
PC&V	168	184	194	168	191	201	196	(14.4%)	*2.3%*
Operating margin, %	*23.7%*	*24.5%*	*25.0%*	*24.0%*	*23.3%*	*23.7%*	*23.7%*		*(0.1%)*
Other	-	-	-	-	-	-	-		
Group operating EBITA	**513**	**530**	**735**	**500**	**683**	**610**	**605**	***(17.4%)***	***0.7%***
Operating margin, %	*15.2%*	*15.3%*	*18.0%*	*15.2%*	*17.3%*	*16.5%*	*16.3%*		*0.2%*
Drop through						*33.6%*			
Reported EBITA	**522**	**500**	**807**	**1,167**	**699**	**572**	**577**		***(0.9%)***
EBITA margin, %	*15.5%*	*14.5%*	*19.8%*	*35.6%*	*17.7%*	*15.5%*	*15.6%*		*(0.1%)*
Diluted EPS, continuing operations	**4.40**	**5.20**	**(2.72)**	**18.00**	**8.10**	**6.01**	**5.79**		
Change yoy, %	*266.7%*	*23.8%*	*-154.9%*	*233.3%*	*84.1%*	*15.5%*			

Source: Company data, UBS Research, VisibleAlpha

GEA – Buy, PT: €74

We expect strong Q3 orders based on GEA's bullish pre-close call (link). It mentioned good/strong demand for its main end market verticals such as food & beverage, dairy and pharma with visibility extending even until 2028 for trends like high protein. GEA is confident that it can grow at the compound rate of its 2030 guidance of >5% organically also in the coming years (consensus is just below 5%). We think this is supported by innovation and cost pressure in the food industry, consolidation in dairy and GEA's catching up in services. Combined with its margin self-help this could compound EBIT growth at a high single digit rate in the coming years. Trading on only c13 EV/EBIT this does not seem fully reflected in its valuation yet.

Figure 15: UBSe vs Cons

Orders	Q3 25 Actuals	Q3 26E UBSe	Q3 26E Cons	Δ
Pure Flow Processing	501	510	531	-3.9%
- Change YoY%		*1.9%*	*6.0%*	
Nutrition Plant Engineering	454	500	514	-2.6%
- Change YoY%		*10.2%*	*13.2%*	
Pharma & Food Applications	270	285	282	1.1%
- Change YoY%		*5.6%*	*4.4%*	
Farm Technologies	205	200	212	-5.5%
- Change YoY%		*-2.5%*	*3.2%*	
Total	**1,372**	**1,435**	**1,479**	**-3.0%**
- Change YoY%		*4.6%*	*7.8%*	
Revenues				
Pure Flow Processing	482	500	520	-3.9%
- Change YoY%		*3.8%*	*8.0%*	
Nutrition Plant Engineering	489	530	537	-1.3%
- Change YoY%		*8.4%*	*9.8%*	
Pharma & Food Applications	252	270	272	-0.9%
- Change YoY%		*7.2%*	*8.1%*	
Farm Technologies	201	215	212	1.3%
- Change YoY%		*7.1%*	*5.7%*	
Total	**1,366**	**1,455**	**1,482**	**-1.8%**
- Change YoY%		*6.5%*	*8.5%*	
Adj. EBITDA				
Pure Flow Processing	127	137	143	-4.1%
- margin%		*27.4%*	*27.5%*	*-7 bps*
Nutrition Plant Engineering	63	70	69	1.1%
- margin%		*13.2%*	*12.9%*	*31 bps*
Pharma & Food Applications	33	37	39	-5.2%
- margin%		*13.7%*	*14.3%*	*-63 bps*
Farm Technologies	36	40	37	7.8%
- margin%		*18.6%*	*17.5%*	*112 bps*
Total	**232**	**262**	**264**	**-0.6%**
- margin%		*18.0%*	*17.8%*	*22 bps*

Source: Company data, UBS Research, VisibleAlpha

IMI – Neutral, PT: GBp 2,925

Q326 Preview: Tougher comps to weigh Q3 growth

Summary

Bottom line

IMI report Q326 on 29th October 2026. Q326 is a trading update for IMI and there are no consensus expectations for the quarter. IMI report organic revenue growth by division and subdivision, Process Automation organic order growth and an update on guidance.

Thoughts on Q326

IMI are guiding MSD organic revenue growth for FY25, which implies 3-7% growth for H2. We currently forecast 2.5% organic growth for H2 given the tougher comps. We give our brief thoughts on the line items below.

- **PA organic order growth** - PA delivered a very strong order intake in Q2, which was partly driven by a strong nuclear order (£48m, c.8% of H1 order intake). We, and consensus, do not forecast process automation orders, however, a slowdown relative to Q2 is likely given the lumpiness of equipment orders and Epiroc haven't announced any large orders in the quarter, and we think this is appropriately reflected by consensus
- **PA organic revenue growth** - PA comes up against a tough comp in Q3, which was due to phasing of deliveries in the prior year, plus a small benefit from the catch up post cyber attack. Overall, we would expect a flattish development in Q3.The two key differences in our estimates vs consensus are 1) our better than consensus estimate for Service organic order growth, and 2) our better than consensus forecast for T&A margins
- **IA organic revenue growth** - Industrial automation still face relatively subdued end markets. H1 faced relatively easier comps and we expect the post cyber catch up in Q3 and tougher comps in Q4 to weigh on growth into the second half. We currently forecast 0% growth in the second half, which we think will equate to flattish growth in Q3 and Q4.
- **CC organic revenue growth** - We forecast 6% growth in H2 and expect a relatively even split between Q3 and Q4.
- **Life Science & Fluid Control organic revenue growth** - LS&FC comes up against a tough comp in Q3, due to a delivery catch up following the cyber attack. We estimate that this was a 12% tailwind in Q3 last year. Guidance implies a broadly flat (we forecast +1% growth) development in H226. Whilst we do not explicitly forecast orders, a -12% headwind in Q3 could translate to c.-5% growth in Q3 followed by c.7% growth in Q4.
- **Transport organic revenue growth** - Transport has relatively easy comps from the prior year with management commenting during the Q3 release that it was a "tough market, particularly in the US" and with some customers "shutting down for a week or more because of lack of demand". Management guided to MSD growth for the FY, which would imply a slowdown in H226 vs the 8% delivered in H1. We forecast 3% growth for H226E, but expect Q3 growth to be significantly higher than Q4 given the easy comp.

Figure 16: UBSe vs Cons

				H2'26E		Δ v Cons
IMI (£m)	H1'25	H2'25	H1'26	VA Cons	UBS	UBSe
Automation	**691**	**813**	**732**	**822**	**800**	***-3%***
Process automation	446	560	473	567	545	*-4%*
Industrial Automation	245	253	259	257	255	*-1%*
Life Technology	**400**	**400**	**427**	**414**	**418**	***1%***
Climate Control	204	206	218	212	220	*4%*
Life Science & fluid control	112	120	115	122	122	*0%*
Transport	84	74	94	77	77	*0%*
Group revenue	**1091**	**1213**	**1159**	**1236**	**1218**	***-1%***
Automation	***3%***	***13%***	***5%***	***4%***	***2%***	***(210 bps)***
Process automation	*8%*	*15%*	*5%*	*5%*	*3%*	*(280 bps)*
Industrial Automation	*-4%*	*2%*	*5%*	*1%*	*0%*	*(70 bps)*
Life Technology	***-1%***	***3%***	***5%***	***4%***	***4%***	***40 bps***
Climate Control	*5%*	*5%*	*4%*	*4%*	*6%*	*200 bps*
Life Science & fluid control	*-5%*	*5%*	*5%*	*1%*	*1%*	*(40 bps)*
Transport	*-9%*	*-2%*	*8%*	*6%*	*3%*	*(300 bps)*
Group org revenue growth	***2%***	***8%***	***5%***	***4%***	***2%***	***(190 bps)***
Automation	127	187	142	187	183	*-2%*
Life Technology	71	75	75	78	78	*-1%*
Group adj. operating profit	**198**	**262**	**217**	**265**	**261**	***-2%***
Automation	*18.4%*	*23.0%*	*19.4%*	*22.8%*	*22.9%*	*10 bps*
Life Technology	*17.8%*	*18.7%*	*17.6%*	*18.9%*	*18.6%*	*(30 bps)*
Group EBITA margin	***18.2%***	***21.6%***	***18.7%***	***21.5%***	***21.4%***	***(10 bps)***
EPS	**56**	**75**	**63**	**78**	**77**	***-1%***
DPS	**11.0**	**23.2**	**12.1**	**25**	**24.8**	***1%***

Source: Company data, UBS Research, Visible Alpha

KION - Buy, PT: €59

KION's group pre-close call implied roughly unchanged truck order momentum and sounded more or less in line with consensus but unchanged automation orders were 15% below consensus. We refer the latter to order lumpiness and think this can be caught up in Q4. We would also expect an eventual pick-up in counterbalance truck orders as the German economy improves further. KION's Q3 EBIT guidance was 6% below consensus where would refer some of the gap to the fact that the company has based its guidance on incomplete data, ie, is largely missing September. Overall, the potential for a FY guidance reset could still be a bottom-up brake on the share price whereas more constructive top down data would overcompensate this.

Figure 17: UBSe vs Cons

Orders	Q3 25 Actuals	Q3 26E UBSe	Q3 26E Cons	Δ
Industrial trucks & services	1,942	1,900	1,941	-2.1%
- Change YoY%		*-2.2%*	*-0.1%*	
Intelligent Automation Solutions	740	740	830	-10.8%
- Change YoY%		*0.0%*	*12.1%*	
Corporate services	75	48	67	-27.9%
- Change YoY%		*-35.8%*	*-11.0%*	
Total	**2,676**	**2,633**	**2,764**	**-4.7%**
- Change YoY%		*-1.6%*	*3.3%*	
	93	98		
Revenues				
Industrial trucks & services	1,944	1,975	1,983	-0.4%
- Change YoY%		*1.6%*	*2.0%*	
Intelligent Automation Solutions	769	830	864	-3.9%
- Change YoY%		*8.0%*	*12.4%*	
Corporate services	(9)	(5)	71	NM
- Change YoY%				
Group	**2,704**	**2,800**	**2,843**	**-1.5%**
- Change YoY%		*3.6%*	*5.1%*	
Adj. EBIT				
Industrial trucks & services	171	171	179	-4.3%
- margin%		*8.7%*	*9.0%*	*-35 bps*
Intelligent Automation Solutions	48	68	68	-0.5%
- margin%		*8.2%*	*7.9%*	*28 bps*
Corporate services	(28)	(31)	145	NM
- margin%				*NM*
Group	**190**	**208**	**217**	**-4.0%**
- margin%		*7.4%*	*7.6%*	*-19 bps*

Source: Company data, UBS Research, Visible Alpha

Knorr-Bremse – Buy, PT: €123

We expect Q3 rail orders to be at the higher end of the sequential guidance of 'flat to slightly higher' due to the sound environment in the rail industry. By contrast to guidance for flat we expect Q3 rail revenues to be somewhat lower than Q2 on seasonality and backend loaded phasing of revenues. We expect margins to be slightly up, ie, consistent with guidance. We expect truck orders to be in line with guidance of c€1bn but sales slightly lower on component shortage (guidance was for flat). We see margins up slightly, ie, consistent with guidance. We expect it to reiterate FY guidance and to guide for flat rail and truck orders or slightly lower, but sales higher in rail and at least stable in trucks as well as margins at least stable to slightly higher in both divisions. Overall, the results could be seen as a non event supporting the ongoing trend of sideway consolidation in the shares. However, we are bullish longer term due to the high quality of the rail business as well as the German stimulus angle of the overall investment case.

Figure 18: UBSe vs Cons.

Orders	Q3 25 Actuals	Q3 26E UBSe	Q3 26E Cons	Δ
Rail Vehicle Systems	1,173	1,173	1,192	-1.6%
- Change YoY%		*0.0%*	*1.6%*	
Commerial Vehicle Systems	783	1,002	988	1.5%
- Change YoY%		*28.0%*	*26.1%*	
Corp. & Elim.	0	(1)	(1)	
Group	**1,956**	**2,175**	**2,180**	**-0.2%**
- Change YoY%		*11.2%*	*11.4%*	
Revenues				
Rail Vehicle Systems	1,050	1,142	1,158	-1.3%
- Change YoY%		*8.8%*	*10.3%*	
- Organic Growth %		*5.5%*	5.2%	
Commerial Vehicle Systems	833	932	939	-0.7%
- Change YoY%		*11.9%*	*12.7%*	
- Organic Growth %		*12.9%*	12.1%	
Corp. & Elim.	(0)	(1)	(1)	
Group	**1,883**	**2,074**	**2,094**	**-1.0%**
- Change YoY%		*10.1%*	*11.2%*	
- Organic Growth %		*8.7%*	*3.4%*	
Adj. EBIT				
Rail Vehicle Systems	179	204	207	-1.8%
- margin%		*17.8%*	*17.9%*	*-8 bps*
Commerial Vehicle Systems	88	113	116	-2.3%
- margin%		*12.1%*	*12.3%*	*-19 bps*
Corp. & Elim.	(17)	(16)	(17)	
Group	**251**	**301**	**306**	**-1.8%**
- margin%		*14.5%*	*14.6%*	*-12 bps*

Source: Company data, UBS Research, VisibleAlpha

Krones – Buy, PT: €145

We expect order intake slightly lower than a year ago. We think the company sees mixed order momentum globally with investment in Asia suffering from higher energy cost which weigh on beverage companies' opex, stable Europe and solid demand in North America. We believe that Krones will reiterate its book-to-bill guidance of slightly above 1 that implies 10-15% q/q order growth for Q4 on the back of a solid pipeline and seasonality. We expect moderate Q3 top line growth and a tailwind from exchange rates for Q3. We see EBITDA margins along the lines of H1 at 10.8% which implies a 50bp y/y improvement. We think Krones will reiterate FY revenue guidance growth of 3-5% (ex FX) and EBITDA margins of 10.7-11.1%. With the current order intake level not supportive enough yet for achieving mid-single digit growth in 2027 and beyond we expect further slight consensus downgrades for 2027 and 2028. While this would seem more than priced in the current low valuation it could still represent a near term sentiment headwind.

Figure 19: UBSe vs Cons.

Orders	Q3 25 Actuals	Q3 26E UBSe	Q3 26E Cons	Δ
Total	**1,374**	**1,350**	**1,378**	**-2.0%**
- Change YoY%		*-1.8%*		
Revenues				
Total	**1,381**	**1,400**	**1,414**	**-1.0%**
- Change YoY%		*1.4%*	*2.4%*	
Adj. EBITDA				
Total	**142**	**150**	**154**	**-2.5%**
- margin%	*10.3%*	*10.7%*	*10.9%*	

Source: Company data, UBS Research, VisibleAlpha

Metso – Buy, PT: €21.50

Q326 Preview: We expect an in-line quarter

Bottom line

Metso report Q3 results on October 22nd. Overall, we land in line with consensus on orders/revenue/adj. EBITA. We do fall slightly below consensus on organic development, but our higher FX estimates bridge the gap. Metso delivered a strong order beat in Q2 and expectations into Q3 are strong. As a result of this and an elevated valuation relative to history, we note that short interest has picked up sharply with investors likely seeing better risk-reward elsewhere in the subsector into the quarter. Overall, we think the continued strong growth trends will continue this quarter in Minerals, but we see flattish development YoY in Aggregates as higher energy prices stalls the European recovery.

Thoughts on Q326

In Minerals, we expect a similar Equipment order intake as Q2 with more announced orders offset by an expectation for lower small and medium-sized orders (Q2 was a very strong quarter In that regard). We also continue to forecast strong AM growth trends but note that the comps get tougher, which we expect will drive a slight deceleration vs Q2. Meanwhile, after a strong start to the year in Aggregates, we expect a flat performance in Q3 YoY. We expect to see a similar dynamic as Q2 whereby strength in the US was offset by Europe as high energy prices weighed on Aggregates production.

Why we continue to like Metso

1) We think Metso is the best way to play the mining capex theme, and is well geared towards copper and gold capex growth, 2) we think the outlook for margins is good with improved gross margins, a favourable service mix in the backlog and potential leverage in Aggregates when European volumes return, and 3) into 2027, Equipment comps look relatively easy given the lack of large order announcements so far in 2026 - with a strong pipeline of copper projects expected to FID soon this could drive strong growth rates in 2027.

Positioning and valuation

Metso is the most short crowded mining equipment name, and we've recently seen short interest pick up sharply. From a valuation standpoint, Metso is trading at a premium vs history on a fwd EV/EBIT of 15.8x vs 5Y average of 12.2x.

Figure 20: UBSe vs Cons

METSO (EUR M)	Q225 Actual	Q325 Actual	Q425 Actual	Q126 Actual	Q226 Actual	Q326E UBS F'cast	Q326E Cons'us	UBS vs Cons'us	Change Yoy
Minerals	903	984	1,194	1,115	1,129	1,148	1,136	1.0%	23.5%
Change yoy, %	*6.6%*	*0.6%*	*1.8%*	*4.6%*	*24.1%*	*16.7%*	*15.5%*		
Organic change yoy, %	*12.0%*	*5.0%*	*4.0%*	*8.0%*	*21.0%*	*12.1%*	*12.3%*		
Aggregates	331	280	307	440	333	293	298	(1.9%)	32.9%
Change yoy, %	*5.4%*	*8.1%*	*4.4%*	*10.0%*	*0.6%*	*4.6%*	*6.6%*		
Organic change yoy, %	*5.0%*	*9.0%*	*10.0%*	*17.0%*	*1.0%*	*0.0%*	*4.2%*		
Orders received	**1,234**	**1,264**	**1,501**	**1,555**	**1,462**	1,441	**1,435**	*0.4%*	*26.0%*
Change yoy, %	*6.2%*	*3.1%*	*2.4%*	*6.1%*	*17.8%*	*14.0%*	*13.5%*		
Organic change yoy, %	*10.0%*	*6.0%*	*5.0%*	*10.0%*	*16.0%*	*9.4%*	*10.7%*		
Acquisitions, %	*2.0%*	*1.0%*	*0.0%*	*0.0%*	*0.0%*	*0.0%*	*0.3%*		
FX, %	*-5.0%*	*-5.0%*	*-3.0%*	*-4.0%*	*2.0%*	*4.6%*	*3%*		
REVENUE									
Minerals	892	1,019	1,113	953	992	1,126	1,126	*0.1%*	*6.8%*
Change yoy, %	*1.0%*	*9.8%*	*10.1%*	*5.2%*	*6.0%*	*10.5%*	*10.5%*		
Organic change yoy, %	*5.0%*	*13.0%*	*12.0%*	*6.0%*	*4.0%*	*6.0%*	*7.3%*		
Aggregates	320	309	330	299	342	339	339	*(0.2%)*	*(6.6%)*
Change yoy, %	*-3.3%*	*9.2%*	*13.8%*	*-2.6%*	*6.9%*	*9.6%*	*9.8%*		
Organic change yoy, %	*-5.0%*	*8.0%*	*19.0%*	*3.0%*	*8.0%*	*5.0%*	*7.3%*		
Group Revenue	**1,213**	**1,328**	**1,443**	**1,252**	**1,334**	1,465	**1,465**	*(0.0%)*	*3.2%*
Change yoy, %	*-0.1%*	*9.7%*	*11.0%*	*3.2%*	*6.2%*	*10.3%*	*10.3%*		
Organic change yoy, %	*2.3%*	*12.0%*	*13.6%*	*5.2%*	*5.1%*	*5.7%*	*7.4%*		
Acquisitions, %	*2.1%*	*1.9%*	*1.6%*	*1.5%*	*0.0%*	*0.0%*	*0.2%*		
FX, %	*-4.5%*	*-4.0%*	*-3.4%*	*-3.5%*	*0.9%*	*4.6%*	*3.2%*		
OPERATING PROFIT									
Minerals	143	184	190	168	182	211	209	*0.9%*	*17.5%*
Operating margin, %	*16.0%*	*18.1%*	*17.1%*	*17.6%*	*18.3%*	*18.7%*	*18.6%*		
Aggregates	45	48	53	48	56	54	56	*(3.0%)*	*6.7%*
Operating margin, %	*14.1%*	*15.5%*	*16.1%*	*16.1%*	*16.4%*	*16.0%*	*16.4%*		
Corporate group functions	(17)	(10)	(11)	(13)	(17)	(12)	(11.2)		
Group operating EBITA	**171**	**222**	**232**	**203**	**221**	253	**253**	*(0.1%)*	*18.7%*
Operating margin, %	*14.1%*	*16.7%*	*16.1%*	*16.2%*	*16.6%*	*17.3%*	*17.3%*		
Drop through, %									
Reported EBIT	**173.0**	**205.0**	**183.0**	**165.0**	**185.0**	**234.7**	**231**	*1.4%*	*(4.6%)*
EBIT margin, %	*14.3%*	*15.4%*	*12.7%*	*13.2%*	*13.9%*	*16.0%*	*15.8%*		
Net interest	(33)	(20)	(30)	(14)	(19)	(17)	(21)		
Underlying PBT	**116.0**	**183.0**	**180.0**	**167.8**	**181.0**	**217.3**	**214**	*1.5%*	*44.7%*
Operating net income	86.8	140.5	139.4	125.5	138.5	165.2	165		
UBS operating EPS	**0.10**	**0.17**	**0.17**	**0.15**	**0.17**	0.20	**0.20**	*0.8%*	*44.5%*
Change yoy, %									

Source: Company data, UBS Research, VisibleAlpha

Prysmian - Buy, PT €175

Pulling on another strand, Grid adds to Fibre growth by 2028, Buy

Bottom line

We see 3Q26 as one of the most important prints of the year for Prysmian and we are ~3% ahead of V.A cons. EBITDA. Digital Solutions (DS) will be the key focus again where we forecast 25% organic growth, driven by higher fibre prices (US is up ~135% y/y in Aug-26), as PRY repurposes capacity towards data centres with upside risk into the Digital Solutions division margins (+2ppt% QoQ from 2Q26). We believe FY26 EBITDA guidance will be upgraded by ~3.5% at the mid-point, with a new range of €2.9bn-€3.0bn, versus the current €2.8bn-€2.9bn and V.A cons of €2.9bn.

Key focus into 3Q:

- **Fibre optics to drive DS organic growth.** Our 3Q estimate of ~25% organic growth requires fibre pricing to be up~50% YoY, and we believe this can be a catalyst for 2027 upgrades for DS where we ~30% ahead of V.A EBITDA. Pricing benefits from the impact of Molex volumes (signed in July), and from additional repurposing of fibre into DC customers away from typical telecoms driving better margins.
- **Transmission and Grid organic set to be robust.** We see upside risk to Transmission organic growth vs consensus, with new capacity driving activity, which can carry higher margins at 3Q moving to new highs. The stabilisation fo the aluminium mid-west premium in the US through 3Q, should help Grid to recover margins and we are 3% ahead of cons. EBITDA here, and then 7% ahead in 2027 as new US capacity comes online.
- **Electrification; strong DC exposure.** Has experienced a step up in demand in recent months. This is a higher margin element and should be able to support Electrification margins in 3Q, after flat margins across 1Q-2Q in 2026.
- **Timing of new fibre hyperscaler long term agreements (LTA).** We are still waiting for the LTA contract for fibre optic capacity, as PRY moves from €5.5bn on long-term contracts, towards > €10bn that was announced as a target at 2Q results. Potential catalysts into 4Q would be well-received.

Figure 21: Figure 22: UBSe vs Cons

Prysmian (in €m)	Q3 25 Actual	Q2 26 Actual	Q3 26e F'cast	Q3 26 C'sus	*UBS vs C'sus*
Total revenue	**5,030**	**6,021**	**6,012**	**5,971**	*0.7%*
Organic growth	8.9%	9.4%	12.4%	9.4%	
Transmission	**877**	**882**	**1,040**	**1028**	*1.2%*
Organic growth	39.0%	14.3%	19.4%	13.6%	
Power Grid	**985**	**1,206**	**1,169**	**1,175**	*-0.5%*
Organic growth	14.8%	13.0%	13.1%	11.9%	
Electrification	**2,702**	**3,393**	**3,205**	**3,189**	*0.5%*
Organic growth	-0.2%	5.5%	7.6%	6.7%	
Digital Solutions	**466**	**540**	**598**	**579**	*3.4%*
Organic growth	13.4%	18.0%	25.4%	22.3%	
Adjusted EBITDA	**644**	**730**	**824**	**800**	*3.0%*
EBITDA margin	12.8%	12.1%	13.7%	13.4%	
Transmission	**152**	**179**	**216**	**211**	*2.3%*
EBITDA margin	17.3%	20.3%	20.7%	20.5%	
Power Grid	**125**	**135**	**144**	**140**	*3.0%*
EBITDA margin	12.7%	11.2%	12.3%	11.9%	
Electrification	**279**	**294**	**317**	**309**	*2.7%*
EBITDA margin	10.3%	8.7%	9.9%	9.7%	
Digital Solutions	**88**	**122**	**148**	**140**	*5.3%*
EBITDA margin	18.8%	22.6%	24.7%	24.2%	
Working Capital	**77**	**-266**	**451**	**266**	*69.5%*
Capex	**-125**	**-147**	**-250**	**-226**	*10.2%*
FCF	**36**	**111**	**799**	**922**	*-13.4%*
Net Debt / (Cash)	**4318**	**4,158**	**3,660**	**3,996**	*-8.4%*

Source: Company data, UBS Research, VisibleAlpha

Rheinmetall – Buy, PT: €1600

Rheinmetall confirmed its Q3 revenues guidance when it provided its Q3 pre-close document update (link). It stated that Q3 revenues should grow in line with its full year guidance of 37-42%, ie, in line with consensus at +41%. It also underlined its confidence in the Boxer Arminius project decision in December. Furthermore, it addressed the current mix shift for artillery ammunition towards long range artillery now accounting for 70-80% of contracts. We think this is clearly mix accretive. Following the results all eyes should be on the capital markets day at the end of November. We expect an update of the 2030 targets and hope that the company comes up with an upside/downside range rather than a point estimate like last year (€50bn). In addition, we think that in order to improve sentiment it needs to do whatever is under its control. We think having a greater focus on the new tech and terminal value undisputed and legacy tech and terminal value disputed businesses in standalone entities would be beneficial. This is because at the moment all of its earnings seem to be rated on a lower legacy tech terminal value multiple.

Figure 23: UBSe vs Cons

	Q3 25 Actuals	Q3 26E UBSe	Q3 26E Cons	Δ
Revenues				
Weapon and ammunition	691	1,000	984	1.6%
- Change YoY%		44.7%	42.4%	
Air defence	154	250	238	5.1%
- Change YoY%		62.3%	54.5%	
Digital Systems	367	450	479	-6.0%
- Change YoY%		22.6%	30.4%	
Naval systems	-	300	313	-4.1%
- Change YoY%				
Vehicle systems	1,338	1,400	1,593	-12.1%
- Change YoY%		4.6%	19.0%	
Consolidation	-242	-270	-333	
Group sales	**2,308**	**3,130**	**3,273**	**-4.4%**
- Change YoY%		*35.6%*	*41.8%*	
Adj. EBIT				
Weapon and ammunition	160	235	245	-3.9%
- margin %	23.2%	23.5%	24.9%	
Air defence	23	39	43	-8.2%
- margin %	14.9%	15.6%	17.9%	
Digital systems	34	37	54	-32.0%
- margin %	9.3%	8.2%	11.4%	
Naval systems	-	27	34	-19.6%
- margin %	#DIV/0!	9.0%	10.7%	
Vehicle systems	168	170	203	-16.4%
- margin %	12.6%	12.1%	12.8%	
Consolidation	-25	-32	-34	
Group EBIT	**360**	**476**	**545**	**-12.6%**
- margin%	*15.6%*	*15.2%*	*16.6%*	

Source: Company data, UBS Research, Vara

Sandvik – Sell, PT: SEK 300

[Q326 preview: How much pricing will come through in metal cutting?]

Bottom line

Sandvik report Q3 results on 22nd October 2026. Overall, we land 0%/+2%/+5% vs consensus. Whilst we're ahead of consensus on earnings, we are less certain whether this would be enough for a positive share price reaction on the day of results. Once again, we think the key focus will be on the performance of Machining given the weight of tungsten earnings. We also believe the share price reaction on the day will hinge on the commentary around whether the tungsten dynamics are playing out in Sandvik's favour or not. For example, whether competition is easing, given Sandvik's relatively better access to the raw material than US/Japanese competitors, or whether it's intensifying through Chinese players taking share. On the latter point, we have not (yet) seen any clear evidence that Chinese competitors are increasing their international exports, but this is a key data point we are following. On the tungsten dynamics, we suspect that Sandvik put through a substantial price increase in metal cutting in September, the scale of which is not fully reflected in consensus earnings. Meanwhile, consensus estimates in the Mining business appear high given the lack of large order announcements. Crowding and short interest data points towards Sandvik being quite long crowded, but our sense is that positioning is a bit more mixed.

Where we are vs consensus

Overall, we land 0%/+2%/+5% vs consensus on orders/revenues/adj. EBITA. We have detailed our thoughts on modelling the quarter in the note. On orders and revenue, we are ahead of consensus in Machining which is driven by continued strength in powder coupled with our expectations for very strong YoY pricing in Machining. We are behind consensus on Mining orders driven by a large order headwind (Sandvik have received few large orders in the quarter). However, we end up ahead of consensus margins in all three divisions, which is partly a function of transactional FX turning positive in the quarter. We increase our estimates by +8%/+6%/+3% in 2026/2027/2028 as we take a more simple approach to modelling the tungsten dynamics in Machining.

Valuation:

We maintain our PT of 300 SEK. The 3% uplift to 2028 earnings estimates is offset by a slight derating of peers in our SOTP. Sandvik is currently trading on a 16.3x fwd EV/EBIT multiple vs a historic average of 14.1x. We see this as high given, in our view, we are close to peak tungsten earnings.

Figure 24: UBSe vs Cons

SANDVIK (SEK m)	Q2 25 Actual	Q3 25 Actual	Q4 25 Actual	Q1 26 Actual	Q2 26 Actual	Q3 26E F'cast	Q3 26E C'sus	UBS vs c'sus	Change Yoy
ORDERS									
Mining	17,888	16,890	17,289	19,038	20,053	18,603	19,438	-4.3%	4.0%
Change, yoy%	*5.0%*	*12.6%*	*4.7%*	*11.1%*	*12.1%*	*10.1%*	*15.1%*		
Organic growth %	*18.0%*	*24.0%*	*17.0%*	*22.0%*	*11.0%*	*7.0%*	*12.3%*		
Rock Processing	2,616	2,735	2,479	2,942	2,838	3,044	3,050	-0.2%	16.4%
Change, yoy%	*-2.8%*	*0.2%*	*-9.4%*	*2.8%*	*8.5%*	*11.3%*	*11.4%*		
Organic growth %	*8.0%*	*9.0%*	*0.0%*	*12.0%*	*7.0%*	*4.1%*	*4.9%*		
Machining	10,935	10,420	12,033	13,760	14,068	14,932	14,462	3.2%	36.6%
Change, yoy%	*0.0%*	*0.0%*	*0.0%*	*17.1%*	*28.7%*	*43.3%*	*37.6%*		
Organic growth %	*0.0%*	*7.0%*	*15.0%*	*28.0%*	*30.0%*	*39.9%*	*37.4%*		
Intelligent Manufacturing	728	675	917	1,016	840	831	797	4.3%	14.2%
Change, yoy%	*0.0%*	*0.0%*	*0.0%*	*6.1%*	*15.4%*	*0.0%*	*15.5%*		
Organic growth %	*1.0%*	*10.0%*	*16.0%*	*11.0%*	*7.0%*	*10.4%*	*8.1%*		
OTHER OPERATIONS	0	0	0	0	0	0	-90		
GROUP ORDERS	**32,206**	**30,769**	**32,717**	**36,756**	**37,799**	**37,411**	**37,498**	**-0.2%**	**16.2%**
Change, yoy%	*-0.5%*	*6.8%*	*3.7%*	*12.2%*	*17.4%*	*21.6%*	*21.9%*		
Organic growth %	*9.8%*	*16.4%*	*14.7%*	*23.0%*	*17.1%*	*18.0%*	*18.9%*		
Acquired growth, %	*0.4%*	*0.1%*	*0.1%*	*0.4%*	*0.3%*	*0.7%*	*0.3%*		
Currency growth, %	*-10.6%*	*-9.7%*	*-11.2%*	*-11.2%*	*0.0%*	*3.1%*	*2.3%*		
SALES									
Mining	15,469	15,240	17,588	15,206	18,527	18,237	18,260	-0.1%	17.9%
Change, yoy%	*-4.2%*	*-3.8%*	*1.6%*	*3.6%*	*19.8%*	*19.7%*	*19.8%*		
Organic growth %	*7.3%*	*5.7%*	*14.2%*	*13.6%*	*18.5%*	*16.6%*	*17.2%*		
Rock Processing	2,505	2,600	2,715	2,425	2,691	2,949	2,914	1.2%	17.7%
Change, yoy%	*-7.4%*	*-5.5%*	*-3.1%*	*-7.3%*	*7.4%*	*13.4%*	*12.0%*		
Organic growth %	*2.5%*	*2.3%*	*6.8%*	*0.4%*	*5.8%*	*6.2%*	*6.8%*		
Machining	10,925	10,560	11,295	12,271	14,653	15,077	14,618	3.1%	38.0%
Change, yoy%	*0.0%*	*0.0%*	*0.0%*	*9.3%*	*34.1%*	*42.8%*	*35.7%*		
Organic growth %	*-2.0%*	*4.0%*	*11.0%*	*19.4%*	*35.5%*	*39.4%*	*37.1%*		
Intelligent Manufacturing	750	774	864	783	880	943	892	5.7%	25.7%
Change, yoy%	*0.0%*	*0.0%*	*0.0%*	*7.6%*	*17.3%*	*21.8%*	*15.2%*		
Organic growth %	*6.0%*	*6.0%*	*13.0%*	*10.0%*	*9.1%*	*9.0%*	*7.6%*		
OTHER OPERATIONS	0	0	0	0	0	0	-14		
GROUP SALES	**29,700**	**29,218**	**32,461**	**30,685**	**36,751**	**37,207**	**36,632**	**1.6%**	**25.3%**
Change, yoy%	*-5.5%*	*-3.6%*	*1.0%*	*4.7%*	*23.7%*	*27.3%*	*25.4%*		
Organic growth %	*3.4%*	*4.6%*	*12.3%*	*14.5%*	*23.4%*	*23.7%*	*23.0%*		
Acquired growth, %	*0.9%*	*0.1%*	*0.1%*	*0.4%*	*0.5%*	*0.7%*	*0.4%*		
Currency growth, %	*-9.8%*	*-8.2%*	*-11.4%*	*-10.0%*	*0.0%*	*3.1%*	*2.1%*		
UNDERLYING EBITA									
Mining	3,144	3,059	3,784	3,004	3,793	4,098	3,941	4.0%	30.3%
Margin, %	*20.3%*	*20.1%*	*21.5%*	*19.8%*	*20.5%*	*22.5%*	*21.6%*		
Rock Processing	365	392	394	290	392	479	458	4.6%	31.1%
Margin, %	*14.6%*	*15.1%*	*14.5%*	*12.0%*	*14.6%*	*16.2%*	*15.7%*		
Machining	2,148	2,010	2,183	2,810	4,209	3,966	3,744	5.9%	84.6%
Margin, %	*19.7%*	*19.0%*	*19.3%*	*22.9%*	*28.7%*	*26.3%*	*25.6%*		
Intelligent Manufacturing	151	171	215	162	198	209	206	1.4%	38.6%
Margin, %	*20.1%*	*22.1%*	*24.9%*	*20.7%*	*22.5%*	*22.2%*	*23.1%*		
OTHER OPERATIONS	-177	-96	-203	-129	-287	-186	-171		
UNDERLYING EBITA	**5,629**	**5,539**	**6,373**	**6,137**	**8,305**	**8,566**	**8,157**	**5.0%**	**52.2%**
Margin, %	*19.0%*	*19.0%*	*19.6%*	*20.0%*	*22.6%*	*23.0%*	*22.3%*		
UNDERLYING EBIT	**5,194**	**5,102**	**5,942**	**5,720**	**7,855**	**8,120**	**7,702**	**5.4%**	**56.3%**
Margin, %	*17.5%*	*17.5%*	*18.3%*	*18.6%*	*21.4%*	*21.8%*	*21.0%*		
Reported EBIT	**4,551**	**5,165**	**5,885**	**5,331**	**7,232**	**8,120**	**7,656**	*6.1%*	*13.5%*
Margin, %	*15.3%*	*17.7%*	*18.1%*	*17.4%*	*19.7%*	*21.8%*	*20.9%*		
Net financing cost	(339)	(395)	(319)	(237)	(253)	(55)			16.5%
Reported PBT	4,212	4,770	5,566	5,094	6,979	8,065			
Adj PBT	**4,855**	**4,707**	**5,623**	**5,483**	**7,602**	**8,065**			-3.0%
Tax charge on Reported basis	(996)	(1,231)	(1,366)	(1,217)	(1,743)	(1,936)			
PAT	3,216	3,539	4,200	3,877	5,236	6,129			
Operating Net Income	**3,707**	**3,491**	**4,243**	**4,172**	**5,703**	**6,129**			-5.8%
EPS (diluted)	2.56	2.82	3.35	3.09	4.17	4.88	4.53	7.7%	10.1%
UBS EPS	**3.0**	**2.8**	**3.4**	**3.3**	**4.5**	**4.9**			**-5.8%**
EPS growth, %	*4.3%*	*-2.2%*	*-1.1%*	*10.5%*	*53.9%*	*75.5%*			

Source: Company data, UBS Research, Vara

Schneider – Buy, PT: €335

Confident Q3 pre-close call; see scope for a small FY organic growth guidance upgrade

Bottom line

Schneider CFO Nathan Fast hosted a confident analyst call ahead of Q3 2026 sales publication. Energy Management's strong H1 trends have continued into Q3 while management appeared comfortable with the current market expectations for Industrial Automation. We have nudged up our EM Q3 organic growth estimate to 15.9%, which compares to 15.4% in H1 (VA consensus 14.4%). We hence see the current c10% implied consensus Group organic growth for Q4 and 12.9% for FY as well supported. Consequently, we see scope for FY organic growth guidance to be increased slightly to 11-14% from the current 10-13% despite higher Q4 comparators (UBSe 14% org growth for 9M 2026). For margin, we found comments on the call on Price-Cost and Productivity reassuring and at this stage, we expect management to maintain the 19.4-19.7% guidance (cons. 19.7%, UBSe 19.6%). Reiterate Buy.

Key highlights for Q3

- **Q3 demand:** Demand is following at the same continuity of evolution as we are seeing in revenue.
- **Topline trends**
  - **Energy management:** We expect another strong quarter of organic growth in Q3 with H1 momentum being sustained. Schneider points to a positive trajectory in China and East Asia while North America drivers remain intact.
  - **Industrial automation:** Growth in IA should remain robust.
- **End markets**: Data Centre continued very strong with projects booked in Q3 to be executed in 2027 and 2028 and the strength of backlog building. On Resi, Infra and Industry the market trends have remained similar.
- **Geographically**
  - **China and East Asia:** continuing strong momentum in Q3 tied to Data Centre and Semis, with Ind. OEMs also relatively strong. On the other hand, Buildings, Resi and some Process remains subdued.
  - **North America:** Strong growth driven primarily by Data Centre however there is some broadening into Ind and Infrastructure, while Resi remains subdued.
  - **Europe:** growth to be stable with Data Centre execution improving in some countries
  - **South Asia and International:** Overall, the market remains constructive with continued strength in India (broad-based but especially Data Centre)
  - **Middle East:** Volatile but roughly stable QoQ and the headwinds are being contained hence should not be material at a group level
- **Price-cost:** Q2 price was 2.5x of Q1 and good price cost is expected to continue in H2. Schneider raised prices in response to the Middle East conflict and expect to be back to neutral price cost for FY.
- **Moving parts in IA:** Discrete automation continues to perform well, led by advanced manufacturing and semis. However process is not quite moving at the same pace in China.
- **Data Centre order conversion**: Orders are being placed for 12-18 months; however, Schneider are also seeing orders much further down the pyramid for individual components rather than full systems.
- **Capacity:** It takes 12-18 months to get capacity online. Capex to sales is likely to be slightly front loaded.

Figure 25: UBSe vs Cons

Schneider (in €m)	2Q 2025 Actual	3Q 2025 Actual	2Q 2026 Actual	3Q 2026E F'cast	3Q 2026E Cons'us	*UBS vs Cons'us*	*Change Yoy*
ENERGY MANAGEMENT							
North America	3,449	3,463	4,174	4,277	4,190	*2.1%*	*23.5%*
Change yoy, %	*11.3%*	*11.7%*	*21.0%*	*23.5%*	*21.0%*		
Organic growth, %	*14.6%*	*16.6%*	*24.8%*	*22.0%*	*19.6%*		
Europe	2,029	1,950	2,178	2,096	2,103	*(0.3%)*	*7.5%*
Change yoy, %	*5.2%*	*6.0%*	*7.3%*	*7.5%*	*7.8%*		
Organic growth, %	*3.2%*	*4.5%*	*7.8%*	*6.0%*	*7.3%*		
China & East Asia	1,308	1,217	1,565	1,479	1,431	*3.4%*	*21.5%*
Change yoy, %	*2.6%*	*(3.6%)*	*19.6%*	*21.5%*	*17.6%*		
Organic growth, %	*6.7%*	*2.4%*	*19.7%*	*20.0%*	*15.1%*		
South Asia & International	1,536	1,409	1,677	1,585	1,537	*3.2%*	*12.5%*
Change yoy, %	*3.0%*	*(2.8%)*	*9.2%*	*12.5%*	*9.1%*		
Organic growth, %	*15.6%*	*8.1%*	*13.2%*	*11.0%*	*10.4%*		
EM SALES	**8,322**	**8,039**	**9,594**	**9,437**	**9,238**	***2.2%***	***17.4%***
Change yoy, %	*6.8%*	*5.1%*	*15.3%*	*17.4%*	*14.9%*		
Organic growth, %	*10.5%*	*9.7%*	*17.7%*	*15.9%*	*14.4%*		
Acquired growth, %	*1.4%*	*0.9%*	*(0.7%)*	*0.0%*	*(0.1%)*		
Currency impact, %	*(4.5%)*	*(5.0%)*	*(1.4%)*	*1.5%*	*0.8%*		
INDUSTRIAL AUTOMATION							
North America	379	366	402	395	396	*(0.1%)*	*8.0%*
Change yoy, %	*(8.7%)*	*(7.6%)*	*6.1%*	*8.0%*	*8.1%*		
Organic growth, %	*(2.9%)*	*(1.6%)*	*7.7%*	*6.0%*	*6.2%*		
Europe	524	498	570	533	529	*0.7%*	*7.0%*
Change yoy, %	*0.6%*	*6.4%*	*8.8%*	*7.0%*	*6.3%*		
Organic growth, %	*1.1%*	*6.8%*	*8.2%*	*5.0%*	*5.8%*		
China & East Asia	407	423	493	478	481	*(0.6%)*	*13.0%*
Change yoy, %	*(7.9%)*	*1.2%*	*21.1%*	*13.0%*	*13.7%*		
Organic growth, %	*(3.6%)*	*7.6%*	*19.6%*	*11.0%*	*11.8%*		
South Asia & International	379	395	400	435	414	*4.8%*	*10.0%*
Change yoy, %	*(4.3%)*	*4.8%*	*5.5%*	*10.0%*	*4.9%*		
Organic growth, %	*0.8%*	*10.9%*	*8.8%*	*8.0%*	*6.1%*		
IA SALES	**1,689**	**1,682**	**1,865**	**1,841**	**1,820**	***1.1%***	***9.4%***
Change yoy, %	*(4.8%)*	*1.4%*	*10.4%*	*9.4%*	*8.2%*		
Organic growth, %	*(1.1%)*	*6.0%*	*11.0%*	*7.4%*	*7.3%*		
Acquired growth, %	*1.4%*	*0.9%*	*(0.1%)*	*0.0%*	*(0.0%)*		
Currency impact, %	*(5.1%)*	*(5.2%)*	*(0.5%)*	*2.0%*	*1.0%*		
GROUP REVENUE	**10,011**	**9,721**	**11,459**	**11,277**	**11,070**	***1.9%***	***16.0%***
Change yoy, %	*4.6%*	*4.4%*	*14.5%*	*16.0%*	*13.9%*		
Organic growth, %	*8.3%*	*9.0%*	*16.5%*	*14.4%*	*13.3%*		
Acquired growth, %	*1.4%*	*0.9%*	*(0.6%)*	*0.0%*	*(0.1%)*		
Currency impact, %	*(4.6%)*	*(5.0%)*	*(1.2%)*	*1.6%*	*0.9%*		

Source: Company data, UBS Research, VisibleAlpha

Siemens – Buy, PT: €330

Solid quarter ahead with SI continuing to charge ahead. DI FY27 margin guide will be key

Bottom line

We forecast Siemens Core (DI, SI, Mobility) to print strong 35% organic orders growth driven by Mobility as well as by continuing momentum in Smart Infrastructure (UBSe: 24% cons: 21.5%). We expect Core sales organic growth of 9%, broadly inline with consensus but with scope for upside in SI. With margin outlook unchanged across divisions, we expect broadly inline performance for Siemens Core at 17.6% for Q4. For FY27 outlook, we expect management to guide for HSD growth in DI and clear DD growth in SI (UBSe 7% /15% vs cons 8% / 11%). For margins, we expect guidance for further improvement in SI (UBSe +60bps to 20% on ex severance basis, cons 20.8%) and crucially we expect management guidance for DI to support the current consensus' 200bps margin expansion to 21.9% (UBSe: 21.7%) supported by c100bps of ALTR & Dotmatics integration costs falling out and synergies flowing through with the remaining 100bps driven by operational gearing and software margin improvement benefitting from SaaS transition. We maintain our Buy rating with €330 PT.

Key points for Q4:

- **Digital Industries**: Siemens are lapping a tough comp in EDA, hence we expect Software orders to be down c12% YoY. Our channel checks and leading indicators that we analyse point to the underlying market improving in Automation hardware and see orders up c1% YoY at c.€3.4bn. For DI overall we forecast orders of c.€5.6bn (cons: €5.7bn). **2/ Sales** - Siemens note healthy growth in August, particularly in China which is relatively broad-based (not only concentrated on value-for-money segment). Siemens guide for 5-7% growth, driven by automation and software. We forecast sales of €5.4, c6% organically, vs cons c7%. **3/ Margin** - Siemens guide for margin flat qoq at 18.7%. We forecast the margin ex-Severance to be 19.8%, -150bps yoy / +30bps qoq due to more Motion Control vs Factory Automation in the mix (cons: 19.9%).

- **Smart Infrastructure**: **1/ Orders** - Q3 was a record quarter, however we anticipate that the customer environment has remained dynamic, hence expect another strong quarter at €8bn (cons: €7.4bn). **2/ Sales** - Siemens guide for 10-11% for Q4, we forecast organic growth of c11%, in line with consensus. **3/ Margin** - We forecast margin ex-Severance of 20.3% (cons: 19.6%).

- **Mobility**: **1/ Orders** - Siemens has received plenty of large orders in Q4, including the €3bn Italo High Speed (not all booked in Q4), S-Bahn Berlin and regional trains in Franconia. Given the volume of large orders on top of typical base orders of €2.5-3bn, we forecast €6bn orders in Q4, c60% ahead of consensus. **2/ Sales** - Siemens guided for 9-11% on strong backlog execution. We forecast organic sales growth of 10%, in line with consensus. **3/ Margin** - Siemens continue to expect the margin to be within the FY guidance which is for the lower end of 8-10%. We forecast margin ex-Severance of 8.9% (cons: 9.2%).

- **Healthineers deconsolidation:** We do not expect this for Q4 FY26 print but as the process progresses further to prospectus issuance, we see scope for deconsolidation in Q1 FY27

- **Share buyback:** Siemens are performing the buyback at a run-rate of c€400m. There will be a pause around the spin off of Healthineers, and the buyback will likely continue at this accelerated pace thereafter.

Figure 26: UBSe vs Cons

VA Cons - 28 Sep 2026 Siemens €m	Q4 25 Actual	Q3 26 Actual	Q4 26E UBS F'cast	Q4 26E Cons'us	*UBS vs Cons'us*	*YoY*
ORDERS						
Digital Industries Orders	5,511	4,854	5,595	5,660	*(1.2%)*	*1.5%*
Change yoy, %	*29.6%*	*10.7%*	*1.5%*	*2.7%*		
Organic Growth %	*29.0%*	*9.0%*	*0.3%*	*3.3%*		
Smart Infrastructure Orders	6,184	8,002	7,990	7,644	*4.5%*	*29.2%*
Change yoy, %	*1.3%*	*39.6%*	*29.2%*	*23.6%*		
Organic Growth %	*5.0%*	*42.0%*	*24.0%*	*21.5%*		
Mobility Orders	2,522	7,634	6,000	3,733	*60.7%*	*137.9%*
Change yoy, %	*(45.2%)*	*(3.9%)*	*137.9%*	*48.0%*		
Organic Growth %	*(44.0%)*	*(4.0%)*	*137.5%*	*35.6%*		
CORE ORDERS (DI, SI & Mobility)	**14,217**	**20,490**	**19,585**	**17,037**	***15.0%***	***37.8%***
Change yoy, %						
INDUSTRIAL ORDERS	**21,464**	**27,350**	**26,607**	**23,817**	***11.7%***	***24.0%***
Change yoy, %	*(3.9%)*	*13.6%*	*24.0%*	*11.0%*		
Organic Growth %	*(1.5%)*	*14.1%*	*22.3%*	*12.5%*		
GROUP ORDERS	**21,939**	**27,902**	**27,692**	**24,421**	***13.4%***	***26.2%***
Change yoy, %	*(4.3%)*	*12.9%*	*26.2%*			
REVENUE						
Digital Industries	5,030	4,932	5,421	5,452	*(0.6%)*	*7.8%*
Change yoy, %	*9.9%*	*11.6%*	*7.8%*	*8.4%*		
Organic Growth %	*9.0%*	*10.0%*	*6.4%*	*7.2%*		
Smart Infrastructure	6,248	6,387	6,979	7,030	*(0.7%)*	*11.7%*
Change yoy, %	*4.6%*	*11.8%*	*11.7%*	*12.5%*		
Organic Growth %	*9.0%*	*13.0%*	*10.9%*	*11.0%*		
Mobility	3,216	3,244	3,550	3,525	*0.7%*	*10.4%*
Organic Growth %	*0.0%*	*6.0%*	*10.0%*	*9.9%*		
CORE REVENUE (DI, SI & Mobility)	**14,494**	**14,563**	**15,950**	**16,008**	***(0.4%)***	***10.0%***
INDUSTRIAL REVENUE	**20,816**	**20,327**	**22,740**	**22,827**	***(0.4%)***	***9.2%***
Change yoy, %	*3.2%*	*7.7%*	*9.2%*	*9.7%*		
Organic Growth %	*6.0%*	*8.2%*	*8.5%*	*9.2%*		
GROUP REVENUE	**21,427**	**20,794**	**23,602**	**23,460**	***0.6%***	***10.2%***
Change yoy, %	*3.0%*	*7.3%*	*10.2%*			
CLEAN INDUSTRIAL EBITA						
Digital Industries	1,071	960	1,071	1,086	*(1.3%)*	*0.0%*
Margin, %	*21.3%*	*19.5%*	*19.8%*	*19.9%*		
Smart Infrastructure	1,201	1,252	1,419	1,379	*2.9%*	*18.2%*
Margin, %	*19.2%*	*19.6%*	*20.3%*	*19.6%*		
Mobility	287	291	317	323	*(1.7%)*	*10.6%*
Margin, %	*8.9%*	*9.0%*	*8.9%*	*9.2%*		
CORE BUSINESS (DI, SI & Mobility)	**2,559**	**2,503**	**2,808**	**2,788**	***0.7%***	***9.7%***
Margin, %	*17.7%*	*17.2%*	*17.6%*	*17.4%*		
Healthineers	996	1,071	940	1,027	*(8.4%)*	*(5.6%)*
Margin, %	*15.8%*	*18.6%*	*13.8%*	*15.1%*		
CLEAN INDUSTRIAL EBITA	**3,555**	**3,574**	**3,749**	**3,815**	***(1.7%)***	***5.4%***
Industrial EBITA margin, %	*17.1%*	*17.6%*	*16.5%*	*16.7%*		

Source: Company data, UBS Research, VisibleAlpha

Siemens Energy – Buy, PT: €210

Bottom Line

Our forecasts against V.A consensus for 4Q26 are 2.5% above Group orders, in-line with revenue (~19% organic YoY, up QoQ from 18.5% in 3Q), and 1.5% ahead of EBITA. Key focus at 4Q is momentum in slot reservation agreements (SRA) to give confidence we are nto at peak order growth. We forecast SRAs reaching ~34GW (vs. 26GW at 3Q), making total commitments of 103GW at FY26. Secondly, momentum in Grid Tech (GT) margin is crucial to see in 4Q with new US capacity coming online, taking margin to >20.5% in 4Q (up from 19.9% at 3Q), heading towards 21% in 2027.

Key points for 4Q

Group order growth is set to drop to -10.6% YoY (from +8% at 3Q) but still a book-to-bill at 1.3x. This is because of the well-flagged reduction in Gas Services (GS) orders after >40GW were booked in 9M26, which we expect to resume at that run rate through 1H27. GT orders are also without a large HVDC order, so are likely to be in the same range as 3Q. But Gamesa is due to secure a large offshore contract that puts us ~15% ahead of cons. here. FCF is set to be lower than 3Q without the help of large-scale GS orders.

Revenue: organic growth of 19% vs. 18.5% in 3Q. This is enabled by GS at +24% with to new medium-sized turbine capacity to delivery material, and new GT capacity driving +30% organic.

EBITA margins up to 11.8%, 20bps above VA cons. For GT a 20.6% EBITA margin comes from new US mix improving. For GS new build margins should show tailwinds from improving backlog margins, although 4Q is typically a lower margin quarter due to higher mix of new build vs. AM. Gamesa margins we forecast to be flat against 3Q at ~2.8%. **or**

Outlook for mini-CMD 2030 targets: On 11 November ENR will publish 2030 targets alongside FY26 results. There are three areas that we will focus on: **1)** Gas Services (GS) EBITA margin range of ~25-27% for 2030, and Grid (GT) margins ~24%-26%, **2)** updates to aftermarket EBITDA contribution from €400m/GW over 20 years, and reference to absolute EBITA generation after 2030 , **3)** We expect an upgraded buyback from €6bn cumulative to 2028, with upside of 25%-30% due to superior FCF in 2026 (UBSe ~€8bn vs. original €4-5bn guide), and potential use of funds if ToI is divested.

2027 Guidance expectations: we are ~2% ahead of V.A cons EBITA in 2027e, and expect Group EBITA margin range of 14-16%. Driven by divisions of **GS:** 18%-20%, **GT:** 20-22%, **ToI:** 12%-14%, **Gamesa:** 2-4%. FCF guidance will likely target €6-7bn (V.A cons €6.6bn)

Figure 27: UBSe vs Cons

	4Q25 A	3Q26 A	4Q26e UBSe	4Q26e V.A Cons	% diff
Total orders	**14,401**	**18,193**	**16,178**	**15,771**	**2.6%**
Gas Services	4,769	9,967	5,916	6,072	*-2.6%*
Grid Technologies	6,880	5,367	6,298	6,279	*0.3%*
Transformation of Industry	1,629	1,809	1,838	1,570	*17.0%*
Siemens Gamesa	1,123	1,050	2,127	1,851	*14.9%*
Revenue	**10,428**	**11,650**	**12,712**	**12,734**	**-0.2%**
Gas Services	3,094	3,756	3,725	3,787	*-1.6%*
Grid Technologies	3,145	3,624	4,200	4,260	*-1.4%*
Transformation of Industry	1,614	1,527	1,796	1,760	*2.1%*
Siemens Gamesa	2,744	2,743	2,991	2,928	*2.2%*
Reconciliation	(169)	(202)	(203)	(202)	
EBITA - operating	**471**	**1,623**	**1,496**	**1,474**	**1.5%**
Gas Services	251	648	527	526	*0.2%*
Grid Technologies	463	722	865	875	*-1.2%*
Transformation of Industry	177	218	204	208	*-1.8%*
Siemens Gamesa	(303)	75	85	66	*27.6%*
Reconciliation	(117)	(40)	(185)	(201)	
EBITA margin - operating	**4.5%**	**13.9%**	**11.8%**	**11.6%**	**1.7%**
Gas Services	8.1%	17.3%	14.1%	13.9%	*1.9%*
Grid Technologies	14.7%	19.9%	20.6%	20.5%	*0.2%*
Transformation of Industry	11.0%	14.3%	11.4%	11.8%	*-3.8%*
Siemens Gamesa	(11.0%)	2.7%	2.8%	2.3%	*24.9%*
Net income	237	1,188	1,015	1,243	*-18.3%*
Change in working capital	699	(201)	1,429	1,026	*39.2%*
Capex	648	413	975	995	*-2.1%*
FCF	1,114	1,596	2,046	1,145	*78.6%*
Net debt / (cash)	(5,196)	(7,358)	(9,280)	(8,422)	*10.2%*

Source: Company data, UBS Research, VisibleAlpha

Signify – Neutral, PT: €17

Signify has guided for a better second half performance on the back of higher top line momentum, pricing initiatives and a higher share of cost savings. It will need to achieve 60% of FY EBIT in the second half in order to reach the low end of the FY guidance vs a 5-year average of 57%. Hence, it would seem likely to achieve the guidance only at the lower end if anything. We also think that this year will be even more backend-loaded than usual implying that Q3 EBIT might not support the assumption of achieving the low end of the guidance. The operating environment has not shown any tangible trading improvement against the first half so far. We have a Neutral rating on the shares and do not see the decline since the CMD as a fundamental buying opp.

Figure 28: UBSe vs Cons

Revenues	Q3 25 Actuals	Q3 26E UBSe	Q3 26E Cons	Δ
Professional	928	914	912	0.2%
- Change YoY%		*-1.5%*	*-1.7%*	
- Organic Growth %	*-1.8%*	*-1.5%*	*-2.2%*	
Consumer	301	298	297	0.3%
- Change YoY%		*-1.0%*	*-1.3%*	
- Organic Growth %	*3.1%*	*-1.0%*	*-1.4%*	
OEM	93	93	88	5.7%
- Change YoY%		*0.0%*	*-5.4%*	
- Organic Growth %	*-10.7%*	*0.0%*	*-6.7%*	
Conventional	76	62	64	-2.6%
- Change YoY%		*-18.0%*	*-15.8%*	
- Organic Growth %	*-23.9%*	*-18.0%*	*-16.7%*	
Other	9	9	9	0.0%
- Change YoY%		*0.0%*	*0.0%*	
- Organic Growth %				
Total	**1,407**	**1,376**	**1,369**	**0.5%**
- Change YoY%		*-2.2%*	*-2.7%*	
- Organic Growth %	*-2.8%*	*-2.2%*	*-3.1%*	
Adj. EBITA				
Professional	97	90	86	4.7%
- margin%	*10.5%*	*9.8%*	*9.4%*	*42 bps*
Consumer	27	19	20	-5.0%
- margin%	*9.0%*	*6.4%*	*6.7%*	*-36 bps*
OEM	4	5	3	66.7%
- margin%	*4.3%*	*5.4%*	*3.4%*	*197 bps*
Conventional	13	11	11	0.0%
- margin%	*17.1%*	*17.7%*	*17.2%*	*46 bps*
Other	(5)	(5)	(8)	-41.1%
- margin%	*-55.6%*	*-52.4%*	*-88.9%*	*3652 bps*
Total	**136**	**120**	**112**	**7.4%**
- margin%	*9.7%*	*8.7%*	*8.2%*	*56 bps*

Source: Company data, UBS Research, Company consensus

Valmet – Neutral, PT: €30

Valmet reported one sizable big ticket for a board machine in Q3 but we think there could have been other unannounced ones given that Valmet was expecting a better ordering activity in the Biomaterials equipment business. There should be a lower contribution from the Arauco project on revenues in the second half (€100m each in Q3 and Q4) versus the €300m booked in H1. However, Q3 is the first time with a revenue contribution from the Severn acquisition (UBSe c€50m) which should be margin accretive to group margins but dilutive to Process margins. While the strategic review should conclude by the announcement of the Q4 results at the latest we still expect an update. We think that a break-up seems likely the preferred solution given that otherwise it would have been unlikely to have started the review process.

Figure 29: UBSe vs Cons

	Q3 25 Actuals	Q3 26E UBSe	Q3 26E Cons	Δ
Orders				
Biomaterial Solutions and Services	738	878	861	1.9%
- Change YoY%		*18.9%*	*16.7%*	
Process Performance Solutions	345	395	395	-0.1%
- Change YoY%		*14.5%*	*14.6%*	
Total	**1,083**	**1,273**	**1,235**	**3.1%**
- Change YoY%		*17.5%*	*14.0%*	
Revenues				
Biomaterial Solutions and Services	934	938	924	1.5%
- Change YoY%		*0.4%*	*-1.1%*	
Process Performance Solutions	361	411	421	-2.5%
- Change YoY%		*13.9%*	*16.7%*	
Total	**1,295**	**1,349**	**1,305**	**3.4%**
- Change YoY%		*4.2%*	*0.8%*	
Adj. EBITA				
Biomaterial Solutions and Services	89	97	96	0.6%
- Change YoY%		*10.3%*	*10.4%*	*-10 bps*
Process Performance Solutions	79	86	83	4.0%
- Change YoY%		*21.0%*	*19.7%*	*131 bps*
Total	**159**	**169**	**166**	**1.7%**
- margin%	*12.3%*	*12.5%*	*12.7%*	*-20 bps*

Source: Company data, UBS Research, Visible Alpha

Volvo – Buy, PT: SEK 398

3Q26 Preview: First Look at 2027 Market Forecasts

Key focus: 2027 Market Forecasts, NA order dynamics & price-cost dynamics

We forecast 3Q26 group revenues and adjusted operating profit to be c.2-3% ahead of consensus expectations with truck orders c.2% below consensus at 49.7k units, largely driven by North America as we reflect a softer Class 8 September order print. As per Volvo's 3Q reporting, we expect the broad focus to be on the 2027 market forecasts, which Volvo is the first OEM to report, and which could act as a catalyst for the Truck OEM space. We expect **Volvo will announce 2027 Heavy Duty Truck (HDT) registrations/retail sales market forecasts of: 325k for EU30, 285k for North America and 80k for Brazil**. We believe Volvo's truck market forecasts could be on the slightly conservative side and that there may be scope for truck forecast upgrades throughout 2027. We note that these are below UBSe 2027 HDT builds/registrations of 331k registrations for Europe, 295k builds for North America and 82.5k registrations for Brazil.

We expect 3Q26 **Trucks** to perform slightly ahead of consensus on a unit sales, revenue and adjusted operating profit basis with our forecasts c.2-3% ahead of consensus. On regional truck deliveries, we forecast better than expected deliveries in Europe, North America and South America. Our orders are c.2% behind consensus as we reflect the recent NA Class 8 orders print and expect orders to slow in South America as order dynamics become driven by the tough macro environment following the last Move Brazil tranche being filled in July. We are also positive on **Construction Equipment's** performance in 3Q26, where we expect performance to be c.4-6% ahead of consensus, driven by both better organic growth and margin delivery.

We believe **NA truck order dynamics** will also be a focus and we expect Volvo's market share in Class 8 orders to have improved in September. Additionally, with c.3 weeks of NA order activity at the time of reporting, we believe questions will inevitably be on the MTD mix of orders between both its existing engine and its EPA27 compliant engine, as well as the quantum of orders. We expect commentary here to confirm our view that the existing engine remains the near-term preference for truck customers and expect Volvo to be a beneficiary in this scenario, as long as pricing increases between its existing engine and its peer's offerings are at a similar level. We also expect a focus on the NA truck production ramp, including an update on the ramp up at its Monterrey truck plant.

We expect **price-cost dynamics** to remain in focus. While Volvo has stated that it is actively seeking to mitigate inflation in the cost base through price actions, it has not indicated whether these actions will fully offset inflation. We expect a LSD% price increase in the Trucks division and expect Volvo's price-cost position to improve QoQ in 4Q26E.

We expect Volvo to announce the following 2027 Truck & CE Forecasts:

- **Europe HDT registrations:** 325k units
- **North America HDT retail sales:** 285k units
- **Brazil HDT registrations:** 80k units
- **Europe CE % change in units:** 0% to +10%
- **North America CE % change in units**: 0% to +10%
- **Asia excl. China CE % change in units:** -5% to +5%

Headline 3Q26 estimates vs Visible Alpha consensus:

- **Group Sales:** SEK 128.7bn (+c.2% vs cons at SEK 126.0bn)
- **Group adj op. profit & margin:** SEK 15.3bn (+c.3% vs cons) with a margin of 11.9% (+15bps vs cons).
- **Truck Sales:** SEK 88.6bn (+c.2% vs cons at SEK 86.8bn)
- **Truck adj op. profit & margin:** SEK 9.7bn (+c.3% vs cons) with a margin of 11.0% (+8bps vs cons).
- **Truck Orders:** 49.7k units (c.-2% vs cons at 50.4k).
- **Truck Deliveries:** 52.8k units (+c.3% vs cons at 51.3k)

Estimate changes: Unchg. to +4% FY26-28E est. changes largely driven by FX

Overall, we increase our FY26E-27E revenues by c.1-4%, while our adjusted operating profit for the same period is either largely unchanged or increased by c.3-4%. Our estimate changes broadly stem from our model reflecting the latest FX rates, which increases our FY26E-27E revenue growth by c.100-250bps. We also increase our FY27E organic growth by 110bps, driven by a 150bps increase in FY27E Truck deliveries. We lower our FY27E adjusted operating margins by c.10bps, driven by lower margin forecasts for Trucks and CE over FY26-28E by c.10-20bps and c.30-40bps respectively. Our FY26E-28E group revenue and adj. operating profit estimates are c.2-5% ahead vs VA consensus.

Valuation: We increase our PT to SEK 398 (from SEK 395). Reiterate Buy

We value Volvo on a DCF basis and our slightly higher price target mostly stems from our estimate changes. Volvo remains our top pick in the Trucks space and **reports 3Q26 results on 23 October. Key upcoming catalysts**: DTG 3Q26 unit sales (UBSe: this week) and Traton 3Q26 unit sales print (12 Oct).

Figure 30: UBSe vs Cons

Group	3Q 2026E			2026E			2027E			2028E		
SEKm, except per share	UBS	Cons.	Diff	UBS	Cons.	Diff	UBS	Cons.	Diff	UBS	Cons.	Diff
Revenues	**128,719**	**126,012**	**2%**	**514,183**	**502,800**	**2%**	**579,803**	**550,985**	**5%**	**607,397**	**579,565**	**5%**
y/y	16.3%	13.8%	245bp	7.3%	4.9%	238bp	12.8%	9.6%	318bp	4.8%	5.2%	(43bp)
y/y Organic	14.7%	13.3%	141bp	8.1%	8.3%	(22bp)	8.6%	9.4%	(85bp)	4.8%	5.3%	(59bp)
y/y FX	1.3%	0.6%	68bp	0.3%	(1.5%)	179bp	4.0%	1.7%	238bp	--	--	--
y/y Structure	0.3%	(0.1%)	36bp	(1.1%)	(1.1%)	(2bp)	0.1%	0.0%	11bp	--	0.0%	(0%)
pre-ex EBIT	**15,277**	**14,760**	**3%**	**60,223**	**58,424**	**3%**	**74,314**	**70,493**	**5%**	**79,615**	**76,461**	**4%**
margin	*11.9%*	*11.7%*	*15bp*	*11.7%*	*11.6%*	*9bp*	*12.8%*	*12.8%*	*2bp*	*13.1%*	*13.2%*	*(9bp)*
Basic EPS, all in	**5.53**	**5.55**	**(0%)**	**21.32**	**20.84**	**2%**	**27.63**	**26.06**	**6%**	**29.66**	**28.16**	**5%**
Core pre-ex EPS, diluted	**5.53**	**5.68**	**(3%)**	**22.37**	**21.95**	**2%**	**27.64**	**25.91**	**7%**	**29.67**	**28.42**	**4%**
UBS adjusted EPS, diluted	**5.66**			**22.64**			**27.92**			**29.96**		
Revenues												
Trucks	88,571	86,846	2.0%	353,934	346,797	2.1%	402,903	384,139	4.9%	420,659	403,781	4.2%
CE	21,482	20,589	4.3%	85,349	81,885	4.2%	95,389	89,775	6.3%	102,067	95,346	7.0%
Buses	6,490	6,260	3.7%	26,617	25,726	3.5%	28,767	26,883	7.0%	29,630	27,968	5.9%
Penta	5,423	5,307	2.2%	21,920	21,701	1.0%	24,639	23,769	3.7%	26,118	25,329	3.1%
Industrial Ops.	**123,127**	**121,108**	**1.7%**	**492,508**	**482,209**	**2.1%**	**556,951**	**531,256**	**4.8%**	**583,981**	**559,430**	**4.4%**
Financial	6,880	6,637	3.7%	26,856	26,188	2.5%	28,654	27,470	4.3%	29,496	28,573	3.2%
Eliminations	(1,288)	(1,196)	7.7%	(5,181)	(5,028)	3.0%	(5,803)	(5,305)	9.4%	(6,079)	(5,573)	9.1%
Group	**128,719**	**126,012**	**2.1%**	**514,183**	**502,800**	**2.3%**	**579,803**	**550,985**	**5.2%**	**607,397**	**579,565**	**4.8%**
Revenues y/y org.												
Trucks	18.0%	16.3%	165bp	9.7%	9.4%	27bp	9.9%	9.8%	11bp	4.4%	5.4%	(99bp)
CE	10.9%	10.5%	45bp	12.0%	8.4%	362bp	6.5%	8.4%	(190bp)	7.0%	7.0%	3bp
Buses	6.5%	6.2%	33bp	5.5%	5.0%	46bp	3.8%	3.3%	48bp	3.0%	4.2%	(120bp)
Penta	7.0%	6.7%	31bp	6.8%	7.7%	(82bp)	8.3%	9.7%	(144bp)	6.0%	7.3%	(126bp)
Industrial Ops.	**15.4%**	**14.1%**	**132bp**	**7.4%**	**8.3%**	**(90bp)**	**9.0%**	**9.4%**	**(42bp)**	**4.9%**	**5.7%**	**(80bp)**
Group	**14.7%**	**13.8%**	**96bp**	**8.1%**	**8.3%**	**(22bp)**	**8.6%**	**9.4%**	**(85bp)**	**4.8%**	**5.3%**	**(59bp)**
Pre-ex EBIT												
Trucks	9,723	9,465	2.7%	39,332	38,332	2.6%	50,039	47,512	5.3%	53,425	51,589	3.6%
CE	3,248	3,077	5.6%	12,375	11,690	5.9%	14,876	13,904	7.0%	16,212	15,237	6.4%
Buses	647	615	5.3%	2,397	2,298	4.3%	2,669	2,461	8.4%	2,777	2,616	6.1%
Penta	1,028	943	9.1%	3,835	3,718	3.1%	4,547	4,296	5.9%	4,843	4,628	4.6%
Industrial Ops.	**14,124**	**13,681**	**3.2%**	**55,842**	**54,324**	**2.8%**	**69,561**	**66,594**	**4.5%**	**74,502**	**72,322**	**3.0%**
Financial	1,086	1,079	0.6%	4,128	4,166	(0.9%)	4,443	4,583	(3.0%)	4,781	4,820	(0.8%)
Group	**15,277**	**14,760**	**3.5%**	**60,221**	**58,424**	**3.1%**	**74,314**	**70,493**	**5.4%**	**79,615**	**76,461**	**4.1%**
Pre-ex EBIT margin												
Trucks	11.0%	10.9%	8bp	11.1%	11.1%	6bp	12.4%	12.4%	5bp	12.7%	12.8%	(8bp)
CE	15.1%	14.9%	17bp	14.5%	14.3%	22bp	15.6%	15.5%	11bp	15.9%	16.0%	(10bp)
Buses	10.0%	9.8%	16bp	9.0%	8.9%	7bp	9.3%	9.2%	12bp	9.4%	9.4%	2bp
Penta	19.0%	17.8%	120bp	17.5%	17.1%	36bp	18.5%	18.1%	38bp	18.5%	18.3%	27bp
Industrial Ops.	**11.5%**	**11.3%**	**17bp**	**11.3%**	**11.3%**	**7bp**	**12.5%**	**12.5%**	**(5bp)**	**12.8%**	**12.9%**	**(17bp)**
Financial	15.8%	16.3%	(48bp)	15.4%	15.9%	(54bp)	15.5%	16.7%	(117bp)	16.2%	16.9%	(66bp)
Group	**11.9%**	**11.7%**	**15bp**	**11.7%**	**11.6%**	**9bp**	**12.8%**	**12.8%**	**2bp**	**13.1%**	**13.2%**	**(9bp)**

Deliveries	3Q 2026E			2026E			2027E			2028E		
Number of trucks	UBS	Cons.	Diff	UBS	Cons.	Diff	UBS	Cons.	Diff	UBS	Cons.	Diff
Europe	25,197	24,798	2%	119,170	116,705	2%	124,327	122,858	1%	126,814	125,178	1%
North America	14,241	13,693	4%	52,036	51,698	1%	59,984	58,408	3%	63,583	62,025	3%
South America	7,055	6,677	6%	24,144	23,721	2%	25,596	25,854	(1%)	26,620	27,163	(2%)
Asia	3,847	3,818	1%	15,039	15,248	(1%)	15,641	16,291	(4%)	15,954	16,993	(6%)
Africa and Oceania	2,416	2,341	3%	9,635	9,583	1%	10,331	10,097	2%	10,641	10,451	2%
Truck Deliveries	**52,756**	**51,259**	**3%**	**220,024**	**216,846**	**1%**	**235,880**	**233,508**	**1%**	**243,612**	**241,430**	**1%**
Orders												
Europe	25,974	25,169	3%	121,580	116,679	4%	125,835	124,361	1%	127,093	127,120	(0%)
North America	12,642	14,141	(11%)	60,840	56,401	8%	64,490	61,928	4%	66,425	63,719	4%
South America	5,011	5,397	(7%)	24,751	23,900	4%	26,731	27,640	(3%)	27,533	28,482	(3%)
Asia	3,388	3,309	2%	14,904	14,800	1%	15,798	16,686	(5%)	15,956	17,576	(9%)
Africa and Oceania	2,640	2,425	9%	10,065	9,938	1%	10,367	10,461	(1%)	10,575	10,897	(3%)
Truck Orders	**49,654**	**50,424**	**(2%)**	**232,140**	**221,718**	**5%**	**243,222**	**231,825**	**5%**	**247,582**	**244,573**	**1%**

Source: UBSe, Visible Alpha consensus

Wartsila – Neutral, PT: €40

We expect strong Q3 orders from Wärtsilä across both divisions and likely beating current consensus expectations. This is on the back of strong current trading in the shipyard sector with strong container and tanker orders but also cruise still being on a relatively high level. The company has been sounding very confident on energy orders both for datacenters and energy balancing applications in recent investor meetings. This being said, we do not expect Wärtsilä to change its stable outlook for both divisions given that orders are on a high level already and capacity constraints not allowing to take more orders for next 12 months delivery. The next major catalyst should be the release of new mid-term targets at the CMD on 3 November. While there would seem scope for a positive market reaction given recent share weakness we stick to our overall Neutral view given that we think 2026 will be peak order intake for the company.

Figure 31: UBSe vs Cons

Orders	Q3 25 Actuals	Q3 26E UBSe	Q3 26E Cons	Δ
Marine	970	1,049	1,006	4.2%
- Change YoY%		*8.1%*	*3.7%*	
Energy	656	1,068	1,008	6.0%
- Change YoY%		*62.8%*	*53.6%*	
Portfolio Business	164	-	13	-100.0%
- Change YoY%		*-100.0%*	*-92.4%*	
Total	**1,790**	**2,116**	**2,003**	**5.7%**
- Change YoY%		*18.2%*	*11.9%*	
Revenues				
Marine	870	930	923	0.7%
- Change YoY%		*6.9%*	*6.1%*	
Energy	616	510	539	-5.4%
- Change YoY%		*-17.2%*	*-12.5%*	
Portfolio Business	146	-	13	-100.0%
- Change YoY%		*-100.0%*	*-91.4%*	
Group	**1,632**	**1,440**	**1,477**	**-2.5%**
- Change YoY%		*-11.8%*	*-9.5%*	
Adj. EBIT				
Marine	108	121	119	1.6%
- margin%	*12.4%*	*13.0%*	*12.9%*	*11 bps*
Energy	77	80	87	-8.0%
- margin%	*12.5%*	*15.6%*	*16.1%*	*-45 bps*
Portfolio Business	10	-	0	-100.0%
- margin%	*6.8%*		*3.0%*	
Group	**195**	**201**	**213**	**-6.0%**
- margin%	*11.9%*	*13.9%*	*14.4%*	*-52 bps*

Source: Company data, UBS Research, Visible Alpha

Weir – Buy, PT: GBp 3,250

Q326 Preview: Easy comps in Minerals should drive strong orders.

Bottom line

Weir give their Q3 trading update on 4th November 2026. As per usual, Weir will report on organic order trends and group book:bill (giving group revenue), as well as making a comment on guidance for the FY. There is no real quarterly consensus - the consensus in VA for quarterly orders only has one source, and hence we don't think it will be a useful reference on the day of results. Overall, we expect strong order growth helped by easy comps in Minerals and therefore see Q3 results as a positive catalyst.

Guidance expectations

As things stand, the current guidance for the FY is "growth in constant currency revenue, operating profit and operating margins"; for FY26, consensus currently forecasts +5% organic revenue growth and +20bps of margin expansion. This is below the +50bps of margin expansion guided to at full year results last year, but this is unsurprising following the lacklustre margin performance in H1.

Thoughts on Q326

In Q226, we saw a big sequential step up in orders driven by Minerals (both AM and OE) as well as strong YoY performance with orders growing +10% organically after a -3% decline in Q1. The strength in Q2 was partly a function of phasing and a catch up following a weak Q1, with ESCO facing paused dredge orders in Q1 as well as mine closures in Minerals. We therefore think that the growth rates seen in Q2 are likely higher than the underlying growth rates in the business. However, having said this, we do see the potential for Weir to deliver further strong growth rates in Q3 given Weir now faces the easiest comps of the year in Minerals. This is based on both absolute orders, but also last year's 2 year organic stack, which is important to look at given phasing dynamics of the large Minerals AM order between Q2 and Q4. On top of this, Micromine is now contributing to organic growth in ESCO, and we've also seen energy prices pick up significantly, which should help Weir's coal and oil sands exposure. Weir has also announced an order for two HPGRs, which were booked in Q3 (see here), which should support OE growth. We forecast +8% organic growth for the quarter, with a possibility that Weir could deliver as high as DD growth. Our +8% forecast for Q3 is slightly above consensus expectations for +7% in H226. We think if Weir deliver +8% growth, it will be enough to drive a positive share price reaction as growth has been a concern for Weir, and it could be enough to (at least temporarily) allay any concerns over market share losses to peers in pumps.

Positioning and valuation

Crowding has been weakening and short interest has been edging up. Weir is currently trading broadly slightly ahead of its 5 year average multiple (14x fwd EV/EBIT vs 13.5x).

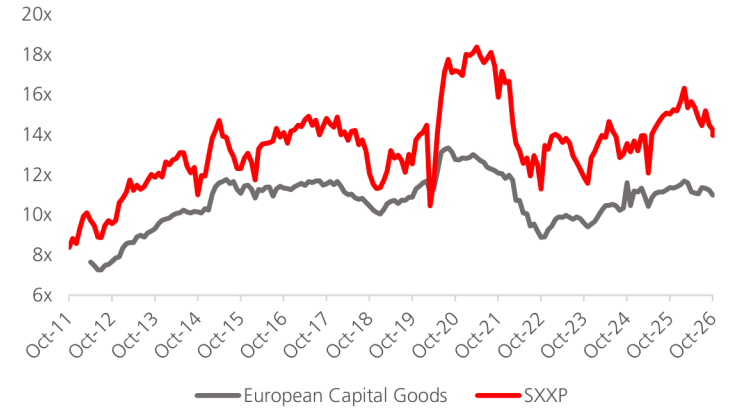
Figure 32: UBSe vs Cons

UBS vs consensus							UBSe	Consensus	UBS Vs
Orders	**Q1 2025**	**Q2 2025**	**Q3 2025**	**Q4 2025**	**Q1 2026**	**Q2 2026**	**Q3 2026**	**H2 2026**	**Consensus**
Minerals OE	122	115	109	116	115	147	123	253	
Minerals AM	349	367	327	374	352	423	369	771	
Minerals Total	471	482	436	490	467	570	493	1,024	
ESCO OE	12	12	13	13	18	11	14	62	
ESCO AM	165	162	169	173	179	181	181	372	
ESCO Total	177	174	182	186	197	192	195	400	
Group OE	134	127	122	129	133	158	137	315	
Group AM	514	529	496	547	531	604	551	1,143	
Group Total	**648**	**656**	**618**	**676**	**664**	**762**	**688**	**1,400**	
Organic order growth									
Minerals OE	6%	16%	-24%	9%	-6%	19%	10%	10%	0%
Minerals AM	9%	10%	3%	-1%	-3%	9%	9%	7%	2%
Minerals Total	8%	11%	-6%	2%	-4%	11%	9%	8%	1%
ESCO OE	0%	-16%	36%	-9%	49%	-13%	5%	5%	0%
ESCO AM	-2%	4%	9%	9%	-5%	7%	5%	7%	-2%
ESCO Total	-2%	2%	11%	7%	-2%	6%	5%	6%	-1%
Group OE	5%	12%	-21%	9%	-2%	17%	9%	10%	0%
Group AM	5%	8%	5%	3%	-3%	8%	8%	7%	1%
Group Total	**5%**	**9%**	**-2%**	**4%**	**-3%**	**10%**	**8%**	**7%**	**0%**

Source: Company data, UBS Research, Vara

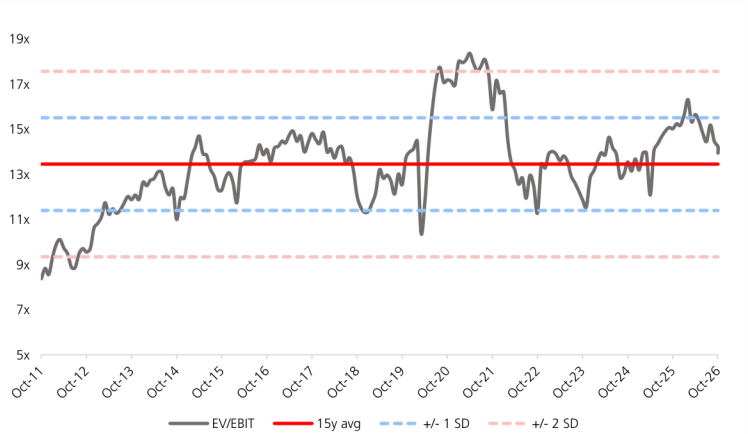
Valuation

Figure 33: European Capital Goods and SXXP



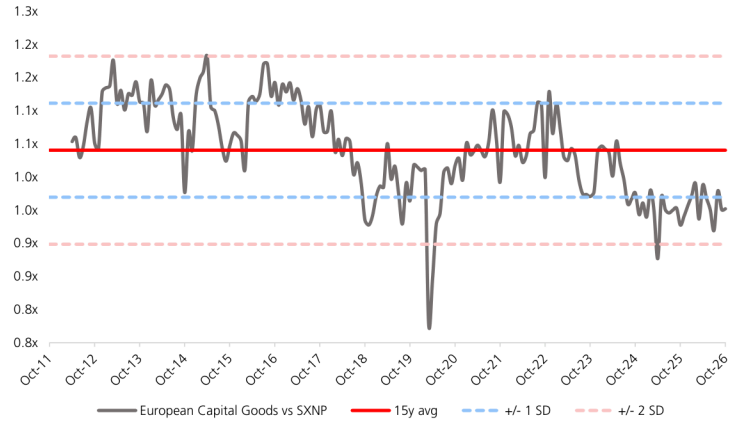
Source: UBS Research, Refinitiv

Figure 34: European Capital Goods 12m fwd EV/EBIT



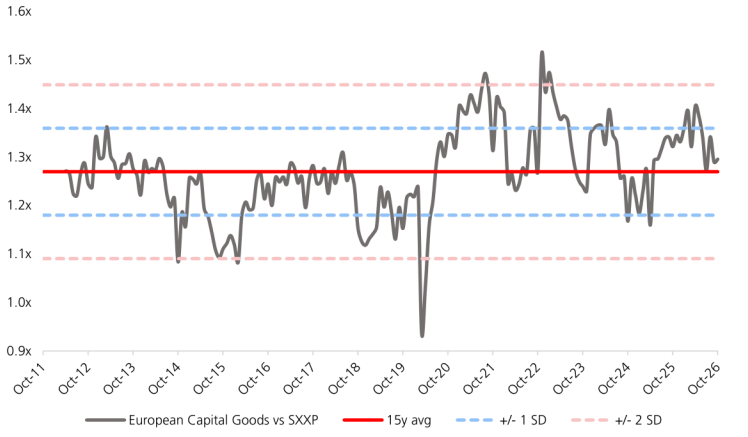
Source: UBS Research, Refinitiv

Figure 35: European Capital Goods vs SXNP



Source: UBS Research, Refinitiv

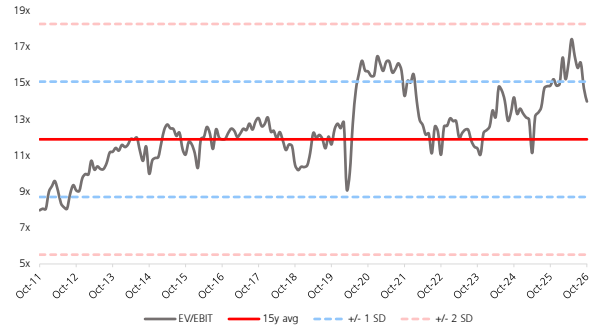
Figure 36: European Capital Goods vs SXXP



Source: UBS Research, Refinitiv

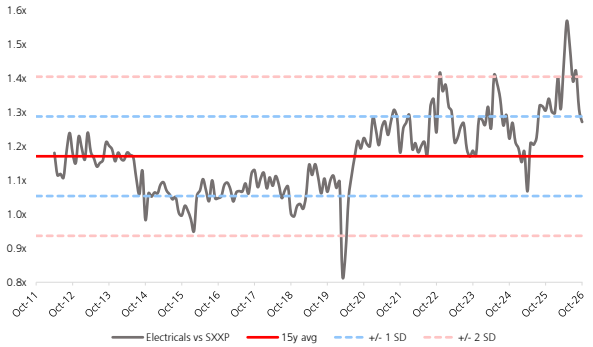
Valuation

Figure 37: Electricals 12m fwd EV/EBIT



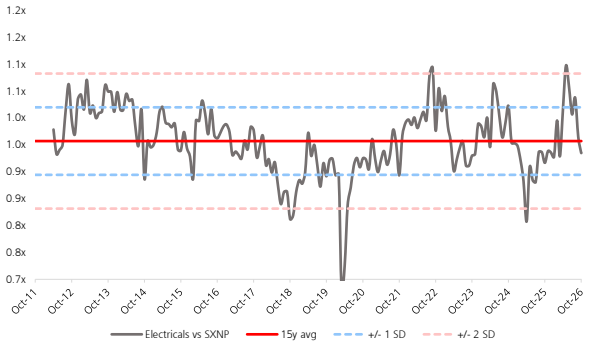
Source: Refinitiv, UBS Research

Figure 38: Electricals vs SXXP



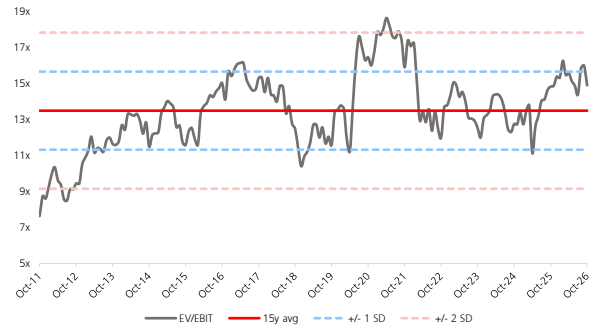
Source: Refinitiv, UBS Research

Figure 39: Electricals vs SXNP



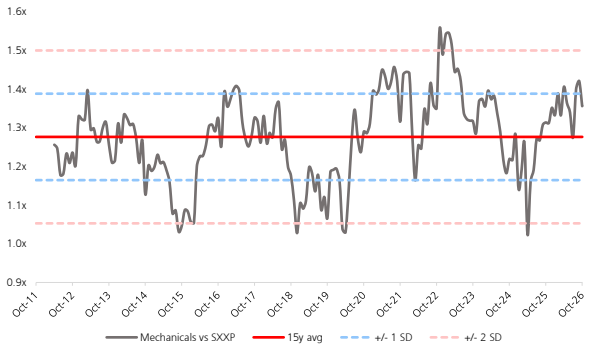
Source: Refinitiv, UBS Research

Figure 40: Mechanicals 12m fwd EV/EBIT



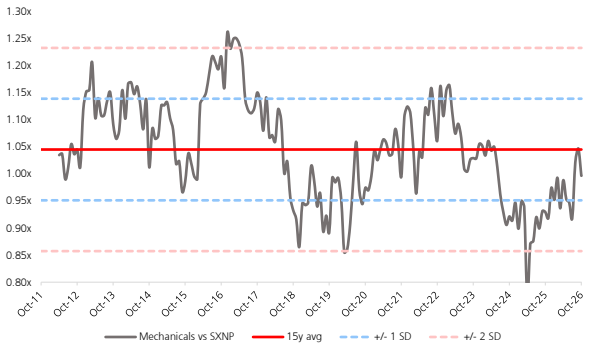
Source: Refinitiv, UBS Research

Figure 41: Mechanicals vs SXXP



Source: Refinitiv, UBS Research

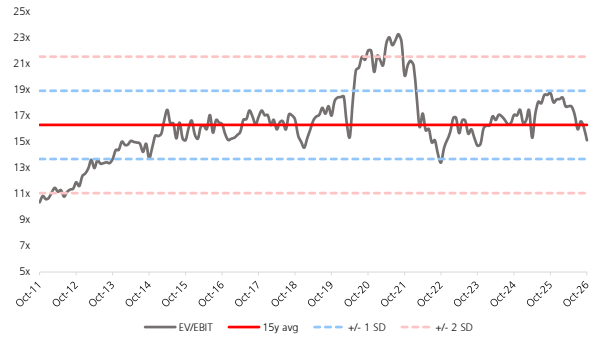
Figure 42: Mechanicals vs SXNP



Source: Refinitiv, UBS Research

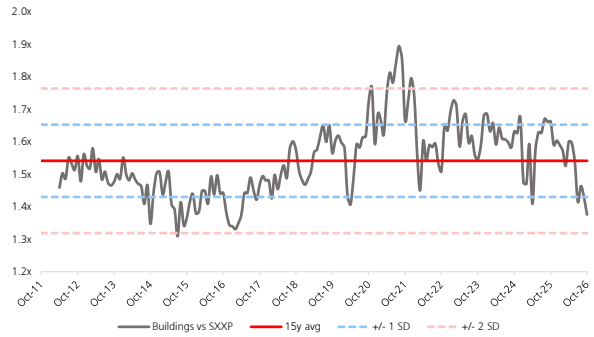
Valuation

Figure 43: Buildings12m fwd EV/EBIT



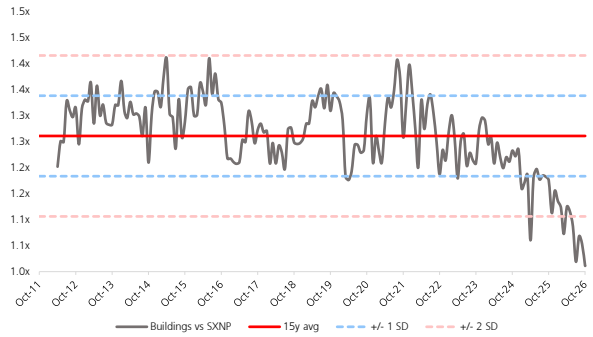
Source: Refinitiv, UBS Research

Figure 44: Buildings vs SXXP



Source: Refinitiv, UBS Research

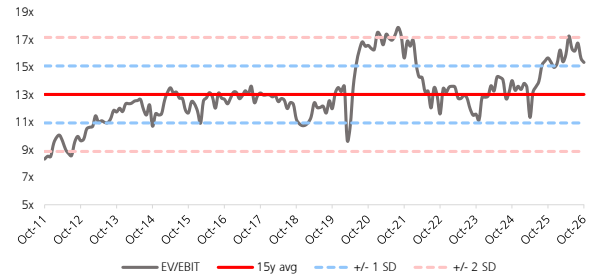
Figure 45: Buildings vs SXNP



Source: Refinitiv, UBS Research

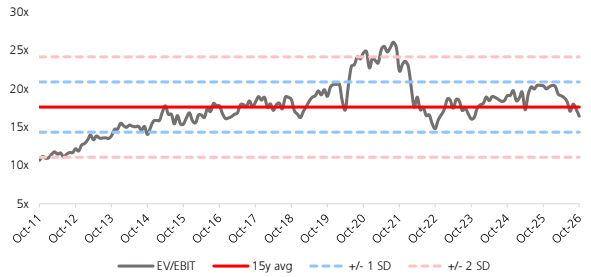
Valuation *by vertical*

Figure 46: Electricals & Automation 12m fwd EV/EBIT



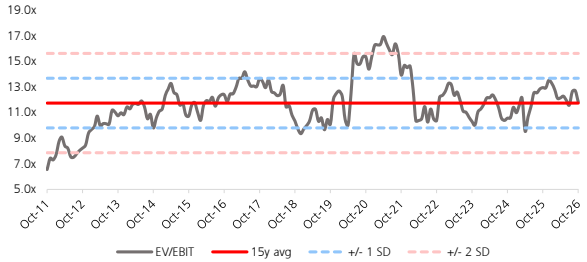
Source: Refinitiv, UBS Research

Figure 47: Buildings 12m fwd EV/EBIT



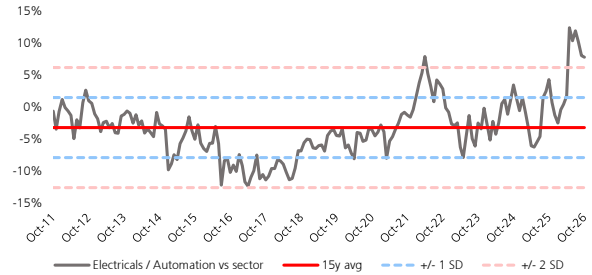
Source: Refinitiv, UBS Research

Figure 48: Mechanical Eng 12m fwd EV/EBIT



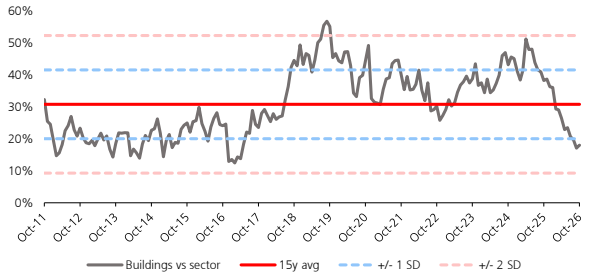
Source: Refinitiv, UBS Research

Figure 49: Electricals & Automation vs sector



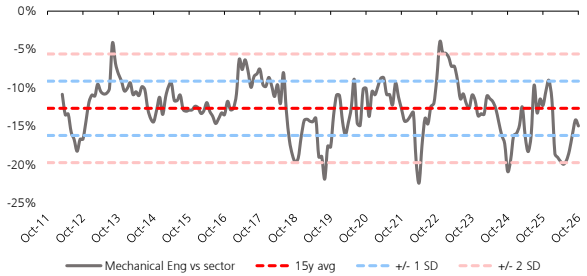
Source: Refinitiv, UBS Research

Figure 50: Buildings vs sector



Source: Refinitiv, UBS Research

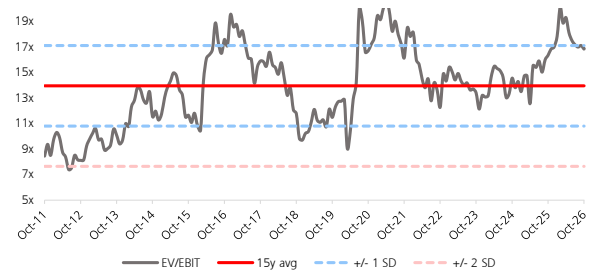
Figure 51: Mechanical Eng vs sector



Source: Refinitiv, UBS Research

Valuation *by vertical*

Figure 52: Mining Equipment 12m fwd EV/EBIT



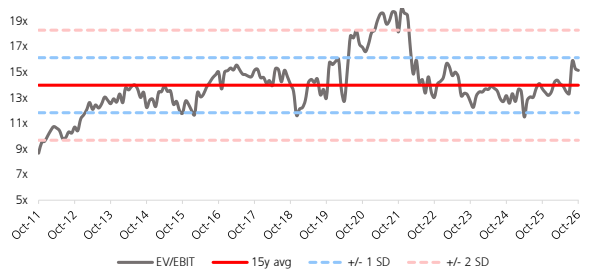
Source: Refinitiv, UBS Research

Figure 53: Truck 12m fwd EV/EBIT



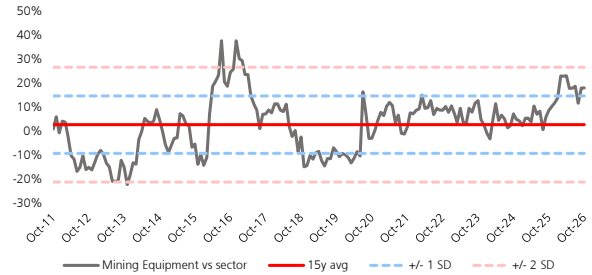
Source: Refinitiv, UBS Research

Figure 54: Process Eng 12m fwd EV/EBIT



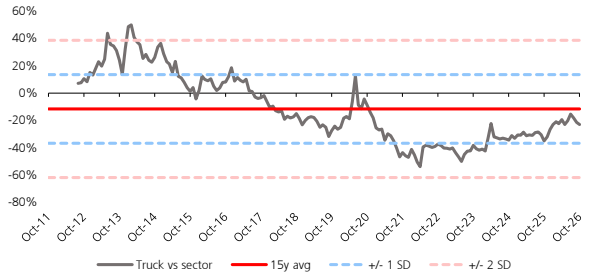
Source: Refinitiv, UBS Research

Figure 55: Mining Equipment vs sector



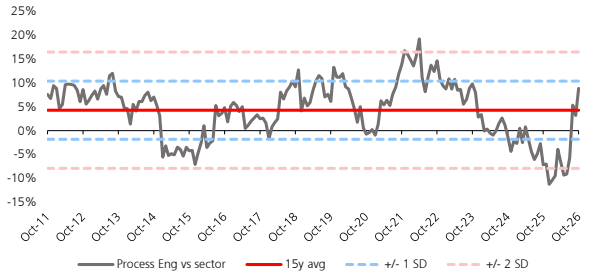
Source: Refinitiv, UBS Research

Figure 56: Truck vs sector



Source: Refinitiv, UBS Research

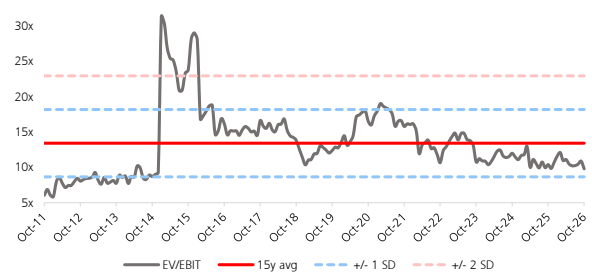
Figure 57: Process Eng vs sector



Source: Refinitiv, UBS Research

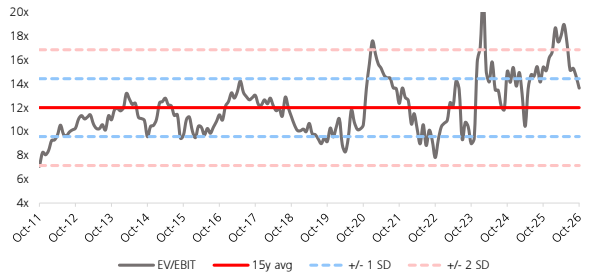
Valuation *by vertical*

Figure 58: Rail 12m fwd EV/EBIT



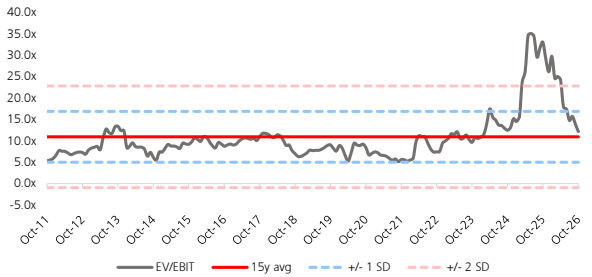
Source: Refinitiv, UBS Research

Figure 59: Power 12m fwd EV/EBIT



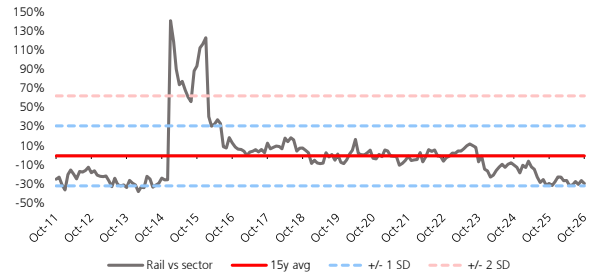
Source: Refinitiv, UBS Research

Figure 60: Defense 12m fwd EV/EBIT



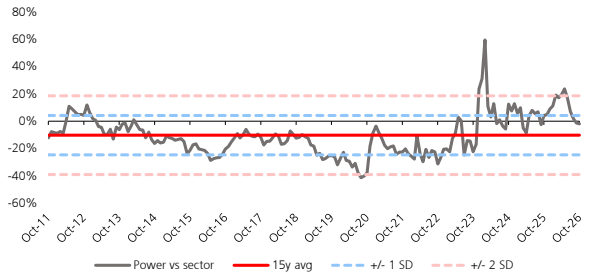
Source: Refinitiv, UBS Research

Figure 61: Rail vs sector



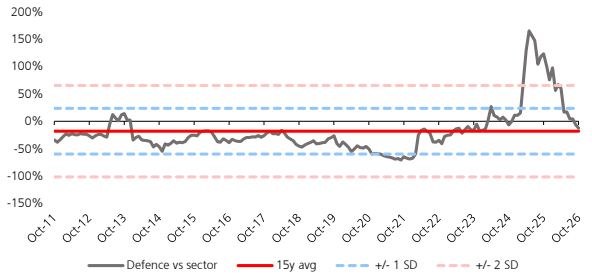
Source: Refinitiv, UBS Research

Figure 62: Power vs sector



Source: Refinitiv, UBS Research

Figure 63: Defence vs sector



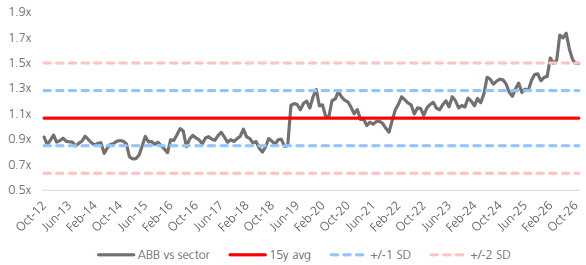
Source: Refinitiv, UBS Research

Figure 64: ABB EV/EBIT



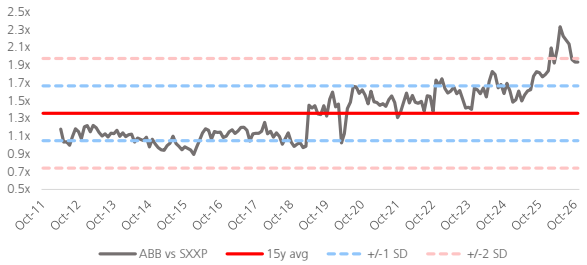
Source: Refinitiv, UBS Research

Figure 65: ABB vs Sector



Source: Refinitiv, UBS Research

Figure 66: ABB vs SXXP



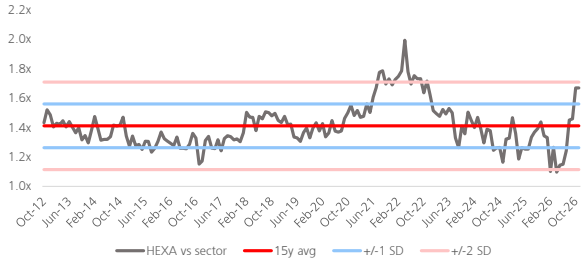
Source: Refinitiv, UBS Research

Figure 67: Hexagon EV/EBIT



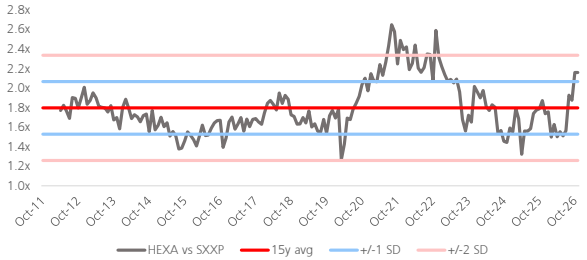
Source: Refinitiv, UBS Research

Figure 68: Hexagon vs Sector



Source: Refinitiv, UBS Research

Figure 69: Hexagon vs SXXP



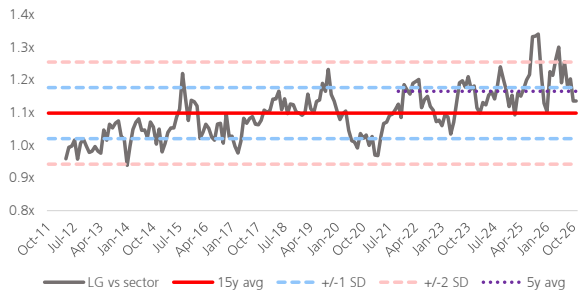
Source: Refinitiv, UBS Research

Figure 70: Legrand EV/EBIT



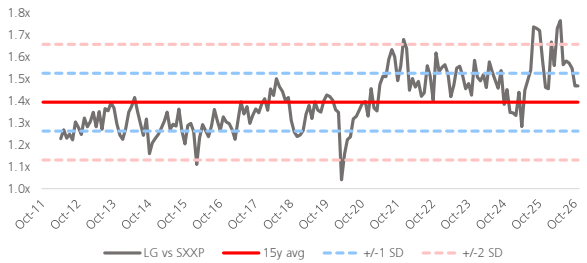
Source: Refinitiv, UBS Research

Figure 71: Legrand vs Sector



Source: Refinitiv, UBS Research

Figure 72: Legrand vs SXXP



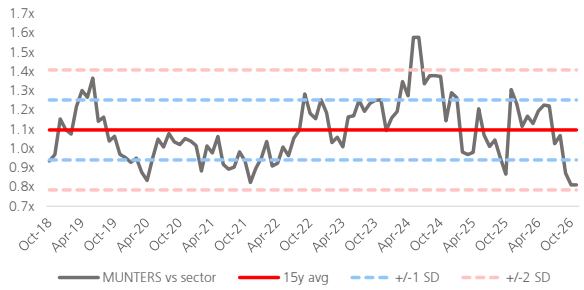
Source: Refinitiv, UBS Research

Figure 73: Munters EV/EBIT



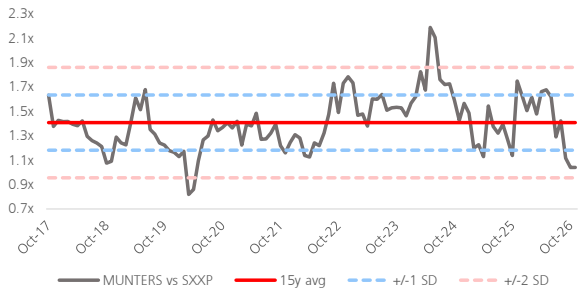
Source: Refinitiv, UBS Research

Figure 74: Munters vs Sector



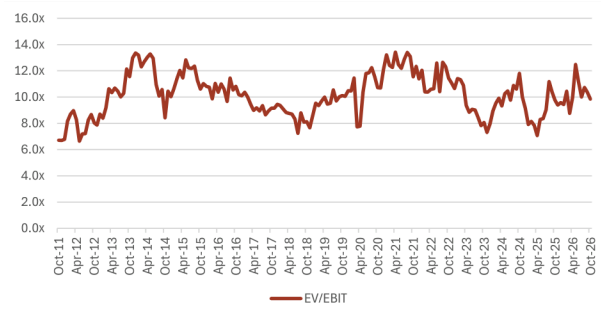
Source: Refinitiv, UBS Research

Figure 75: Munters vs SXXP



Source: Refinitiv, UBS Research

Figure 76: Nexans EV/EBIT



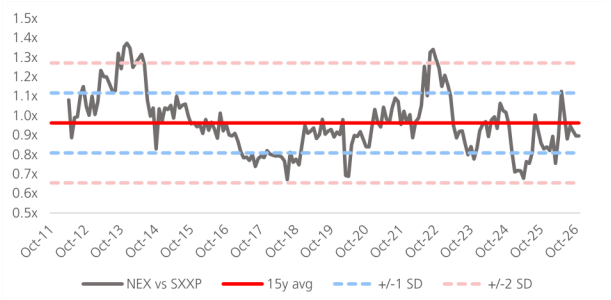
Source: Refinitiv, UBS Research

Figure 77: Nexans vs Sector



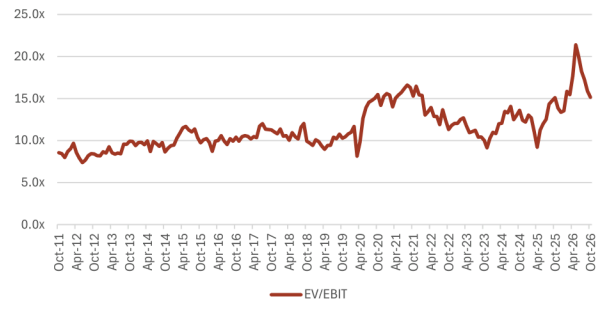
Source: Refinitiv, UBS Research

Figure 78: Nexans vs SXXP



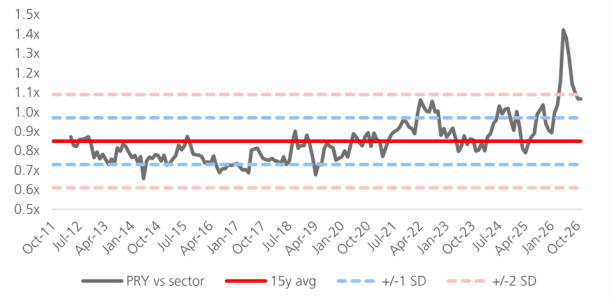
Source: Refinitiv, UBS Research

Figure 79: Prysmian EV/EBIT



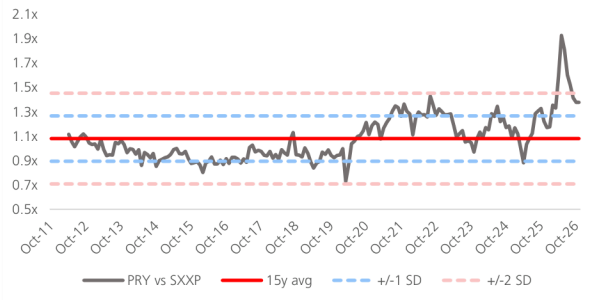
Source: Refinitiv, UBS Research

Figure 80: Prysmian vs Sector



Source: Refinitiv, UBS Research

Figure 81: Prysmian vs SXXP



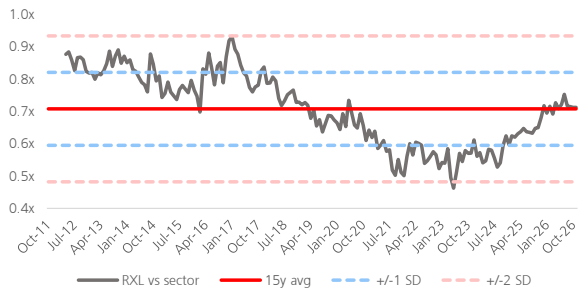
Source: Refinitiv, UBS Research

Figure 82: Rexel EV/EBIT



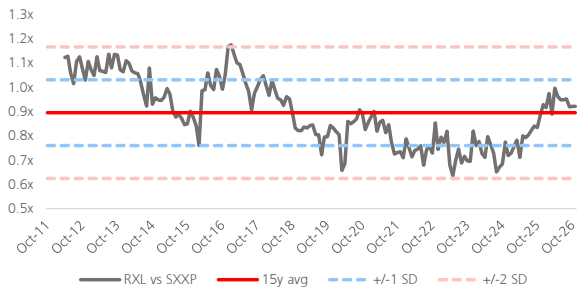
Source: Refinitiv, UBS Research

Figure 83: Rexel vs Sector



Source: Refinitiv, UBS Research

Figure 84: Rexel vs SXXP



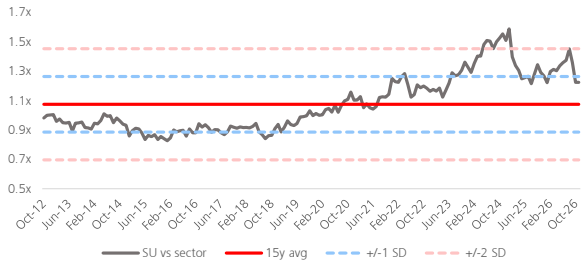
Source: Refinitiv, UBS Research

Figure 85: Schneider EV/EBIT



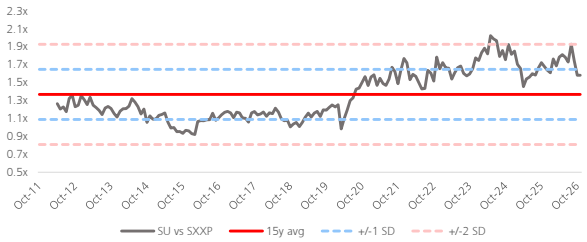
Source: Refinitiv, UBS Research

Figure 86: Schneider vs Sector



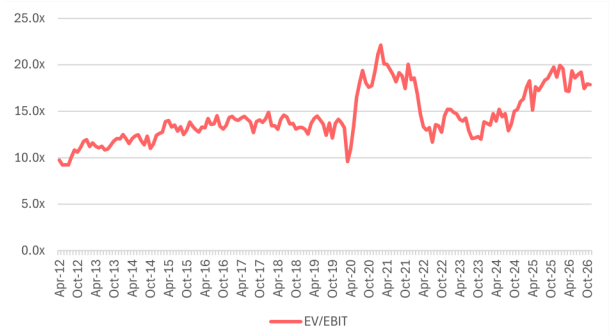
Source: Refinitiv, UBS Research

Figure 87: Schneider vs SXXP



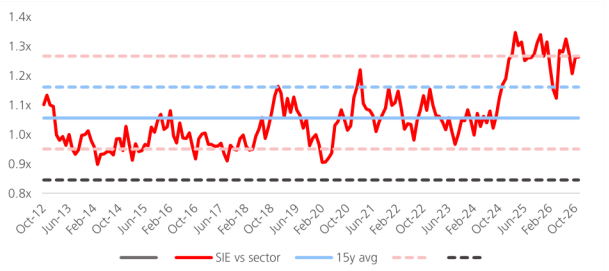
Source: Refinitiv, UBS Research

Figure 88: Siemens EV/EBIT



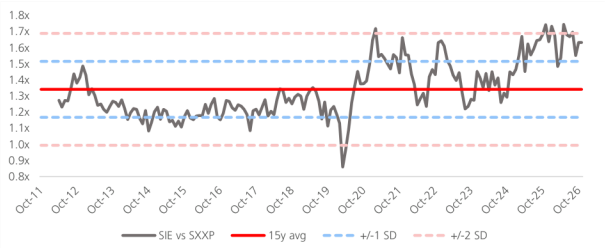
Source: Refinitiv, UBS Research

Figure 89: Siemens vs Sector



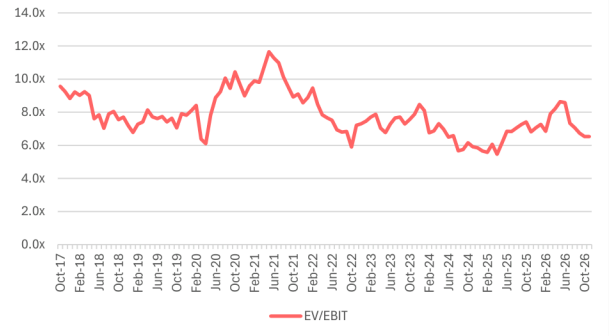
Source: Refinitiv, UBS Research

Figure 90: Siemens vs SXXP



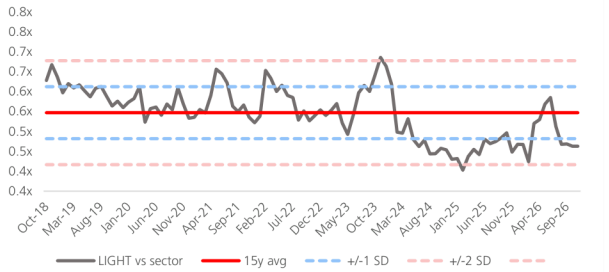
Source: Refinitiv, UBS Research

Figure 91: Signify EV/EBIT



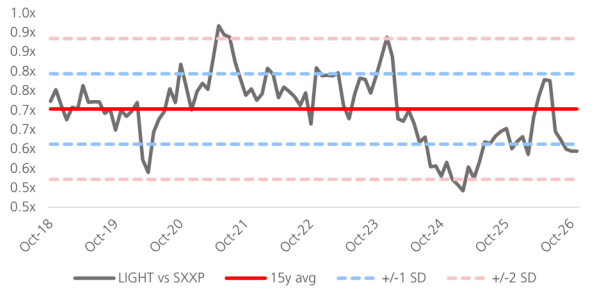
Source: Refinitiv, UBS Research

Figure 92: Signify vs Sector



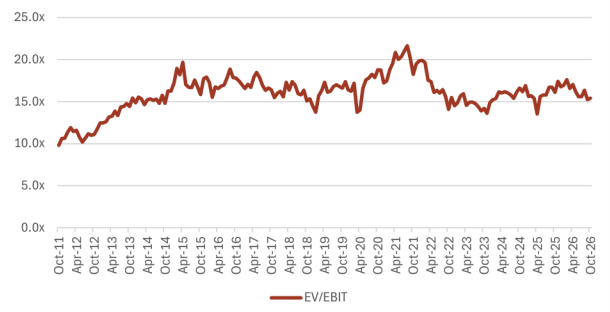
Source: Refinitiv, UBS Research

Figure 93: Signify vs SXXP



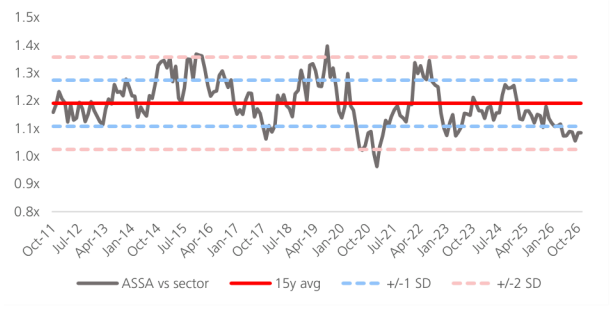
Source: Refinitiv, UBS Research

Figure 94: Assa Abloy EV/EBIT



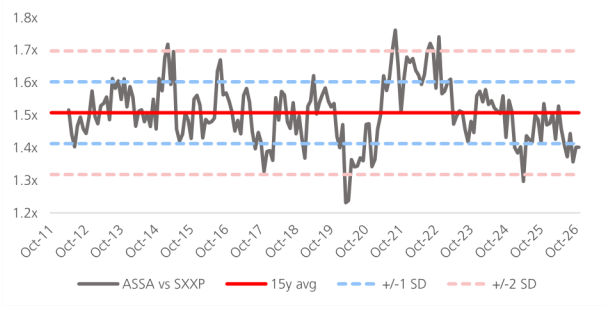
Source: Refinitiv, UBS Research

Figure 95: Assa Abloy vs Sector



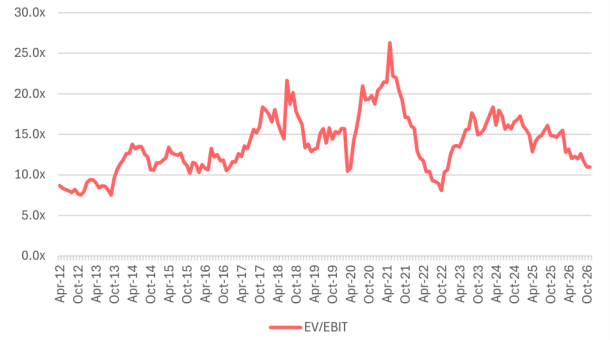
Source: Refinitiv, UBS Research

Figure 96: Assa Abloy vs SXXP



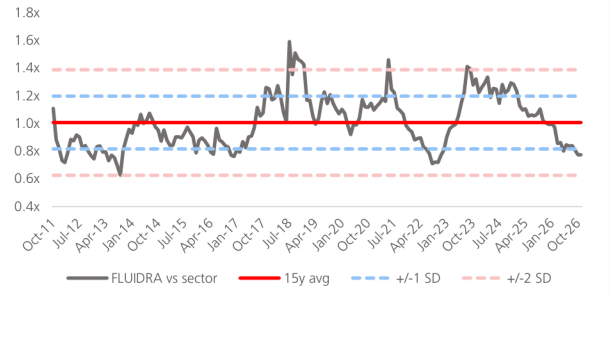
Source: Refinitiv, UBS Research

Figure 97: Fluidra EV/EBIT



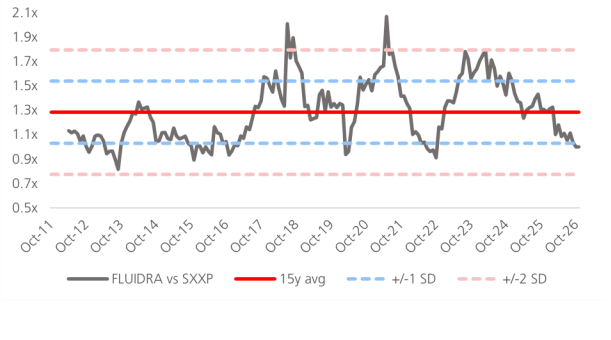
Source: Refinitiv, UBS Research

Figure 98: Fluidra vs Sector



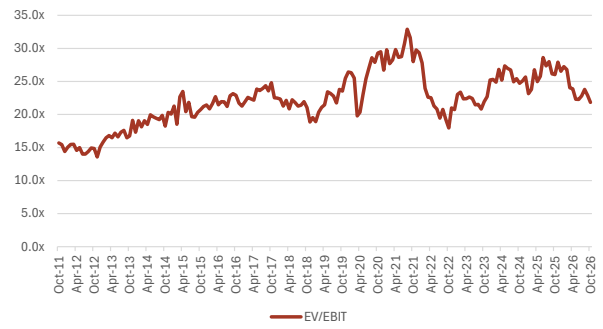
Source: Refinitiv, UBS Research

Figure 99: Fluidra vs SXXP



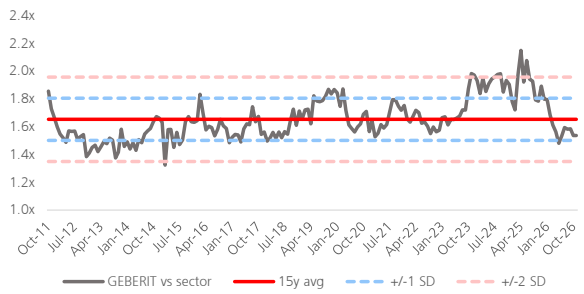
Source: Refinitiv, UBS Research

Figure 100: Geberit EV/EBIT



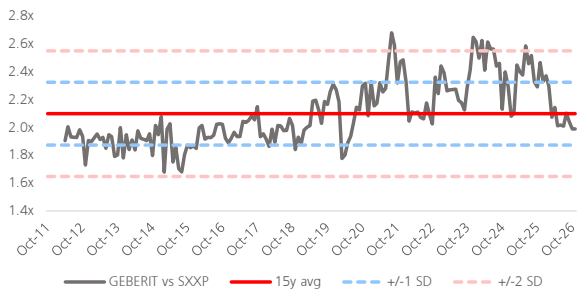
Source: Refinitiv, UBS Research

Figure 101: Geberit vs Sector



Source: Refinitiv, UBS Research

Figure 102: Geberit vs SXXP



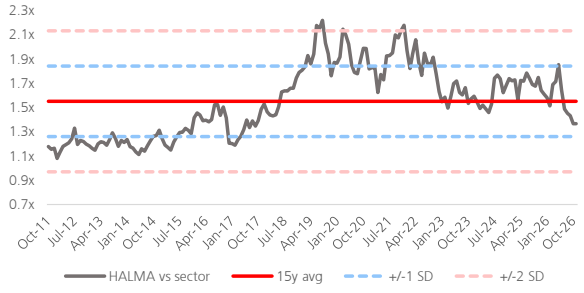
Source: Refinitiv, UBS Research

Figure 103: Halma EV/EBIT



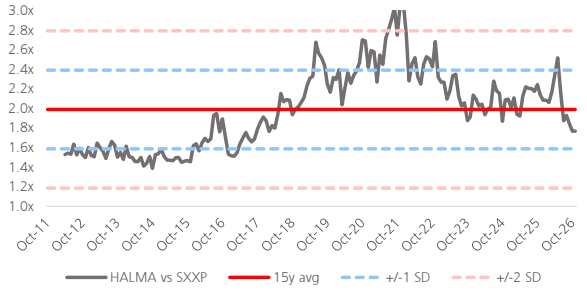
Source: Refinitiv, UBS Research

Figure 104: Halma vs Sector



Source: Refinitiv, UBS Research

Figure 105: Halma vs SXXP



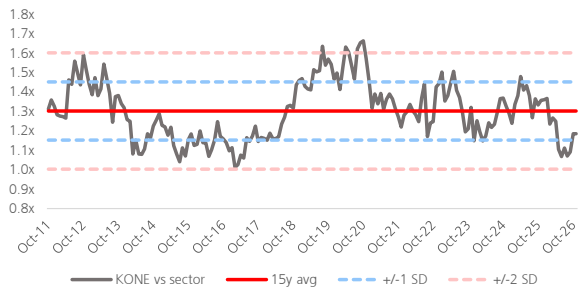
Source: Refinitiv, UBS Research

Figure 106: Kone EV/EBIT



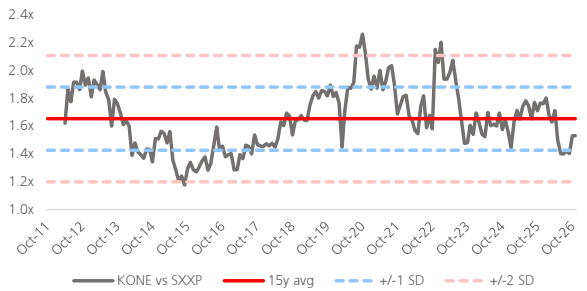
Source: Refinitiv, UBS Research

Figure 107: Kone vs Sector



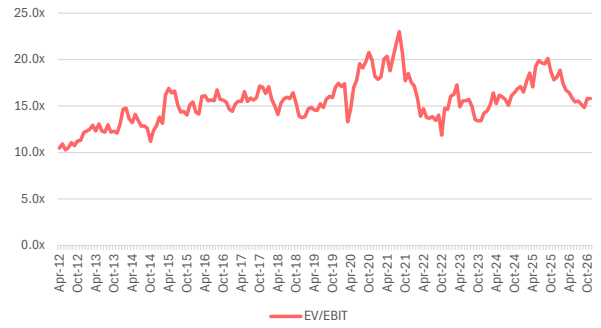
Source: Refinitiv, UBS Research

Figure 108: Kone vs SXXP



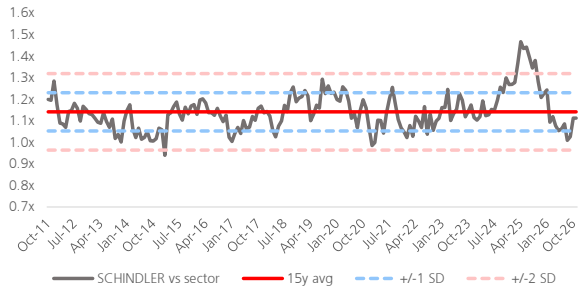
Source: Refinitiv, UBS Research

Figure 109: Schindler EV/EBIT



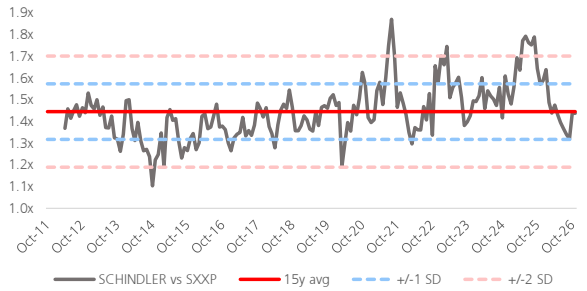
Source: Refinitiv, UBS Research

Figure 110: Schindler vs Sector



Source: Refinitiv, UBS Research

Figure 111: Schindler vs SXXP



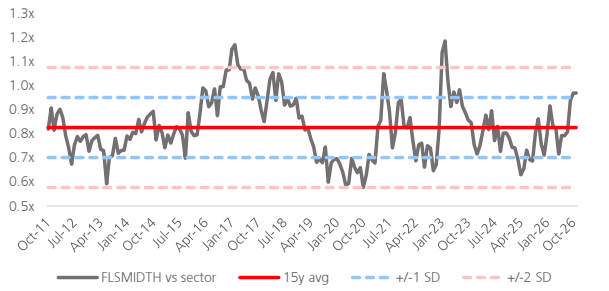
Source: Refinitiv, UBS Research

Figure 112: FLSmidth EV/EBIT



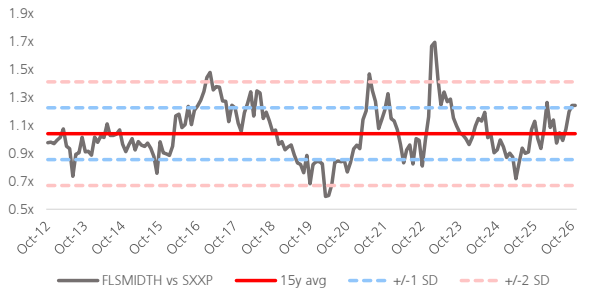
Source: Refinitiv, UBS Research

Figure 113: FLSmidth vs Sector



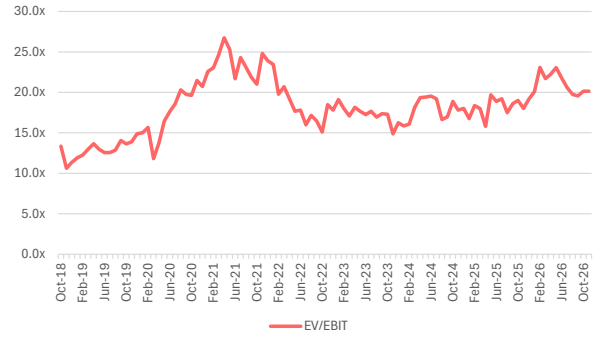
Source: Refinitiv, UBS Research

Figure 114: FLSmidth vs SXXP



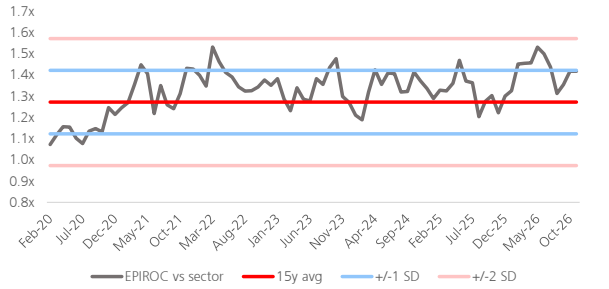
Source: Refinitiv, UBS Research

Figure 115: Epiroc EV/EBIT



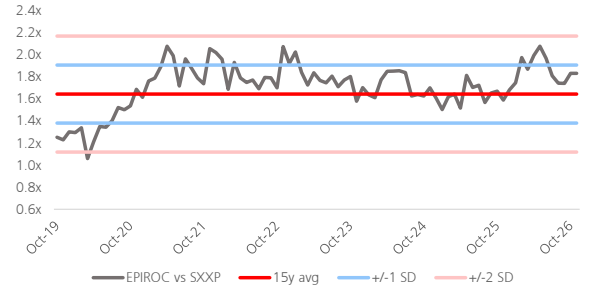
Source: Refinitiv, UBS Research

Figure 116: Epiroc vs Sector



Source: Refinitiv, UBS Research

Figure 117: Epiroc vs SXXP



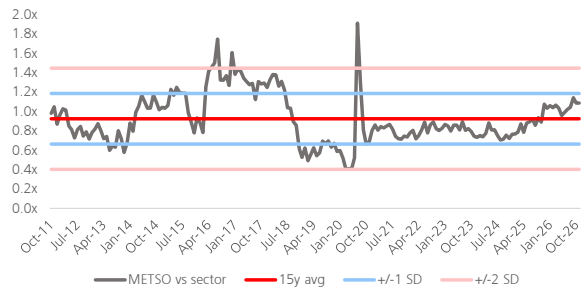
Source: Refinitiv, UBS Research

Figure 118: Metso EV/EBIT



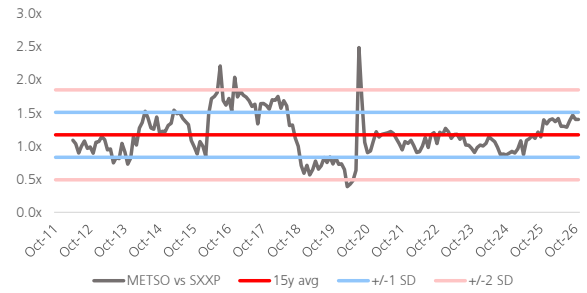
Source: Refinitiv, UBS Research

Figure 119: Metso vs Sector



Source: Refinitiv, UBS Research

Figure 120: Metso vs SXXP



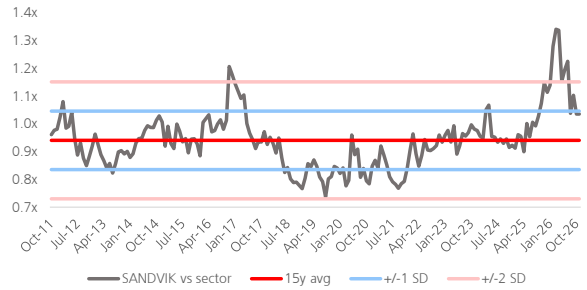
Source: Refinitiv, UBS Research

Figure 121: Sandvik EV/EBIT



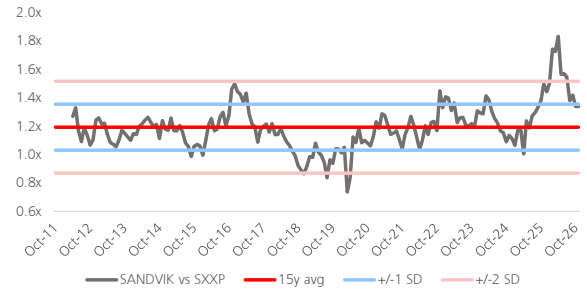
Source: Refinitiv, UBS Research

Figure 122: Sandvik vs Sector



Source: Refinitiv, UBS Research

Figure 123: Sandvik vs SXXP



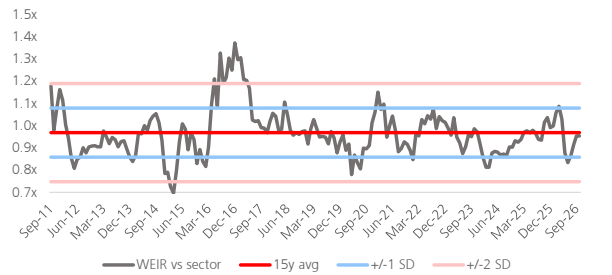
Source: Refinitiv, UBS Research

Figure 124: Weir EV/EBIT



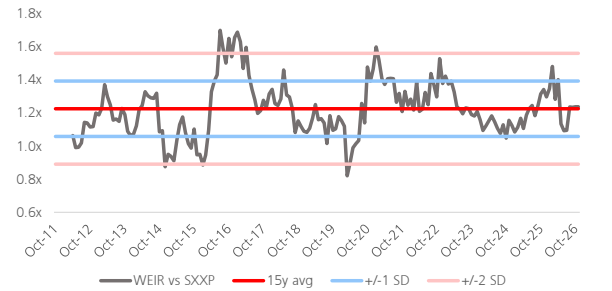
Source: Refinitiv, UBS Research

Figure 125: Weir vs Sector



Source: Refinitiv, UBS Research

Figure 126: Weir vs SXXP



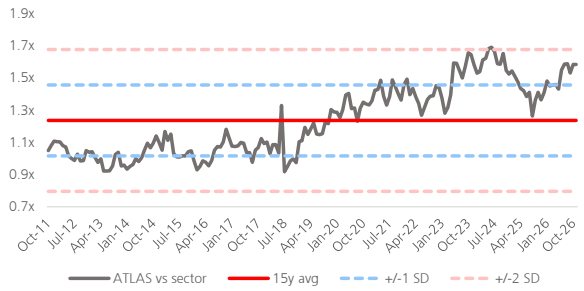
Source: Refinitiv, UBS Research

Figure 127: Atlas Copco EV/EBIT



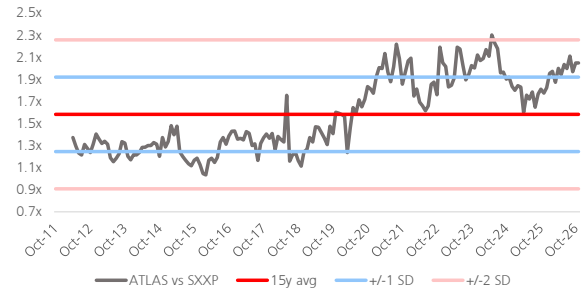
Source: Refinitiv, UBS Research

Figure 128: Atlas Copco vs Sector



Source: Refinitiv, UBS Research

Figure 129: Atlas Copco vs SXXP



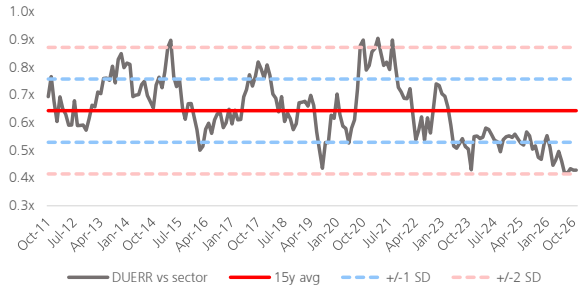
Source: Refinitiv, UBS Research

Figure 130: Duerr EV/EBIT



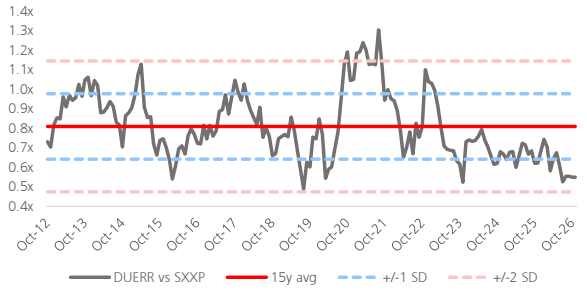
Source: Refinitiv, UBS Research

Figure 131: Duerr vs Sector



Source: Refinitiv, UBS Research

Figure 132: Duerr vs SXXP



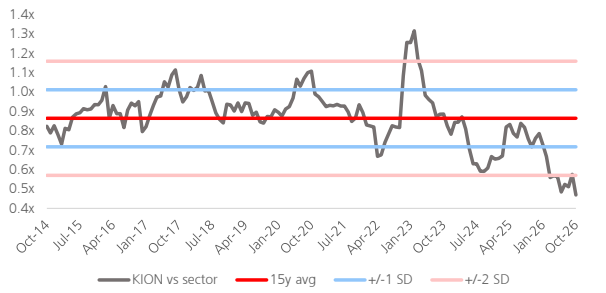
Source: Refinitiv, UBS Research

Figure 133: Kion EV/EBIT



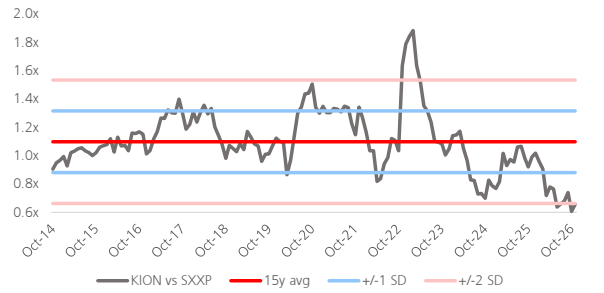
Source: Refinitiv, UBS Research

Figure 134: Kion vs Sector



Source: Refinitiv, UBS Research

Figure 135: Kion vs SXXP



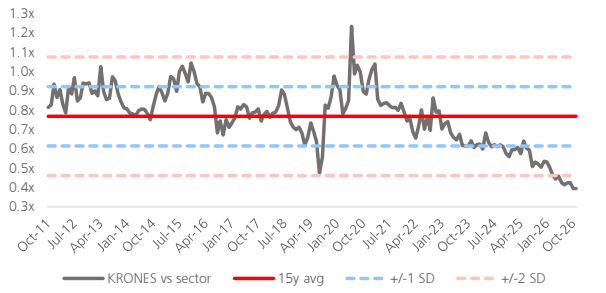
Source: Refinitiv, UBS Research

Figure 136: Krones EV/EBIT



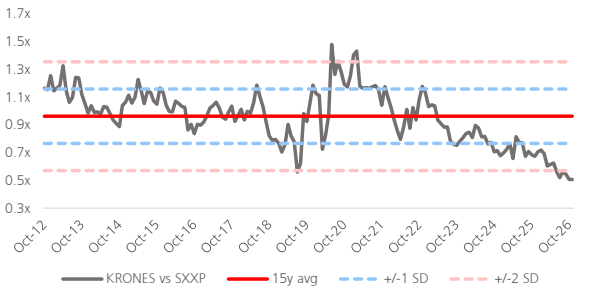
Source: Refinitiv, UBS Research

Figure 137: Krones vs Sector



Source: Refinitiv, UBS Research

Figure 138: Krones vs SXXP



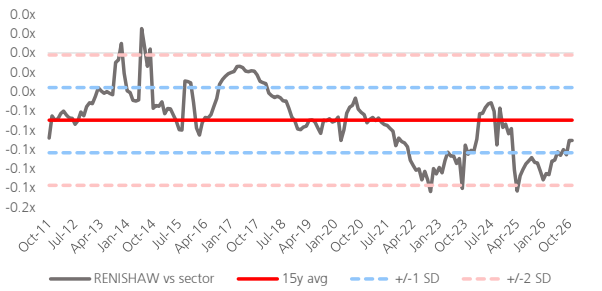
Source: Refinitiv, UBS Research

Figure 139: Renishaw EV/EBIT



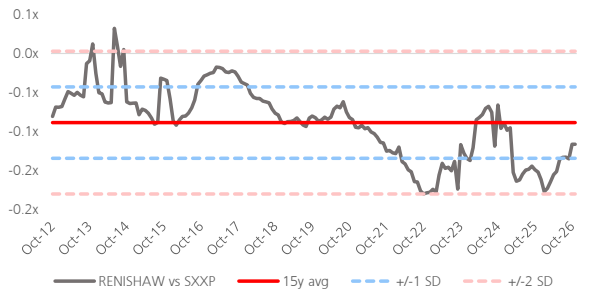
Source: Refinitiv, UBS Research

Figure 140: Renishaw vs Sector



Source: Refinitiv, UBS Research

Figure 141: Renishaw vs SXXP



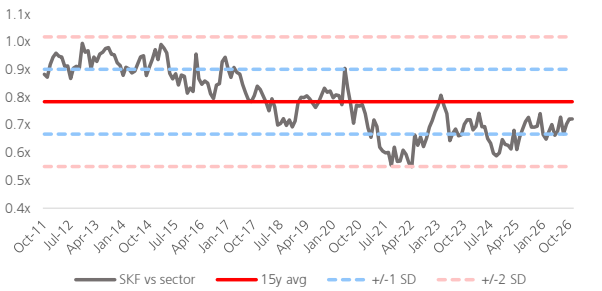
Source: Refinitiv, UBS Research

Figure 142: SKF EV/EBIT



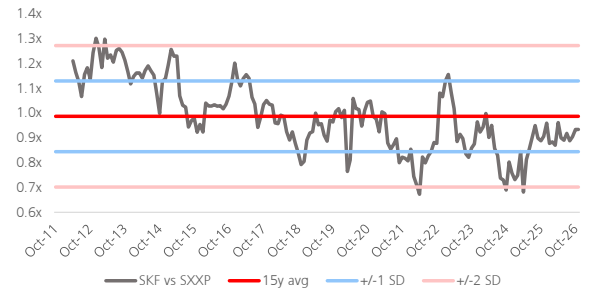
Source: Refinitiv, UBS Research

Figure 143: SKF vs Sector



Source: Refinitiv, UBS Research

Figure 144: SKF vs SXXP



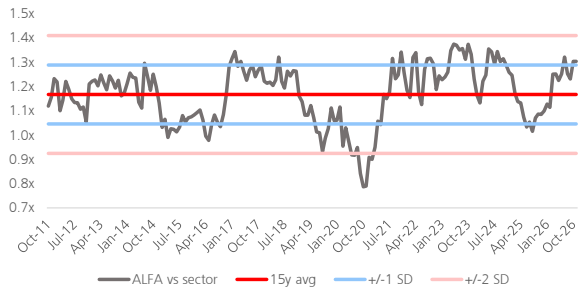
Source: Refinitiv, UBS Research

Figure 145: Alfa Laval EV/EBIT



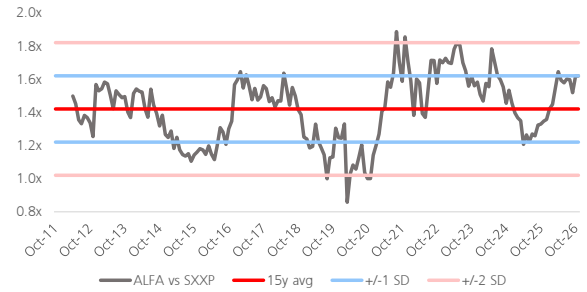
Source: Refinitiv, UBS Research

Figure 146: Alfa Laval vs Sector



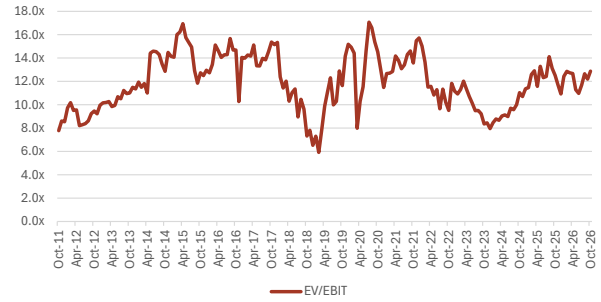
Source: Refinitiv, UBS Research

Figure 147: Alfa Laval vs SXXP



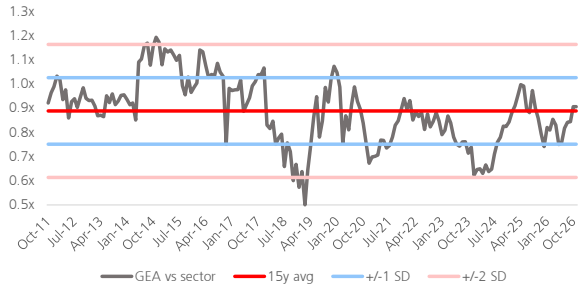
Source: Refinitiv, UBS Research

Figure 148: GEA EV/EBIT



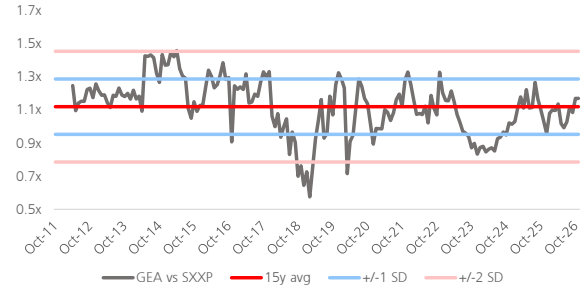
Source: Refinitiv, UBS Research

Figure 149: GEA vs Sector



Source: Refinitiv, UBS Research

Figure 150: GEA vs SXXP



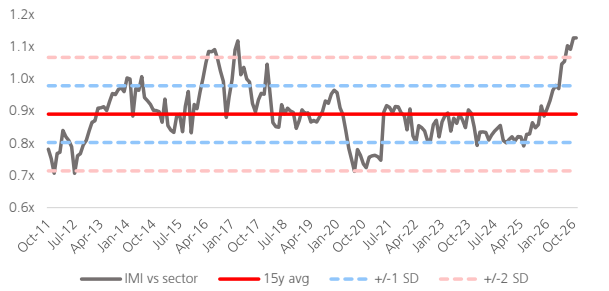
Source: Refinitiv, UBS Research

Figure 151: IMI EV/EBIT



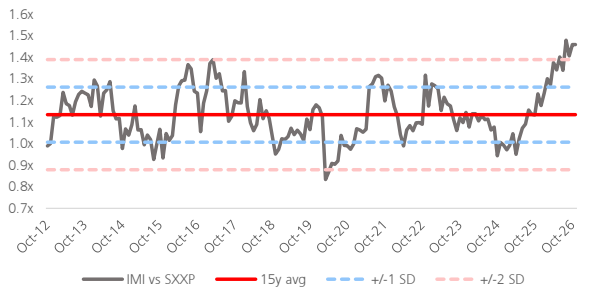
Source: Refinitiv, UBS Research

Figure 152: IMI vs Sector



Source: Refinitiv, UBS Research

Figure 153: IMI vs SXXP



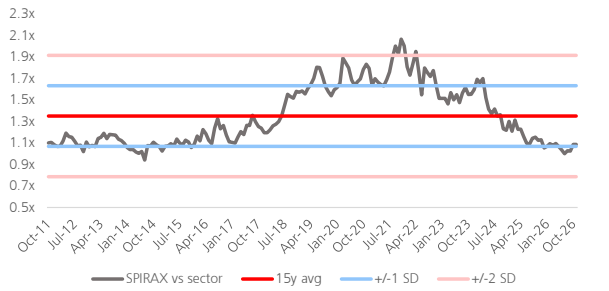
Source: Refinitiv, UBS Research

Figure 154: Spirax EV/EBIT



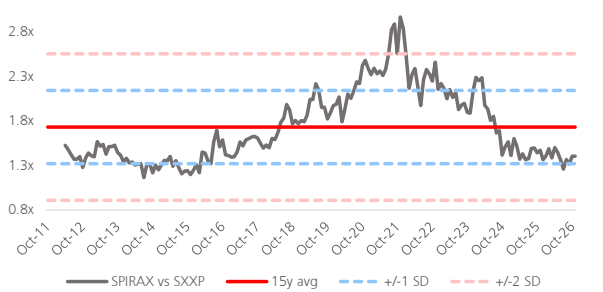
Source: Refinitiv, UBS Research

Figure 155: Spirax vs Sector



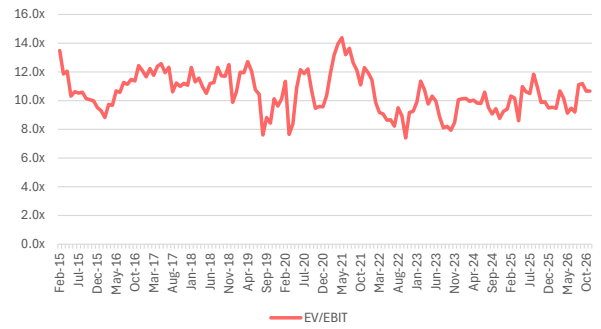
Source: Refinitiv, UBS Research

Figure 156: Spirax vs SXXP



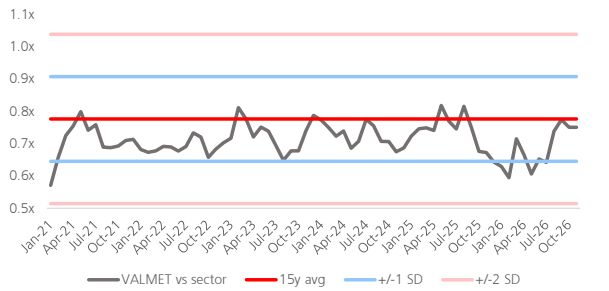
Source: Refinitiv, UBS Research

Figure 157: Valmet EV/EBIT



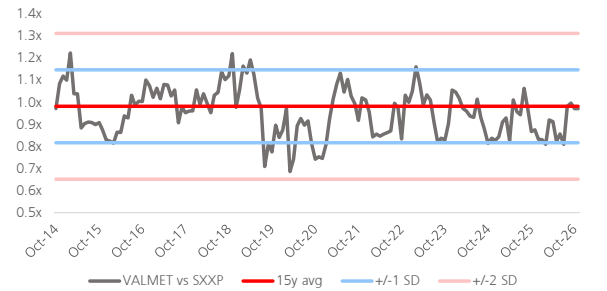
Source: Refinitiv, UBS Research

Figure 158: Valmet vs Sector



Source: Refinitiv, UBS Research

Figure 159: Valmet vs SXXP



Source: Refinitiv, UBS Research

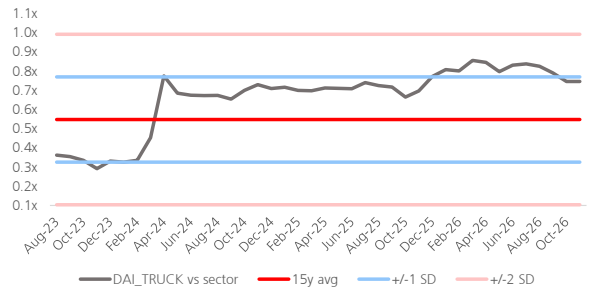
TRUCKS - COMPANY BREAKDOWN

Figure 160: Daimler Truck EV/EBIT



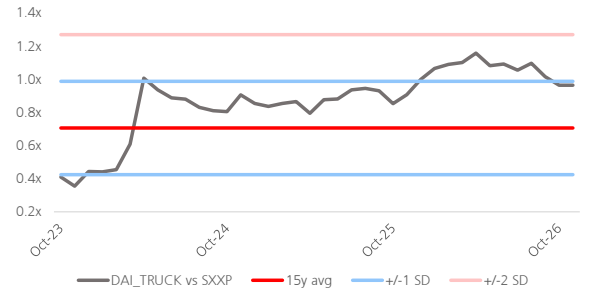
Source: Refinitiv, UBS Research

Figure 161: Daimler Truck vs Sector



Source: Refinitiv, UBS Research

Figure 162: Daimler Truck vs SXXP



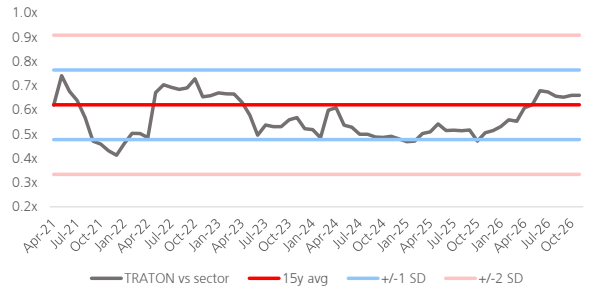
Source: Refinitiv, UBS Research

Figure 163: Traton EV/EBIT



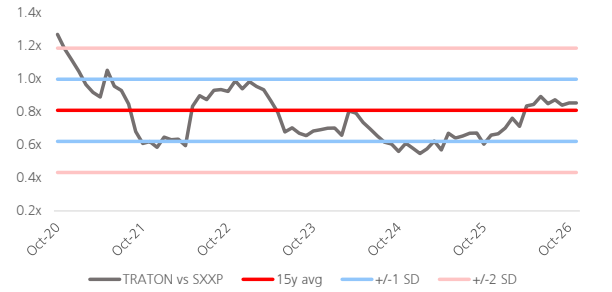
Source: Refinitiv, UBS Research

Figure 164: Traton vs Sector



Source: Refinitiv, UBS Research

Figure 165: Traton vs SXXP



Source: Refinitiv, UBS Research

Figure 166: Volvo EV/EBIT



Source: Refinitiv, UBS Research

Figure 167: Volvo vs Sector



Source: Refinitiv, UBS Research

Figure 168: Volvo vs SXXP



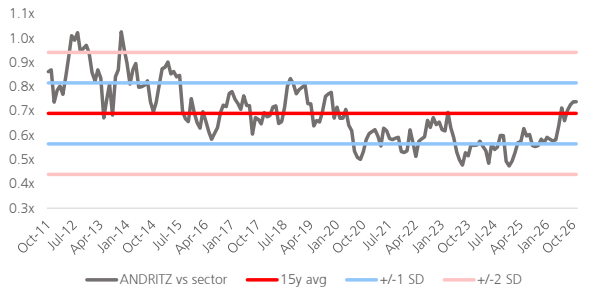
Source: Refinitiv, UBS Research

Figure 169: Andritz EV/EBIT



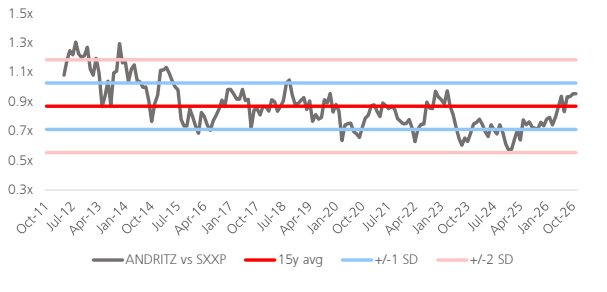
Source: Refinitiv, UBS Research

Figure 170: Andritz vs Sector



Source: Refinitiv, UBS Research

Figure 171: Andritz vs SXXP



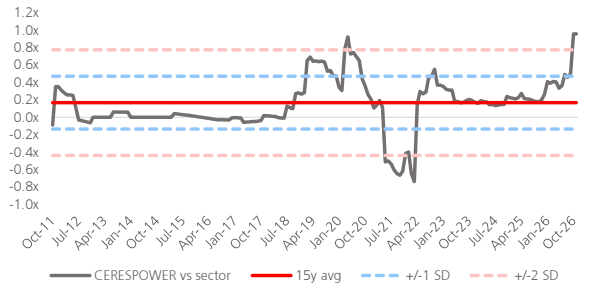
Source: Refinitiv, UBS Research

Figure 172: Ceres Power EV/EBIT



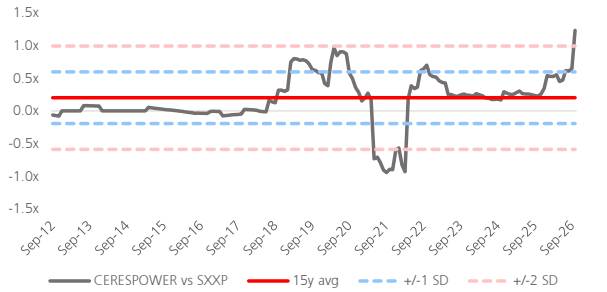
Source: Refinitiv, UBS Research

Figure 173: Ceres Power vs Sector



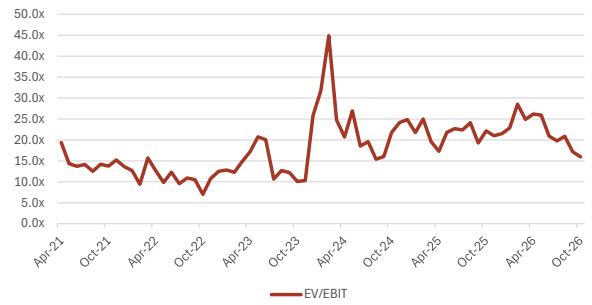
Source: Refinitiv, UBS Research

Figure 174: Ceres Power vs SXXP



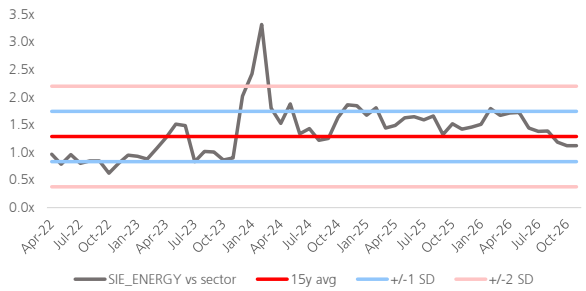
Source: Refinitiv, UBS Research

Figure 175: Siemens Energy EV/EBIT



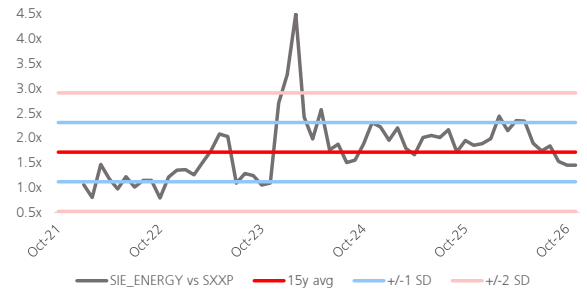
Source: Refinitiv, UBS Research

Figure 176: Siemens Energy vs Sector



Source: Refinitiv, UBS Research

Figure 177: Siemens Energy vs SXXP



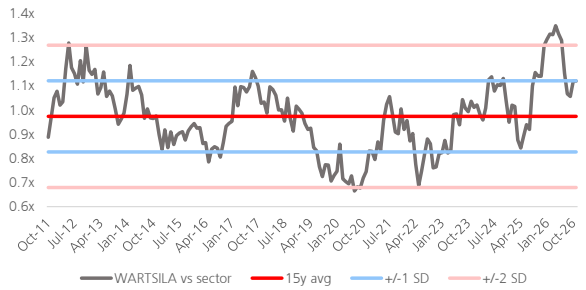
Source: Refinitiv, UBS Research

Figure 178: Wartsila EV/EBIT



Source: Refinitiv, UBS Research

Figure 179: Wartsila vs Sector



Source: Refinitiv, UBS Research

Figure 180: Wartsila vs SXXP



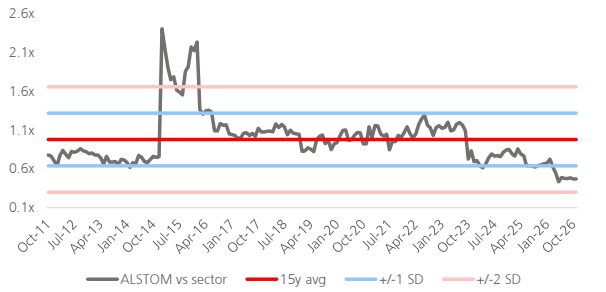
Source: Refinitiv, UBS Research

Figure 181: Alstom EV/EBIT



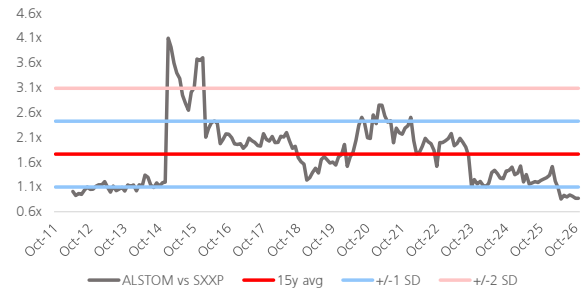
Source: Refinitiv, UBS Research

Figure 182: Alstom vs Sector



Source: Refinitiv, UBS Research

Figure 183: Alstom vs SXXP



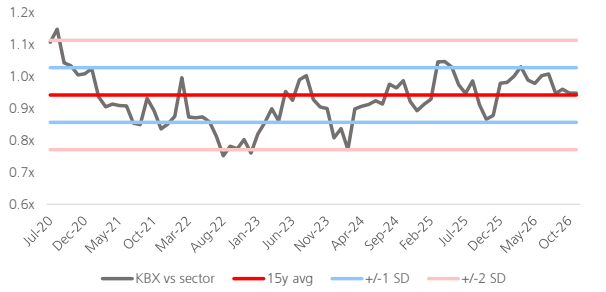
Source: Refinitiv, UBS Research

Figure 184: Knorr-Bremse EV/EBIT



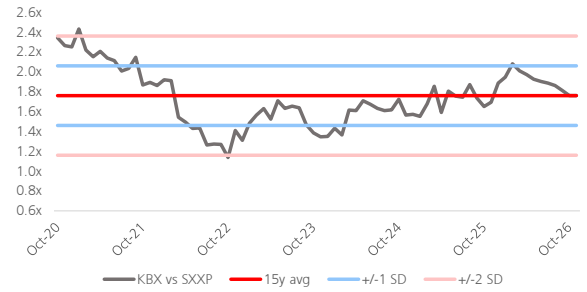
Source: Refinitiv, UBS Research

Figure 185: Knorr-Bremse vs Sector



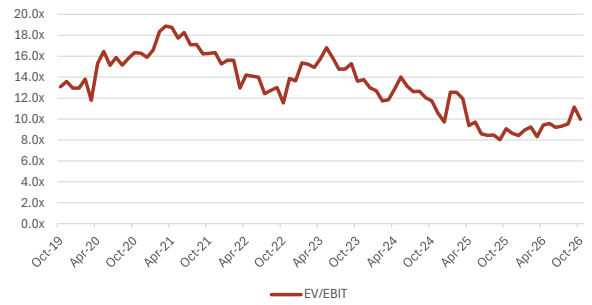
Source: Refinitiv, UBS Research

Figure 186: Knorr-Bremse vs SXXP



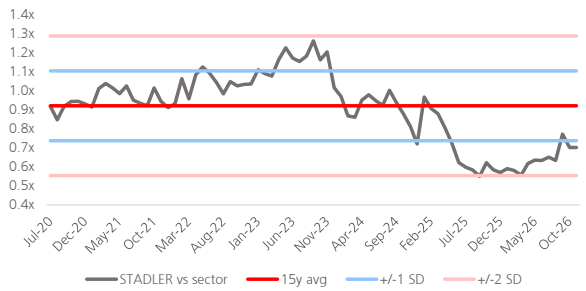
Source: Refinitiv, UBS Research

Figure 187: Stadler EV/EBIT



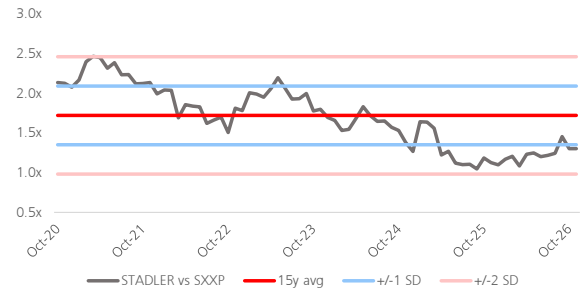
Source: Refinitiv, UBS Research

Figure 188: Stadler vs Sector



Source: Refinitiv, UBS Research

Figure 189: Stadler vs SXXP



Source: Refinitiv, UBS Research

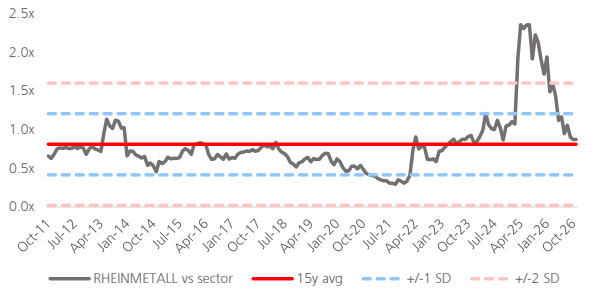
DEFENCE - COMPANY BREAKDOWN

Figure 190: Rheinmetall EV/EBIT



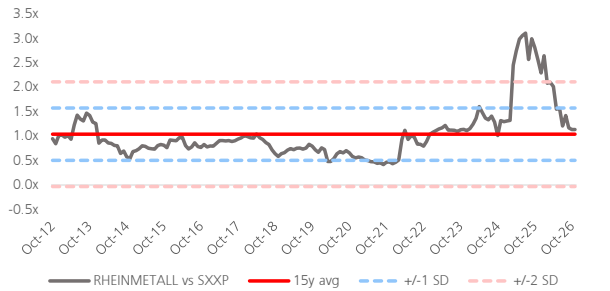
Source: Refinitiv, UBS Research

Figure 191: Rheinmetall vs Sector



Source: Refinitiv, UBS Research

Figure 192: Rheinmetall vs SXXP



Source: Refinitiv, UBS Research

Figure 193: Subsector and subsegment classification

	Includes
European Capital Goods	UBS European Capital Goods coverage space, Bodycote*, Smiths*
also "sector"	
Subsectors	
Electricals	ABB, Schneider, Siemens, Legrand, Rexel, Signify, Nexans, Prysmian
Mechanicals	Atlas Copco, SKF, Trelleborg*, Spectris**, IMI, Bodycote*, Kion, Epiroc, Sandvik, Weir, Metso, Volvo, Alfa Laval, Spirax, Rotork
Buildings	Kone, Schindler, Assa Abloy, Halma, Geberit, Fluidra, Legrand, Signify
Subsegments	
Electricals & Automation	ABB, Schneider, Siemens, Hexagon, Legrand, Rexel, Signify, Nexans, Prysmian
Buildings	Kone, Schindler, Assa Abloy, Halma, Geberit, Fluidra
Pure Mechanical Engineering	Atlas Copco, SKF, Trelleborg*, Spectris**, IMI, Bodycote*, Duerr, Krones, Kion
Mining Equipment	Epiroc, Sandvik, Weir, Metso
Trucks	Volvo, Traton, Daimler Truck
Process Engineering	Alfa Laval, GEA, Spirax, Rotork, Smiths*, Valmet
Rail	Alstom, Knorr-Bremse, Stadler Rail
Power	Siemens Energy, Andritz, Wartsila
Defence	Rheinmetall

Source: UBS. *Note: * indicates suspended or not covered*

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The engineering sector is cyclical by nature. Our estimates and the share prices are therefore likely to be sensitive to changes in expectations for global or regional growth and industrial activity. Exchange rate fluctuations contribute additional risk to the sector. We value the stocks in our engineering coverage universe based on the average of cash flow (DCF, residual income and DDM) and static (multiple-based) valuation methodologies.

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12-Month Rating	Definition	Coverage[1]	IB Services[2]
Buy	FSR is > 6% above the MRA.	55%	24%
Neutral	FSR is between -6% and 6% of the MRA.	39%	20%
Sell	FSR is > 6% below the MRA.	6%	21%

Source: UBS. Rating allocations are as of 30 September 2026.
1:Percentage of companies under coverage globally within the 12-month rating category.
2:Percentage of companies within the 12-month rating category for which investment banking (IB) services were provided within the past 12 months.

KEY DEFINITIONS:Forecast Stock Return (FSR) is defined as expected percentage price appreciation plus gross dividend yield over the next 12 months. In some cases, this yield may be based on accrued dividends. **Market Return Assumption (MRA)** is defined as the one-year local market interest rate plus 5% (a proxy for, and not a forecast of, the equity risk premium). **Under Review (UR)** Stocks may be flagged as UR by the analyst, indicating that the stock's price target and/or rating are subject to possible change in the near term, usually in response to an event that may affect the investment case or valuation. **Equity Price Targets** have an investment horizon of 12 months.

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UBS AG London Branch: Andre Kukhnin, Christopher Leonard, Dini Magoon, Ed Hussey, Gabriel Huber, Hemal Bhundia, CFA, Jingyi Zheng.**UBS Europe SE:** Sven Weier.

Company Disclosures

Company Name	Reuters	12-month rating	Price	Price date
ABB Ltd[4,59,5,6,28,7]	ABBN.S	Neutral	CHF79.72	13 Oct 2026
Alfa Laval[28]	ALFA.ST	Neutral	SKr590.00	13 Oct 2026
Alstom[28,20]	ALSO.PA	Neutral (CBE)	€16.45	13 Oct 2026
Andritz[28,7]	ANDR.VI	Buy	€81.80	13 Oct 2026
Assa Abloy[5,6,28]	ASSAb.ST	Buy	SKr349.60	13 Oct 2026
Daimler Truck Holding AG[28]	DTGGe.DE	Neutral	€40.46	13 Oct 2026
Epiroc AB[28]	EPIRa.ST	Sell	SKr269.10	13 Oct 2026
FLSmidth[4,6,28]	FLS.CO	Buy	DKr594.50	13 Oct 2026
GEA Group[28]	G1AG.DE	Buy	€69.10	13 Oct 2026
Halma Plc[14,4,6,28]	HLMA.L	Buy	3,468p	13 Oct 2026
IMI Plc[28]	IMI.L	Neutral	3,026p	13 Oct 2026
KION[28]	KGX.DE	Buy	€34.30	13 Oct 2026
Knorr-Bremse AG[4,6,28]	KBX.DE	Buy	€99.15	13 Oct 2026
Kone[28]	KNEBV.HE	Buy	€53.74	13 Oct 2026
Krones[28]	KRNG.DE	Buy	€106.60	13 Oct 2026
Metso[28]	METSO.HE	Buy	€16.94	13 Oct 2026
Prysmian SpA[28]	PRY.MI	Buy	€119.75	13 Oct 2026

Company Name	Reuters	12-month rating	Price	Price date
Renishaw[14,4,6,7]	RSW.L	Buy	5,705p	13 Oct 2026
Rheinmetall[28]	RHMG.DE	Buy	€953.40	13 Oct 2026
Sandvik[28]	SAND.ST	Sell	SKr364.60	13 Oct 2026
Schneider Electric[28]	SCHN.PA	Buy	€264.40	13 Oct 2026
Siemens[4,6,28,7]	SIEGn.DE	Buy	€274.50	13 Oct 2026
Siemens Energy AG[28,20]	ENR1n.DE	Buy (CBE)	€143.06	13 Oct 2026
Signify[28,20]	LIGHT.AS	Neutral (CBE)	€14.23	13 Oct 2026
Valmet[28]	VALMT.HE	Neutral	€26.66	13 Oct 2026
Volvo B[28]	VOLVb.ST	Buy	SKr315.60	13 Oct 2026
Wartsila[28]	WRT1V.HE	Neutral	€29.79	13 Oct 2026
Weir[28]	WEIR.L	Buy	2,700p	13 Oct 2026

Source: UBS Global Research; LSEG Eikon. All prices as of local market close. Ratings in this table are the most current published ratings prior to this report. They may be more recent than the stock pricing date.

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Additional Prices: Traton SE, €33.14 (13 Oct 2026); Munters Group AB, SKr130.45 (13 Oct 2026); Rotork, 493p (13 Oct 2026); Duerr, €16.30 (13 Oct 2026); Nexans SA, €131.10 (13 Oct 2026); Spirax Group PLC, 7285p (13 Oct 2026); BHP, A$61.28 (13 Oct 2026); Hexagon AB, SKr104.40 (13 Oct 2026); Rexel, €34.17 (13 Oct 2026); NKT A/S, DKr862.00 (13 Oct 2026); Kennametal Inc., US$31.32 (13 Oct 2026); Atlas Copco A, SKr210.60 (13 Oct 2026); Legrand, €137.45 (13 Oct 2026); BHP Group, 3193p (13 Oct 2026); Fluidra S.A., €17.11 (13 Oct 2026); Siemens Healthineers AG, €39.92 (13 Oct 2026); SKF B, SKr274.80 (13 Oct 2026); Schindler, CHF265.00 (13 Oct 2026); Rockwell Automation Inc, US$432.29 (13 Oct 2026); McEwen Inc, US$16.88 (13 Oct 2026); Ceres Power, 372p (13 Oct 2026); Source: UBS. All prices as of local market close.

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